



Sustainability at Granules

Granules aspires to be one of the most sustainable companies. Which is why sustainability has always been integral to how we operate. This year, however, we took significant steps to shape our sustainability journey and be future-ready.

We set ambitious near- and long-term goals across three sustainability pillars of environment, social and governance (ESG) – by actively listening to our stakeholders:

WE AIM TO

1. Be Net Zero by 2050
2. Scale Green Chemistry product development and set up a flagship green pharma plant with an outlay of ₹ 2,000 crores and
3. Establish an enterprise-wide Sustainability Governance framework

Granules is committed to continuously improving the ESG performance across rating agencies. CRISIL (an S&P Global company) rated Granules' performance as 'Adequate' with a score of 54 out of 100. We participated in CDP's Climate Change rating disclosure in 2022.

UN SDGs Aligned

Our aspirations across the 13 ESG priority areas identified contribute to the Sustainable Development Goals of the United Nations.



We are pleased to publish Granules inaugural Business Responsibility and Sustainability Report (BRSR) FY 2022-23. It details the Company's ESG performance across the 9 principles defined by The National Guidelines on Responsible Business Conduct and is aligned with the new guidelines released by the Securities and Exchange Board of India (SEBI). The British Standards Institution (BSI) – an independent third party has verified and assured the environmental data disclosed in this Report.

Business Responsibility and Sustainability Report





KEY HIGHLIGHTS FY 2022-23

Principle 1



We are committed to conducting our day-to-day activities with integrity and transparency.

- ▶ Our Code of Conduct guides our everyday actions at work
- ▶ Our Policies provide our employees clarity on how to conduct business ethically and responsibly
- ▶ Over 90% of our value chain partners are trained on Granules Supplier Code and Green Procurement

Principle 2



We are committed to provide goods and services that are safe and sustainable

- ▶ 100% of Key Starting Materials (KSMs) at Granules are sourced sustainably from Goods Manufacturing Practice (GMP) compliant vendors
- ▶ 780 Lakhs invested (capex) in technologies to scale our environmental and social impact

Principle 3



We respect and promote the well-being of all employees, including those across our value chain

- ▶ Zero fatalities reported with lost time injury frequency rate of 0.12 (per million hours worked)
- ▶ All employees enjoy medical health and personal accident insurance coverage under the Company's Group policy – including 24/7 access to doctors via an integrated platform in partnership with Ekincare
- ▶ Continuous awareness and education of employees on healthy lifestyle
- ▶ Our return-to-work rate stands at 97% and every employee underwent upskilling training
- ▶ Granules is ISO45001:2018 certified

Principle 7



We are committed to doing our part transparently to influence public and regulatory policy

- ▶ As an active member of the Bulk Drug Manufacturer Association of India (BDMAI) we represent the Pharma industry and engage in meaningful dialogue with other members, peers and government bodies

Principle 8



We continuously engage with local communities to foster strong relationships and promote equitable development

- ▶ 90% of our CSR spend – to upskill and improve community health – benefits vulnerable and marginalized communities
- ▶ We work closely with NGOs, local communities, and government agencies to create sustainable solutions and drive positive change, together
- ▶ Our Pharma Pathshala program – in partnership with Swarna Bharat Trust – focuses on upskilling and livelihood opportunities for youth.
- ▶ The Public Health Clinic we set up at Bonthapally improves community health and well being
- ▶ 3 water tankers to provide clean drinking water to over 2,500 villagers.
- ▶ Contributed funds under the Pradhan Mantri TB Mukh Bharath Abhiyaan for feeding 100 patients for six months Nutrition food

Principle 4



We respect and uphold the interests of all our stakeholders and engage with them frequently

- ▶ We recognize that our stakeholders- Investors, shareholders, customers, value chain partners, communities and importantly employees and workers – are critical to Granule's success and future
- ▶ This year we conducted a materiality assessment by engaging with our key stakeholders. We gathered insights on what they felt Granules should be focusing on to be future ready and sustainable.
- ▶ We constantly engage with our employees thru quarterly townhalls as a two way communication platform

Principle 5



We stand for dignity, freedom and a fair workplace

- ▶ We are committed to upholding and advocating for human rights at our workplace and across encouraging our value chain partners to do the same
- ▶ The median annual remuneration of employees at Granules is over ₹ 6 lakhs. Our workers are also paid fairly and above minimum wage and as per market benchmark to remain competitive
- ▶ Our employees are trained on workplace harassment and the POSH and Whistleblower Policy lays out the processes to report incidents safely and anonymously

Principle 6



We are committed to reducing our environmental footprint across our operations

- ▶ 50% of our wastewater is recycled
- ▶ Our renewable energy mix is > 9%
- ▶ > 85% of the solid hazardous waste is sent to utilization by cement industries for co-processing thereby reducing the GHG footprint.

Principle 9



We are committed to provide high-quality products for better public health and safe services to our customers

- ▶ Zero data breaches during the reporting period
- ▶ Zero product recalls
- ▶ Transparent and effective mechanisms established to receive and respond to consumer complaints and feedback

What Granules Aspires to Achieve

Granules aspires to be among the most sustainable companies and is in the process of baselining and industry benchmarking of sustainability practices, adopting the best-in-class practices, extensive goal setting and identifying key performance indicators. During this year, Granules has also ensured that the employees are cognizant of the importance of sustainability and their role in Granules' sustainability ambition. There were capacity building sessions conducted in person at the facilities in Hyderabad and Vishakhapatnam to sensitize the employees on the regulatory requirements of BRSR.

Granules is also committed to improve the ESG scores provided by various rating agencies. At present, CRISIL (an S&P Global company) has rated Granules' performance as 'Adequate' with a score of 54 out of 100.

Granules is progressing year on year in monitoring of GHG emission. Granules has participated in CDP Climate Change disclosure in 2022 for scope 1 and scope 2 emissions. The Company has engaged BSI to validate the methodology of GHG accounting and going forward we aim to track Scope 3 emission calculations. In the next financial year, Granules also plans to start disclosing its sustainability performance through a sustainability report wherein comprehensive information shall be provided with reference to the Global Reporting Initiative (GRI) standards.

Business Responsibility and Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1. Corporate Identity Number (CIN) of the Listed Entity	L24110TG1991PLC012471
2. Name of the Listed Entity	Granules India Limited
3. Year of incorporation	1991
4. Registered office address	2nd Floor, Block III, My Home Hub, Madhapur, Hyderabad – 500081
5. Corporate address	2nd Floor, Block III, My Home Hub, Madhapur, Hyderabad, Telangana, 500081
6. E-mail	investorrelations@granulesindia.com
7. Telephone	040-69043500
8. Website	https://granulesindia.com/
9. Financial year for which reporting is being done	2022-23
10. Name of the Stock Exchange(s) where shares are listed	BSE Limited and National Stock Exchange of India Limited (NSE)
11. Paid-up Capital	₹ 242.04 (in million)
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR Report	Ms. Chaitanya Tummala, Company Secretary, Phone No: 040-69043500, investorrelations@granulesindia.com
13. Reporting boundary Are the disclosures under this Report made on a standalone basis (i.e., only for the entity) or on a consolidated basis (i.e., for the entity and all the entities which form a part of its consolidated financial statements, taken together).	The disclosures made in this Report are on a standalone basis for Granules India Limited

II. Products/services

14. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of main activity	Description of business activity	% Of turnover of the entity (FY23)
1.	Pharmaceuticals	Development, manufacturing and sale of Active Pharmaceutical Ingredients (API), Pharmaceutical Formulations Intermediates (PFIs) and Finished Dosages (FD)	100%

15. Products/Services sold by the entity (accounting for 90% of the entity’s Turnover):

S. No.	Product/Service	NIC Code	% Of total turnover contributed
1.	Manufacture of allopathic pharmaceutical preparations	21002	100%

III. Operations

16. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	6 (Manufacturing plants) 4 (R&D Centres)	11	21

Plant units (National)	Address
Finished Dosage Unit	160/A, 161/E, 162 & 174/A, Gagillapur Village, Dundigal Gandimaisamma Mandal, Medchal-Malkajgiri District – 500 043, Telangana State, India.
API Unit – I	Sy. No. 533, 535, 536, 537 Temple Road, Bonthapally Village, Gummadidala Mandal, Sangareddy District – 502 313, Telangana State, India.
API Unit – II	Plot No. 15A/1, Phase III, IDA Jeedimetla, Qutubullapur Mandal, Medchal-Malkajgiri District, Hyderabad – 500 055, Telangana State, India.
API Unit – III	Sy.No.216, Bonthapally Village, Gummadidala Mandal, Sangareddy District – 502 313, Telangana State, India.
API Unit – IV	Plot No 8, J.N. Pharma City, Tadi Village, Parawada Mandal, Visakhapatnam District – 531 019, Andhra Pradesh, India.
API Unit – V	Plot No. 30, J. N. Pharma City, Parawada Mandal, Visakhapatnam District – 531 019, Andhra Pradesh, India.

R&D Centres (National)	Address
1	Plot No. 56, Road No. 5, ALEAP Industrial Area, Pragathi Nagar, Gajularamaram Village, Qutbullapur Mandal, Medchal-Malkajgiri District, Hyderabad – 500 072, Telangana State, India.
2	Survey Nos. 234/1 to 4 and 6 to 7, 235 /6 to 9 and 245/1 to 3, India Land Global Industrial Park, Hinjewadi Phase -1, Mulshi Taluka, Pune District – 411 057, Maharashtra State, India.
3	H.No.5-33, Sy No.352, Plot No. 8, Road No. 2, ALEAP Industrial Area, Pragathi Nagar, Gajularamaram village, Qutbullapur Mandal, Medchal- Malkajgiri District, Hyderabad – 500 072, Telangana State, India.
4	Lab No: 11 & 13, Building No:1800, Sy No. 101,101/2 & 340, M. N. Park, Genome Valley, Lalgadi Malakpet Village, Shameerpet Mandal, Medchal- Malkajgiri District, 500 078, Telangana State, India.

17. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of states)	All states in India
International (No. of countries)	80+

b. What is the contribution of exports as a percentage of the total turnover of the entity?

92.63% of the business comes from exports

c. A brief on types of customers

Granules India Limited (GIL) is a leading, vertically integrated pharmaceutical Company dedicated to manufacturing Active Pharmaceutical Ingredients (API), Pharmaceutical Formulation Intermediates (PFI) and Finished Dosages (FD) products. Established in 1991, The Company has since successfully forayed into key international pharmaceutical markets of the United States of America, Canada, Latin America, Europe, Asia Pacific, and India.

Known for our process innovation and unparalleled efficiencies, currently the Company supplies more than 50 molecules, pharmaceutical products to 300+ customers in 80+ countries with offices across India, US, and UK. The Company has 7 manufacturing facilities out of which 6 are in India and 1 in the USA and has regulatory approvals from US FDA, EDQM, EU GMP, COFEPRIS, WHO GMP, TGA, K FDA, DEA, MCC, and HALAL.

The Company is a preferred supplier of superior quality pharma products for some of the world’s leading branded pharma and generics companies as well as to the top retailers in the developed markets. Its exports now contributes over 90% of the revenue.

IV. Employees

18. Details as at the end of the Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES						
1.	Permanent (D)	3,650	3,410	93%	240	7%
2.	Other than Permanent (E)		Not Applicable			
3.	Total employees (D + E)	3,650	3,410	93%	240	7%
WORKERS						
4.	Permanent (F)		Not Applicable			
5.	Other than Permanent (G)	2,223	1,806	81%	417	19%
6.	Total workers (F + G)	2,223	1,806	81%	417	19%

b. Differently abled employees and workers

S.no.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)		Nil			
2.	Other than permanent (E)					
3.	Total differently abled employees (D + E)					
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)		Nil			
5.	Other than permanent (G)					
6.	Total differently abled workers (F + G)					

19. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	10	2	20%
Key Management Personnel*	6	2	33%

*Key Management Personnel comprise of Managing Director, Executive Directors, Chief Financial Officer, and Company Secretary.

20. Turnover rate for permanent employees and workers

	FY 2022-23			FY 2021-22			FY 2020-21		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	38%	42%	38%	27%	27%	27%	23%	19%	23%
Permanent Workers	NA								

V. Holding, Subsidiary and Associate Companies (including joint ventures)

21. (a) Names of holding/subsidiary/associate companies/joint ventures

S. No.	Name of the holding/subsidiary/associate companies/joint ventures (A)	Indicate whether holding/ Subsidiary/Associate/Joint Venture	% of shares held by listed entity	Does the entity indicated at column A participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Granules USA, Inc.	Subsidiary	100%	No
2	Granules Pharmaceuticals, Inc.	Subsidiary	100%	No
3	Granules Europe Limited	Subsidiary	100%	No
4	Granules Consumer health	Step down subsidiary	100%	No
5	Granules Life Sciences Private Limited	Subsidiary	100%	No
6	Granules CZRO Private Limited formerly known as CZRO Molecules Pvt. Ltd.	Subsidiary	100%	No

VI. CSR Details

22. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)

Yes, CSR is applicable to the Company as per section 135 of Companies Act, 2013.

(ii) **Turnover (in ₹)** - ₹ 39,312 million

(iii) **Net worth (in ₹)** - ₹ 26,144.2 million

23. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Granules has an internal Grievance Policy for addressing Individual Grievances of internal and external stakeholders related to the operations of the Company.

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY 2022 -23			FY 2021-22		
		Current Financial Year			Previous Financial Year		
		No. of complaints filed during the year	No. of complaints pending resolution at close of the year	Remarks	No. of complaints filed during the year	No. of complaints pending resolution at close of the year	Remarks
Communities	Yes	0	0	-	0	0	-
Investors (other than shareholders)	Yes (Link)	0	0	-	0	0	-
Shareholders	Yes (Link)	2	0	-	1	0	-
Employees and workers	Yes	1	0	-	0	0	-
Customers	Yes (Link)	414	0	-	469	0	-
Value Chain Partners	Yes (Link)	0	0	-	0	0	0

All factory units have a Grievance redressal committee to redress individual grievances.

► **Communities:** The Community members can approach the HR manager of the unit, who shall document the grievance and collect the written complaint, which shall be addressed by the Plant Head in consultation with the Corporate Office. Grievance Redressal Policy is available on the intranet. Any grievances received are addressed immediately by Unit Admin, No major concerns received.

► **Investors/Shareholders –** The Stakeholders Relationship Committee investigates various aspects of interest of the shareholders. The Committee ensures cordial investor relations and oversees the mechanism for redressal of investors’ grievances. The Company’s also has Investors Grievance Redressal Policy.

<https://granulesindia.com/wp-content/uploads/2022/03/Investor-Grievance-Redressal-Policy.pdf>

► **Employees:** Any employee who has a grievance shall initially inform his/her supervisor verbally. In case he/she is not satisfied with the resolution; they shall formally approach the Grievance Redressal Committee by a written application. Grievance Redressal Policy is available on the intranet.

POSH Complaints – 1

► **Customers:** All the customer complaints which were received have been resolved in a time-frame as stated in our Quality standard operating procedures and proposed improvements incorporated into the processes and the Company makes sure that no complaints are pending at the end of the financial year. To report an adverse experience with a specific Granules drug product, one can call Granules Pharmacovigilance Team or report at - drugs.safety@granulesindia.com

Customer complaints pertain to packaging, quality, transit, and others.

► **Value Chain Partners:** Downstream related grievances are handled by the marketing team; Upstream grievances handled by supply chain management. In case of any queries or concern partners can reach out to <https://granulesindia.com/register-as-supplier/>.

24. Overview of the entity’s material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

In keeping with the commitment to include sustainability as one of the strategic levers, Granules conducted a detailed Materiality Assessment for the first time in the organization during FY 2022-23.

The Company has identified the material topics in consultation with internal and external stakeholders such as Granules’ Board members, employees, customers, investors and research analysts, suppliers and NGOs.

Through the assessment, Granules has been able to recognize, examine, and analyse potential sustainability issues across the pillars of environmental, social, and governance that might have an effect on its operations and the stakeholders involved. These initial topics were screened and prioritized with the help of senior leadership to arrive at a final list.

It has helped the Company understand their expectations as well as sustainability aspects that have tangible bearings on the business.

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/ opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	GHG Emissions	Risk	▶ Impact on the environment ▶ Global regulatory risks	Granules has implemented various initiatives based on identified potential areas of improvements by reputed external agencies like National productivity council (NPC) and Honeywell. Avoidance/Mitigation of GHG Emissions by Energy Initiatives across all units by: ▶ Replacement of Transformers/blowers ▶ Replacement of DX Coil System with Chilled Water Coils ▶ Usage of renewable energy (Solar power to Grid) etc. The Company does continuous monitoring of Total Volatile Organic Content in its manufacturing facilities to ensure that the environment is maintained in good condition. In addition to this we monitor Ambient air quality across the manufacturing facilities and boilers for Suspended Particulate Matter (PM10), Respirable Suspended Particulate Matter (PM2.5) along with harmful pollutants like SOx and NOx.	Negative
2	Climate Change	Risk/ Opportunity	Risk: Waste, Water and Energy management have been identified as key material issues under the Climate change and environmental risk. The Climate Change and environmental risks are addressed to emphasize on the Company's climate consciousness and its contribution towards mitigation action plans against climate change.	The Company has carried out energy and water audits in most of its operating units to find potential areas of improvement to save water, energy and reduce Greenhouse Gases (GHG) emissions. We have identified measures for reduction of carbon emissions, increased the percentage of renewable energy, and improved operational efficiency as well as to manage any risks to our operations. Nearly 10% of our electricity demand was procured from an environment-friendly renewable source of solar energy. We are looking forward to further exploring the increase of solar power consumption. This clean and renewable source of energy would indirectly help in reducing our carbon footprint.	Negative
3	Water Management	Opportunity		We are maintaining Zero Liquid Discharge (ZLD) System and Effluent Treatment Plants with RO Recovery System to ensure that the effluents generated are treated to minimize the environmental impact and reuse the resources wherever possible. The treated water is suitably recycled back into the utility makeup. We have reduced our dependence on groundwater through water conservation techniques like rainwater harvesting, recycling, and effluent water treatment.	Positive
4	Waste Management	Risk/ Opportunity	In addition to the above there will be certain regulatory risks associated with waste management. Opportunity: Comprehensive resource management plans in alignment with the Company's environment conservation strategy will highlight the Company's commitment towards improving environment preservation and its contribution towards climate change mitigation action plans.	Under clean manufacturing, all the solid wastes generated at our manufacturing plants are either sent to cement industries for co-processing or to authorized vendors. Hazardous waste and non-hazardous waste are segregated at source and stored at dedicated spaces in the manufacturing facilities. Hazardous waste is stored category wise in hazardous waste storage areas and disposed off to Pollution Control Board authorized disposal facilities as per applicable regulations. Almost 100% of the non-hazardous waste generated is sent to authorized recyclers for recycling in-turn creating an effective and efficient waste management system.	Negative/ Positive

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/ opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
5	Employee Engagement and Well Being	Opportunity	▶ Wellness and Wellbeing of the employees is the company's priority.	“Granules wants to be employer of choice.” And Employee wellbeing is our topmost priority. The Company organizes quarterly health awareness campaigns, conducts meditations and stress management sessions by eminent speakers. The Company has tied-up with “Ekincare” integrated platform that provides access to multitude of healthcare services such as 24*7 chat with doctors, health check-ups at concessional rates, medicines purchase and delivery, access to. Gyms etc. This will help the management achieve its goals in terms of creating a conducive work environment and help employees realize their potential.	Positive
6	Occupational Health & Safety	Risk	▶ Exposure of employees to Work related Hazards. ▶ Legal Repercussions	We strive to adhere to the standards as per Environment, Health & Safety (EHS) and Sustainability. The failure of compliance to these standards lead to regulatory, reputational, and business continuity risks which may in turn impact sustainability of our business adversely. We have an occupational health and safety management system certified as per ISO 45001:2018. We also have occupational Health centres in formulation facilities and the units have medical assistance round the clock. Employees are provided with training to make them familiar with applicable Health and Safety guidelines and report any unsafe conditions or acts, near misses to the functional heads.	Negative
7	Human capital Development	Opportunity	▶ Talent Acquisition and Retention ▶ Skill Development	We value diversity in our workforce and all efforts are made to ensure that we provide an inclusive working environment and are able to attract and retain diverse talent. Also, we encourage and nurture talent within the organization by conducting skill development and career development workshops. Granules has partnered with Swarna Bharat Trust to provide skill development programs and nurture talent. These youth are given the opportunity to be part of the “Earn & Learn” program. Students who are trained at Pharma Pathshala are given an opportunity to work with us, following the successful completion of the programme. We have launched the “Granules Learning Academy” concept that includes Training of Grass-Root employees on Fundamentals of Unit of Operation, in Manufacturing and in Quality Control. Role based training pertaining to guidelines and standards is being initiated for managers engaged in pharmaceutical manufacturing. Our Code of Conduct covers all the stakeholders including groups/Suppliers/ Contractors/ NGOs/Others. We always encourage our employees and all the stakeholders not to engage in any unfair trading practices, irresponsible advertising, or anti-competitive behavior. We have procedures in place to ensure that the business of the Company is carried out fairly and responsibly.	Positive
8	Business Ethics and Integrity	Risk	▶ Business integrity breach can hamper the Company's credibility and effect Brand image	Our Code of Conduct covers all the stakeholders including groups/Suppliers/ Contractors/ NGOs/Others. We always encourage our employees and all the stakeholders not to engage in any unfair trading practices, irresponsible advertising, or anti-competitive behavior. We have procedures in place to ensure that the business of the Company is carried out fairly and responsibly.	Negative
9	Sustainability Governance	Opportunity	▶ Improves the visibility of the company in global market	▶ The Company released its first CDP Disclosure in 2022. ▶ The Company has engaged BSI for external assurance. ▶ Engaged with external stakeholders such as SEBI and rating agencies like CRISIL to benchmark competitors and receive their insights.	Positive
10	Data Privacy and Cyber Security	Risk	▶ Threat of Cyber Attacks	Lack of a strong data integrity and security mechanism may lead to increase in number of data breaches and loss of valuable data. Mitigation Measures: 1. Preparation/Revision of SOPs like IT Policy, Information Security Backup are completed. Presently, there are revisions due to enhancements. (In Progress) 2. All servers and firewall devices were upgraded, and licenses were renewed. Storage is upgraded. VSK network is upgraded. (Completed) 3. All server software were upgraded from Windows 2008 to Windows 2019. (Completed) 4. Vulnerability Assessment is completed by third Party consultancy and all points are addressed. (Completed) 5. ISO 27001 certification. (In Progress) 6. Automated backup activity. (In Progress) 7. IT compliance (w.r.t 21 Code of Federal Regulations (CFR)Part 11) gap assessment for all GxP systems by third party. (In Progress) 8. Establish Disaster Recovery Site for critical applications. (In Progress) 9. Implement Cloud Backup for critical applications. (In Progress)	Negative

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity’s policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	N	Y	Y
b. Has the policy been approved by the Board? (Yes/No)	Y	Y	Y	Y	Y	Y	N	Y	Y
c. Web Link of the Policies, if available**	https://granulesindia.com/investors/investor-resources/policies/ (Internal Policies - P2; P3,P5,P6, P9)								
2. Whether the entity has translated the policy into procedures. (Yes/No)	Y	Y	Y	Y	Y	Y	N	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes, at present, our policies under P1, P3, P5 are extended to our suppliers and contractors.								

4.	Name of the national and international codes/certifications/labels/standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g., SA 8000, OHSAS, ISO, BIS) mapped to each principle.
Principle 1	Quality Management System (ISO 9001:2015)
Principle 2	We don’t have a certification currently. However, we ensure that our sourcing is done sustainably
Principle 3	Occupational Health and Safety Management System (ISO 45001:2018)
Principle 4	At Granules, we involve key stakeholders in the process of devising our long-term ESG vision. The Company does not have any international codes/certifications/labels/standards in relation to Principal 4
Principle 5	We conduct our business in a manner that abides by human rights and dignity of people. The Company does not have any international codes/certifications/labels/standards in relation to Principal 5
Principle 6	Environmental management System (ISO 14001:2015), ISO 14064 (GHG Accounting)
Principle 7	We play a strong role in public policy advocacy through regular engagement with specific external stakeholders including industry associations, government bodies and regulatory departments. However, the Company does not have any international codes /certifications /labels/standards in relation to Principal 7
Principle 8	We undertake various CSR activities that address the needs of the community. We currently do not have any international codes/ certifications/labels/standards in relation to Principal 8
Principle 9	We focus on our energies towards understanding and addressing customer expectations thereby building lasting business relationships. We operate in an industry which is highly regulate by the health authorities across the world and our products meet regulatory standards. Currently the Company does not have any international codes/certifications/labels/standards in relation to Principle 9, but we are regularly audited by multiple health authorities for Quality of our product, facility, and assurance.

5	Specific commitments, goals and targets set by the entity with defined timelines, if any.	We have set long term targets of Net Zero by 2050. Along with this we will also scale up our investment towards green pharma. From sustainability governance front we will be establishing enterprise-wide sustainability governance framework. In the near-term horizon, some of our targets and proposed initiatives are as mentioned in this section, along with this we also intend to develop other medium- and long-term targets across our material topics, which will be part of our subsequent sustainability reports and external communications. GHG Emissions: The current near term annual targets to reduce GHG intensity by 5% YoY Key Projects considered for GHG emissions for future prospective: ▶ Installation of Rooftop solar panels ▶ Reduction in fossil fuels ▶ Other Misc. like Electronically commutated (EC) Blower’s installation Energy: The current near term annual targets to reduce energy intensity by 5% YoY
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Key Projects considered for GHG emissions for future prospective:

- ▶ Reduction of Power usage
- ▶ Conventional belt driven blower motors replaced with EC blowers
- ▶ Usage of renewable energy
- ▶ Replacement of blowers and RT pumps with Energy efficient pumps

Water:

The current near term annual targets is to reduce Specific water consumption by 5% YoY

Key Projects considered for Water future prospective:

- ▶ Increase of Rainwater collection and recycling
- ▶ Installing and operating ZLD
- ▶ Reduction in water consumption by recovery of steam condensate
- ▶ Other Misc. like Flash jet pump

Waste:

The current near term annual targets is to reduce specific waste generation by 5% YoY

Key Projects considered for future:

- ▶ Increase in Process residue Liquid disposal to co-processing
- ▶ Proper segregation of various categories of waste and disposing them in a responsible way
- ▶ Reduction in Hazardous waste generation through R&D interventions
- ▶ Other Miscellaneous Decantation of ETP sludge to reduce moisture content

6.	Performance of the entity against the specific commitments, goals, and targets along-with reasons in case the same are not met.	Energy The Specific Energy Intensity (TJ/Million Rupees) is reduced by 15.7% compared to FY 2021-22. This is aligned to the commitment of specific Energy Intensity reduction target of 5% YoY. The overall renewable energy share for FY 2022-23 is 9.03% mainly due to implementation of Solar power usage through open Access. We installed a Solar Power Plant at Gagillapur on March, 2023 with a capacity of 320 KWp; with a maximum power generation of 1,200 KWH, which in turn would reduce 0.972 MT of carbon dioxide on a daily basis. The overall Energy Savings by implementation initiatives: 29,10,106 KWH per annum or 10.476 TJ Emissions In FY 2022-23 Total GHG footprint in MT (Scope1+Scope2) is 1,09,950 tCO₂e The Specific GHG Emission Intensity (tCO₂e/Million Rupees) is reduced by 14% compared to FY 2021-22. Which is aligned to committed Specific GHG Emission Intensity reduction target of 5% YoY. During the current FY, the energy consumption has increased by 2.3% whereas the GHG emissions have increased by only 0.4%, largely due to increase share of Renewable energy. Despite 20% growth in our business and activities out GHG emissions have largely win stagnant (minor increase of 0.4%). Thus our GHG intensity (Measured as GHG emission per Million rupees of sales) has declined by 13.2% from previous year against the target of 5% YoY reduction. In this Fiscal year Greenhouse Gases (GHG) emissions have been avoided due to usage of Solar and other energy efficiency projects. The primary reason for this reduction is initiatives such as usage of renewable solar energy and replacing Transformers/DX Coil System with Chilled Water Coils.
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	Water	The Specific Water Intensity (KL/Million Rupees) is reduced by 28.2% compared to FY 2021-22 due to various water conservation measures implemented and increased in business volumes, which is aligned to committed Specific Water Intensity reduction target of 5% YoY. In this Fiscal year 41,751 KL i.e 12.84% of freshwater consumption has been reduced due to Rainwater collection, Improved water recycling, additional recovery of steam condensate, flash jet pump, recycled water from effluent treatment plants. Percentage of water recycled during this Fiscal year is more than 50%, In GIL –Gagillapur unit about 50% of the treated water is recycled. In GIL Bonthapally Unit-1 more than 90% of treated water is recycled.
	Waste	The Specific Waste Intensity (MT/Million Rupees) is reduced by 28.2% compared to FY 2021-22 due to various waste optimization measures implemented and increased in business Volumes, which is aligned to committed Specific Waste Intensity reduction target of 5% YoY. In this fiscal Hazardous Waste generation was reduced by 462 Metric tons which is 12.8% by optimizing the process. We recycle almost 100% of the non-hazardous waste generated at our manufacturing site. More than 85% of the solid hazardous waste is disposed off to cement industries for co-processing thereby reducing the GHG footprint.

Governance, leadership, and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets, and achievements (listed entity has flexibility regarding the placement of this disclosure)

Our unwavering commitment lies in the pursuit of delivering pharmaceuticals of exceptional quality and affordability, all the while assuming responsibility and implementing measures that foster sustainable growth. We aspire to create a viable future, enhance quality of life, and build resilience through Environmental, Social and Governance (ESG). To achieve this we have devised a comprehensive long-term strategic plan centered around ESG principles, aligning ourselves with the United Nation Sustainable Development Goals and our National Guidelines on Responsible Business Conduct.

In the ever-evolving landscape of the pharmaceutical industry, the concept of green chemistry has gained considerable traction. We are aware of the bearings of our operations on GHG emissions. We are designing our processes, products and facilities to be efficient enough to reduce any negative impact on the environment.

At Granules, we are involving key stakeholders such as employees, regulators, customers, and suppliers in the process of devising our long-term ESG vision. We have engaged with all key stakeholders including our employees, regulators, customers and suppliers, investors, and communities to identify our materiality issues. We have defined these issues as key performance indicators (KPIs) which includes Carbon Emissions, Occupational Health and Safety, Diversity and Inclusion, Water and Waste Footprint, Water and Energy audits at our facilities and brainstorming of several as Operational Excellence projects. Recognizing the importance of a sustainable supply chain, we actively engage with our external value chain partners in our quest for building a resilient and sustainable network.

Our commitment to continuous improvement is exemplified through our unwavering determination to enhance our ESG scores. We aspire to stand among the forefront of sustainability by benchmarking ourselves against the finest industry practices and adopting them as our own.

DR. KRISHNA PRASAD CHIGURUPATI
Chairman & Managing Director

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy/policies	The highest authority responsible for implementation and oversight of the Business Responsibility policy/policies is as follows Dr. Krishna Prasad Chigurupati Designation – Chairman and Managing Director Telephone number – 040-69043500 e-mail id – mail@granulesindia.com
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes/No). If yes, provide details.	The Chairman and Managing Director as stated above oversees the decision making on sustainability related issues.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director/Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	The policies of our Company are reviewed periodically or on a need basis by the Board and Committees of the Board. During this assessment, the efficacy of the policies is reviewed and necessary changes to policies and procedures are implemented.									Few policies are reviewed Annually, and some are reviewed Periodically as per the requirements								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Our Company is compliant to all applicable regulations																	

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency?	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Y	Y	Y	Y	Y	Y	N	Y	Y

12. If answer to question (1) above is “No” i.e., not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Principle 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

Principle 1 of the NGRBC states that ethical behavior is of the utmost importance for businesses to guide their governance of economic, social and environmental responsibilities across all operations, functions and processes. This principle highlights the significance of transparently disclosing business decisions and actions that affect stakeholders, as it forms the essential foundation for practicing responsible business conduct. Such disclosures should be accessible to all relevant stakeholders. The principle acknowledges that businesses are an integral part of society and should take responsibility for effectively adopting, implementing and disclosing their performance.

Granules India focuses on the essence of the Principle by providing mandatory trainings and launching programs such as ‘Granules Learning Academy’ for its employees and workers. Tracking of any unethical action is maintained by the organization and transparent disclosures are provided under this Principle. Granules consists of a strong grievance redressal mechanism that is used to redress any complaint related to unethical behavior received from stakeholders.

Essential Indicator

1. Percentage coverage by training and awareness programmes on any of the principles during the financial year:
- Our people are central to all what we have achieved so far, and source of our optimism for a better and a bright future. At Granules India, we believe that people who feel truly associated with the organization are the ones who perform to their true potential. As a core part of our business strategy, We are committed to providing an environment where all our employees feel enabled with a strong sense of belonging.

We have launched the “**Granules Learning Academy**” concept that includes Training of Grass-Root employees on Fundamentals of Unit of Operation, in Manufacturing and in Quality Control. Role based training pertaining to guidelines and standards is being initiated for managers engaged in pharmaceutical manufacturing.

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	2	The Board of Directors undergo various leadership trainings in dimension of businesses, regulations, code of conduct, ethics and integrity. Trainings such as EY-ISB Board Directors Program for Women and NRC forum meetings by KPMG have been conducted for the leadership.	20%
Key Managerial Personnel	6	The Key Managerial Personnel undertake trainings related to personal effectiveness, time management, behavioral changes, effective communication, goal settings, result orientation and leveraging team strengths that can be used for effectiveness and better applicability in their day to day job.	100%
Employees other than BoD and KMPs	12 Trainings, One Hour Learning, 5 MG Training	Employees and Workers at Granules undergo some mandatory trainings related to Safety, Regulatory Training, Code of Conduct, POSH, Insider Trading, Quality, Soft Skills and Compliance. In furtherance, Granules also rolls out e-mails and updates regarding the above topics as part of its employee awareness.	100%

2. Details of fines/penalties/punishment/award/compounding fees/settlement amount paid in proceedings (by the entity or by directors/KMPs) with regulators/ law enforcement agencies/judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures based on materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity’s website):

Monetary					
	NGRBC Principle	Name of the regulatory/ Enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/Fine	At Granules, we have strict ethical policies, and expect our Directors to be compliant with the code of the Company. During the financial year, no penalty/fine, settlement, compounding fee, imprisonment, or any kind of punishment has been imposed on the Company, Company's Directors and KMPs.				
Settlement					
Settlement					
Compounding fee					
Non-Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case		Has an appeal been preferred? (Yes/No)
Imprisonment	During the financial year, no Non-monetary Punishments were imposed on the Company, Company's Directors and KMPs.				
Punishment					

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
Not Applicable as there were no monetary or non-monetary penalties	

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

We adhere to uncompromising integrity in conduct of business and do not tolerate corrupt and immoral practices. The Code of Conduct addresses these aspects of anti-corruption/anti- bribery and covers all the stakeholders including groups/ Suppliers/ Contractors/ NGOs/Others.

We have procedures in place to ensure that the business is carried out fairly and responsibly. An Employee cannot solicit, encourage, or receive any bribe or other payment, contribution, gift, or favor that could influence our or another’s decision.

Web link- <https://granulesindia.com/wp-content/uploads/2022/03/COBC.pdf>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption.

	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year
Directors	Nil	
KMPs		
Employees		
Workers		

6. Details of complaints about conflict of interest:

	FY 2022-23 Current Financial Year		FY 2021-22 Previous Financial Year	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	There were no complaints regarding conflict of interest in FY 2022-23 and FY 2021-22.			
Number of complaints received in relation to issues of Conflict of Interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines/penalties /action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Since there are no such instances or penalties noted, the requirement of corrective actions does not arise.

Leadership Indicator

1. Awareness programmes conducted for value chain partners on any of the principles during the financial year:		
Total number of awareness programmes held	Topics/principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
-One session covering 80% of total vendors.	Supplier Code of Business Conduct	90% value chain partners*
- One to one sessions for individual Vendors (150 Vendors).	Green sustainability	
	Ethical training	

*The top partners makeup upto 90% of the value chain

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/ No) If yes, provide details of the same.

The commitment of Granules to ethical and lawful business conduct is a fundamental shared value of its Board of Directors, Management. Our standards for business conduct provide that we will uphold ethical and legal standards vigorously as we pursue our financial objectives and business goals, and that honesty and integrity will not be compromised anywhere, at any time. Consistent with these principles,

Granules Board has adopted the Code of Conduct for Board & Senior Management, as a guide to the high ethical and legal standards expected of its members. The Code guides the Directors and senior management personnel to conduct themselves in a professional, courteous, and respectful manner and also ensures to mitigate and prevent conflicts of interest that may arise.

An officer’s duty to the Company demands that he or she avoids and discloses actual and apparent conflicts of interest. The members of the Board must identify the potential conflicts when they arise and notify it to the Company appropriately.

Principle 2: Businesses should provide goods and services in a manner that is sustainable and safe

The Principle places paramount importance on the incorporation of safety and resource-efficiency principles in the conceptualization and production of business products. It underscores the imperative for businesses to utilize their products in a manner that generates value while simultaneously minimizing and alleviating their detrimental effects on environment and society throughout the entirety of their lifecycle, spanning from initial design to disposal.

Granules India has invested in technology that help improve its environmental performance. Energy saving appliances were brought in and replaces with existing old appliances. The organization focuses on reviewing the supplier base on parameters such as environmental regulations, labor laws, and health and safety parameters. The Supplier Code of Conduct outlines the same. Keeping in mind the compliances such as EPR, the organization has started taking steps to get itself registered.

Essential Indicator

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year	Details of improvements in environmental and social impacts
R&D	-	-	2022-23 : Energy Savings -The energy initiatives across all manufacturing units resulted in real reductions of GHG emissions by 8138 tCo2e and an overall savings of ₹ 471 lakhs.
Capex	3.681% (779.62 Lakhs)	0.56% (182.6 Lakhs)	2021-22 : Potential fuel savings of 3.2 KL per annum and energy savings of 7,26,271 KVAH per annum. Air Cooled chillers (2no's*400TR) were replaced with 1000TR Water cooled chiller achieving energy savings of 23,16,488 kvah/annum.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

The Company strives to uphold responsible procurement practices throughout its supply chain. It has implemented well-defined protocols to identify and approve vendors, ensuring rigorous standards are met. To ensure the highest quality of products, periodic site audits, regulatory approval checks and regular samples analyses are conducted.

Suppliers and vendors are evaluated as per procedures on material risk assessment, compliance to environmental regulations, labor laws, carbon footprint, and health and safety parameters for the procurement process.

Granules has a code of conduct for Suppliers which emphasizes its vision and expresses expectation from its Manufacturers/Suppliers/Service Providers/Traders/Consultants/Contractors (hereafter referred to as Supplier(s)), to adhere when conducting business.

The following are the key elements of its Supplier Code:

- ▶ All Suppliers are expected to conduct their business in an ethical manner and act with integrity. Suppliers must conduct business in a manner that abides by human rights and ensure the protection of the human rights of their employees and dignity of people.
- ▶ Suppliers must comply with all applicable environmental regulations and obtain and maintain all required environmental permits, licenses, and registrations.
- ▶ Suppliers shall ensure to provide a safe and conducive work environment to their employees and expected to have the Health and Safety Policy/Guideline for their organizations to define, implement and follow Good Health and Safety Practices in compliance with the applicable local and national regulations.
- ▶ Suppliers shall establish a management system designed to ensure compliance with applicable laws and regulations, identify and mitigate related operational risks, and facilitate continuous improvement.

- b. If yes, what percentage of inputs were sourced sustainably?

100% of Key Starting Materials (KSMs) are sourced sustainably

All our Key Starting Materials (KSMs) vendors are good manufacturing practice (GMP) compliant adopting sustainable practices. As part of routine audits apart from Quality we also rate them for sustainable practices.

3. Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life, for
- (a) Plastics (including packaging)
- (b) E-waste (c) Hazardous waste and
- (d) other waste.

S. No.	Product	Product Process to safely reclaim the product
1.	Plastics (including packaging)	The recycling and disposal of the plastics (including packaging) is carried out as per the Central Government rules and the provisions of the Plastic Waste Management Rules.
2.	E-Waste	E-waste is disposed off through a registered recycler.
3.	Hazardous Waste	Hazardous waste is disposed off to Treatment, storage, and disposal facility (TSDF) or authorized cement industries for further treatment and disposal or compressing.
4.	Other Waste	Bio-medical waste is disposed off through authorized common bio-medical waste facilities.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Granules comes under the purview of EPR and has started the Registration process under plastic waste management rules under importer category.

We have engaged “Recykal” a partner authorized by Central Pollution Control Board (CPCB) to support us in registration process and guiding us for EPR compliance.

Leadership Indicator

1. Has the entity conducted Life Cycle Perspective/Assessments (LCA) for any of its products (for the manufacturing industry) or for its services (for the service industry)? If yes, provide details in the following form at?

NIC Code	Name of Product / Service	% Of total Turnover contributed	Boundary for which the Life Cycle Perspective/ Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
The Company has performed LCA as per the requirements of ISO 14001:2015 – Environmental management systems in the previous periods. Currently, the Company is under the process of assessing LCA requirements.					

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products/services, as identified in the Life Cycle Perspective/Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product/Service	Description of the risk/concern	Action Taken
Not applicable.		

3. Percentage of recycled or reused input material to total material (by value) used in production (For manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or reused input material to total material	
	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year
Not Applicable Being in the business of healthcare, the safe usage and quality of our products are of highest priority. As per Good Manufacturing Practice (GMP) and as a responsible pharma manufacturer, we do not reuse any material/chemical for manufacturing.		

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tons) reused, recycled, and safely disposed of.

Not Applicable, we do not reclaim our products and packaging material at end of life of products.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
We do not reclaim our products and packaging material.	

Principle 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

This Principle encompasses all policies and practices relating to the equity, dignity and well-being, and provision of decent work. It focuses on medical health, employee wellness, retirement benefits, health and safety initiatives and grievances of employees and workers. Business should recognize employee engaged within a business or in its value chain, without any discrimination and in a way that it promotes diversity. Granules focuses on the well-being of the employee and provides benefits, provides equal opportunity to all its employees and has a PWD enables workplaces. Trainings and upskilling program are rolled out for all employees and workers with a strong data tracking mechanism. Granules has a stringent Health and safety system which are ISO certified. Hazop and other health and safety risk assessment are carried out. There are Occupational health centres established at the sites for employees and workers. Safety observations and interactions programme are in place to identify and report all near misses; unsafe acts and unsafe conditions. The Principle expands on the same and highlights Granules policies and processes.

Essential Indicator

1. a. Details of measures for the well-being of employees.

The Company is covering the employees under the group medical health insurance policy and ESI as per their applicability. All employees are covered under Group personal Accident policy. Maternity/Paternity benefit is also provided.

Employees Wellness and wellbeing is of high priority for the Company. In view of providing integrated health care and support services to its employees and their families, the Company tied-up with “**Ekinicare**” integrated platform that provides access to multitude of healthcare services such as 24*7 chat with doctors, health check-ups at concessional rates, medicines purchase and delivery, access to Gyms etc.

With the endeavor to promote physical and mental wellbeing for all the employees, the Company Employee comprehensive annual health camps like Eye, dental and cardiac checkups. The Company also organizes quarterly health awareness campaigns and conducts meditations sessions, stress management sessions by eminent speakers. We also conduct activity-based programmes to encourage fitness in employees through Zumba sessions, Walkathons, Stepathons, etc.

Category	% Of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No. (B)	% (B/ A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. ©	% (E/ A)	No. (F)	% (F/ A)
Permanent employees											
Male	3,410	3,410	100%	3,410	100%	NA	NA	3,410	100%	Not Available	
Female	240	240	100%	240	100%	240	100%	NA	NA		
Total	3,650	3,650	100%	3,650	100%	240	100%	3,410	100%		
Other than Permanent employees											
Male	Not Applicable										
Female											
Total											

b. Details of measures for the well-being of workers:

Category	% Of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No. (B)	% (B/A)	No. ©	% (C/A)	No. (D)	% (D/A)	No. ©	% (E/A)	No. (F)	% (F/A)
Permanent workers											
Male	Not Applicable										
Female											
Total											
Other than Permanent workers											
Male	All are covered under Employee State Insurance Act (ESI), Further benefits depend on the policies of the contractor										
Female											
Total											

2. Details of retirement benefits.

Benefits	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	No. of employee covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employee covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Yes	100%	100%	Yes
Gratuity	100%	100%	NA	100%	100%	NA
ESI	22%	99%	Yes	23%	99%	Yes

3. Accessibility of workplaces

Are the premises/offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

We are currently reviewing the options to make our premises accessible to differently abled employees.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy

The Company has an internal equal opportunity Policy and reiterates its commitment in its code of conduct as follows:

The Company is an equal opportunity employer and makes employment decisions based on merit. We want to have the best available persons for every job. The Company prohibits unlawful discrimination based on race, colour, creed, gender, age, nationality, marital status, national origin or ancestry, physical or mental disability, medical condition including genetic characteristics, sexual orientation or any other consideration made unlawful by Central, State or local laws. It also includes a perception that anyone has any of those characteristics or is associated with a person who has or is perceived as having any of those characteristics. All such discrimination is unlawful.

The Company is committed to compliance with all applicable laws providing equal employment opportunities. This commitment applies to all persons involved in the operations of the Company and prohibits unlawful discrimination by any employee of the Company, including supervisors and co-workers. Weblink: <https://granulesindia.com/wp-content/uploads/2022/03/COBC.pdf>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	81%	NA	
Female	73%	73%		
Total	97%	80%		

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief.

	(If yes, then give details of the mechanism in brief)
Permanent Workers	Any employee who has a grievance shall initially inform his/her supervisor verbally. In case he/she is not satisfied with the resolution, they shall formally approach the Grievance Redressal Committee by a written application. There is an internal “Grievance redressal Policy” on the intranet which enunciates the detailed redressal mechanism.
Other than Permanent Workers	
Permanent Employees	
Other than Permanent Employees	

7. Membership of employees and workers in association(s) or Unions recognized by the listed entity:

Category	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Total employees/ workers in respective category (A)	No. of employees/ workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category©	No. of employees/ workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees						
- Male	Not applicable					
- Female						
Total Permanent Workers						
- Male						
- Female						

8. Details of training given to employees and workers:

Category	FY 2022-23 Current Financial Year				FY 2021-22 Previous Financial Year			
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)
Employees								
Male	3,410	3,300	97%	3,100	91%	3,443	3,218	93%
Female	240	240	100%	220	92%	243	223	92%
Total	3,650	3,540	97%	3,320	91%	3,686	3,441	93%
Workers								
Male	1,806	1,600	89%	1,500	83%	1,716	1,469	86%
Female	417	400	96%	350	84%	313	293	94%
Total	2,223	2,000	90%	1,850	83%	2,029	1,762	87%

9. Details of performance and career development reviews of employees and worker:

Our new Performance Management System connects Company’s objectives and Units/functional objectives with individual employee goals, up to managerial level through rigorous review process. This enables our employees to work on stretched targets while meeting the Company’s objectives.

Category	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees*						
Male	3,410	2,740	80%	3,443	2,674	78%
Female	240	171	71%	243	160	66%
Total	3,650	2,911	80%	3,686	2,834	77%
Workers						
Male	Not Applicable**					
Female						
Total						

* The Company considers employees joined till December of every year for the purpose of performance evaluation. Hence, the above data includes employees joined till December 2022.

** There are no specific performance evaluations for workers. Every six months salaries would be revised based on Minimum Wages Act.

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, what is the coverage of such a system?

Yes, we strive to adhere to the standards as per Environment, Health & Safety (EHS) and Sustainability. The failure of compliance to these standards lead to regulatory, reputational, and business continuity risks which may in turn impact sustainability of our business adversely.

We have an occupational health and safety management system certified as per ISO 45001:2018. We also have occupational Health Centers in formulation facility at Gagillapur, and API facilities at Jeedimetla, Bonthapally and Visakhapatnam. The system is ably supported by various teams which drive safety initiatives to accompany the goal in line with occupational health and safety.

The Company has full-time doctor(s) at all its manufacturing facilities, who attend to any medical issues that arise. The employees also have access to 24/7 nursing assistance onsite.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Processes used to identify work-related hazards Both Routine and Non-routine

- ▶ Hazop (Hazard and operability) studies have been undertaken to Minimize the risk of hazardous substances and energy being emitted, reducing the consequences of a release of the hazardous substances and identification of non-obvious hazards. In the current year we have carried out 62 Hazop studies across units.
- ▶ Applying the Guide Words (No, Less, More, Reverse, etc.) to each of the Process Parameters (Temperature, Pressure, Flow, Level, etc.), to identify deviations from the design intent
- ▶ Determining if the control system and emergency systems are adequate and are sufficiently reliable to prevent each deviation – in the form of an initiating event and enabling conditions – from escalating to an undesirable process incident
- ▶ Estimating the severity of the consequences of each undesired incident, taking into account mitigation safeguards and conditional factors
- ▶ Process Hazard Analysis – to identify and analyze potential causes and consequences of fires, explosions, releases of toxic or flammable chemicals, and major spills of hazardous chemicals.
- ▶ Risk Assessments – To identify health and safety hazards and evaluate the risks presented within the workplace, evaluate the effectiveness and suitability of existing control measures
- ▶ Fire safety management procedures are established in all workplaces
- ▶ Hazard Identification and Risk Assessment (HIRA) process is adopted for identification of work-related hazards in all units.
- ▶ SOP’s and Work instructions are issued for the safe conduct and handling of chemicals.
- ▶ Periodic safety inspections and safety audits are conducted to monitor the compliance to the system requirements and any deviations are immediately highlighted and corrective actions taken.
- ▶ Work permit systems to specify the conditions and procedures for safe execution of the work and to allow the work to be carried out under controlled risk conditions.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks.

The Company has well-established Standard Operating Procedures (SOP) for employees and workers to identify and report on work-related hazards and the subsequent steps to mitigate them. Safety observations and interactions programme in place to identify and report all near misses, unsafe acts and unsafe conditions.

The Company trains all its employees and workers with occupational health and safety modules. Which cover aspects of the methodology to identify work-related hazards, analyses the risks associated with it and take subsequent steps to mitigate them.

During the emergency evacuation drills, employees are trained in dealing with emergency equipment such as fire hydrants, firefighting systems, leak and spill control procedures, safety alarms among others. The training and safety modules equip the employees with the right procedure of reporting work-related hazards and the steps to remove themselves from such situations.

d. Do the employees/ workers of the entity have access to non-occupational medical and healthcare services?

Yes, the Company provides non-occupational medical and healthcare services to its employees. Further, the Company ensures the provision of Group medical insurance to all its employees and dependants.

Contract Employees are provided with health benefits from Employees state insurance (ESI).

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.12	0
	Workers	0	0.15
Total recordable work-related injuries*	Employees	7	10
	Workers	11	5
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	1	0
	Workers	0	1

*Medical treatment cases and reportable incidents

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

We are committed to sustainable development and maintain high standards of health and safety at the workplace and are sensitive to protection of the environment at large by responsible management of waste. We carry our operations in a manner that does not cause any adverse harm to the people or damage to the environment or the communities in and around our workplaces. We comply with applicable laws and regulations with respect to Environment, Health & Safety.

The Company embeds the guidelines and principles of ISO 45001:2018, OSHA standards, Factory act and other state level regulatory requirements within its Environment Health and Safety (EHS) management system.

The internal EHS policy advocates the provision of a safe working environment to all the employees and contractors. The Company undertakes periodic internal and external audits to assess the safety practices and procedures in alignment with the EHS management system and the ISO 45001:2018 guidelines. The Company undertakes periodic internal and external audits to assess the safety practices and procedures in alignment with the EHS management system and the ISO 45001:2018 guidelines.

As part of the auditing procedures, the Company recognizes the critical areas requiring immediate corrective action and analyses mitigation measures. Employees are provided training to make them familiar with applicable Health and Safety guidelines and report any unsafe conditions or acts or accidents to the authority concerned in the Company.

13. Number of complaints on the following made by employees and workers

	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	NIL. The employees report their concerns to the safety committees and the issues are resolved on an immediate basis.					
Health and Safety						

14. Assessments for the year

	% Of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100% Statutory bodies, external customer audits, certification agencies and regulatory authorities
Working Conditions	

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/concerns arising from assessments of health and safety practices and working conditions.

SOI's (Safety observation interactions) are in place to identify unsafe acts and unsafe conditions at the work site. We encourage employees to observe and report any safety related concerns.

We analyze Incident investigations for implementation of corrective action as well as to learn and prevent future occurrences. All manufacturing locations track incident sharing and safety adherence.

We conduct Risk assessments and periodic reviews and based on investigation Corrective and Preventive Actions (CAPAs) that are generated are horizontally deployed across groups.

Leadership Indicator

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Yes, the Company provides Group term life Insurance for all employees and dependents and Group Personal Accident Policy and Future Service liability.

Contract Workers are provided with health benefits from Employees state insurance (ESI) that covers hospitalization costs in the event of an accident or other unforeseen medical emergencies.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

At Granules, we conduct our due diligence process while onboarding a value chain partner to ensure they are compliant with the various norms and regulations as per the law.

We always adhere to the regulatory and applicable compliance with numerous laws. We ensure that our value chain partners also follow relevant compliance, and it is an essential part of the supplier code.

3. Provide the number of employees/workers having suffered high consequence work related injury/ill-health/fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year
Employees	1 (Lost Time Injury – Gagillapur unit)	-	Recovering and still on payrolls	-
Workers	-	1 (Lost Time Injury – GIL-Bonthapally unit)	-	Recovered and currently working with Granules

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Yes, Employees who are due for retirement will be intimated six months prior to the date of retirement to enable them to complete all formalities relating to the retirement and terminal benefits. A gift worth three months gross salary will be handed over to the retiring employee on the last working day. The same severance is applicable in case of termination too.

5. Details on assessment of value chain partners:

Suppliers shall ensure to provide a safe and conducive work environment to their employees and expected to have the Health and Safety Policy/Guideline for their organizations to define, implement and follow Good Health and Safety Practices in compliance with the applicable local and national regulations. Suppliers shall identify and protect their employees from any physical, chemical, and biological hazards as well as from risks associated with any infrastructures.

	% Of value chain partners (by value of business done with such partners) that were assessed
Health and safety conditions	90% of Value chain partners
Working conditions	

6. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from assessments of health and safety practices and working conditions of value chain partners.

The Company works with multiple partners and suppliers to deliver high-quality products and services to its customers. It conducts stringent audits and conducts awareness campaigns to its partners for corrective actions, to ensure compliance.

No corrective action plan has been necessitated on the above-mentioned parameters

Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders

This Principle acknowledges that business exists within a complex ecosystem that encompasses a diverse array of stakeholders. It considers the fact that actions and operations of businesses invariably leaves a mark on natural resources, habitats, and environment. It establishes an imperative for businesses to proactively maximize the positive impacts by the products and adopting comprehensive measures to minimize and mitigate repercussion on all its stakeholders.

Essential Indicator

1. Describe the processes for identifying key stakeholder groups of the entity.

The key principle of sustainable growth is an inclusive growth taking all stakeholders along. It is important to map all major stakeholders and understand the material aspects of sustainability that are important to the stakeholders and Granules.

The typical stakeholders for Granules could be customers, investors/shareholders, Suppliers and business partners, Communities and non-governmental organizations, employees and workers.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable and Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Investors/ Shareholders	No	Investor and analyst meetings Presentations at industry forums Circulation of the Annual Report and Sustainability Report Communicating Financial Results to shareholders AGM	Annually/ Half yearly/ Quarterly/ Need-based	Our investors and shareholders provide us with access to financial resources that support sustainable business growth. Ensuring transparent communication with them is essential to retain and strengthen our relationship of mutual trust. Key topics of interest: Economic performance Sustainability reporting and disclosures Transparency and disclosure of performance
Customers	No	Customers Meets and Feedback	Half-yearly, and need-based	Our customers provide valuable input that helps us understand their requirements. This enables us to strengthen our product portfolio and serve them better. Key topics of interest: Affordable medicines Access to healthcare Emergency medicines
Suppliers and business partners	No	Supplier Meets Visits Supplier audit Facility visits Strategic business partner training and development	Event based and need-based	We depend on our suppliers and business partners for critical business input. It is important for us to understand their challenges and expectations to ensure business continuity and encourage sustainable business practices. Key topics of interest: Business ethics and transparency Status of compliance Training and development of partners and suppliers The environmental footprint of operations

Stakeholder Group	Whether identified as Vulnerable and Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Employees	No	Monthly and quarterly in-house publications Quarterly communication by the Senior Leadership team HR Communications Engagement Programmes	Regular and need-based	We believe that the collective efforts and passion of our employees determine our productivity and profitability. We are committed to meeting their aspirations and ensuring satisfaction and growth. Key topics of interest: Career planning and skill development Market-based compensation, benefits, and amenities Employee welfare programmes
Workers	No	Daily/Monthly and quarterly in-house publications HR Communications Safety Programmes	Regular and need-based	We are committed to Health and wellbeing of our Workers. Key topics of interest: Occupational health and safety Safety Awareness Welfare programmes
Communities and non-governmental organizations	Yes	Interactions through CSR initiatives	Continuous and need-based	Connecting with local communities gives us a better understanding of their needs. It helps us contribute meaningfully to sustainable community development. Our partnerships with NGOs and other organizations facilitate our efforts towards creating shared value. Key topics of interest: Infrastructure development Education and healthcare Environmental protection

Leadership Indicator

- 1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

As a global pharmaceutical company with a diverse set of stakeholders spread across geographies, we consistently engage with our stakeholders to explore opportunities for collaboration to enhance our core capabilities and create shared value. Feedback from such engagements is shared with the Board on a periodic basis.
- 2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes/No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes, The Company has engaged in materiality assessment to gather opinions and insights from its stakeholders to understand stakeholder expectations, concerns, and interests, including assessing numerous potential environmental, social and governance issues risk factors that may impact our operations.

The inputs of stakeholders were used to determine topics that are material to the Company. The outcome of that materiality exercise would be translated into an Integrated ESG Strategy. This strategy framework helps the Company in framing specific sustainability focus, pillars, goals and targets. Apart from this recent exercise, we believe in consultations with our stakeholders on sustainability to implement our major initiatives.
- 3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.**

Skill Development - Pharma Pathshala Granules India Limited has partnered with Swarna Bharat Trust to provide skill development programs to needful youth and support them with employment opportunities.

These youth are given the opportunity to be part of the “Earn & Learn” program. Through various training programs, technical skills are imparted to these targeted youth who are then employable in various pharmaceutical companies. These members are provided with on-the-job training along with opportunities for higher education through the “Self-Managed Team” way of working.

Community Health

Our focus remains steadfast on improving the health and well-being of the communities we work with through sustained interventions. We started a public health clinic in Bonthapally village, which is close to our API facility near Hyderabad.

Equipped with a qualified medical doctor and a paramedic, this clinic provides the first line of treatment for minor ailments such as fever, pains, injuries, among others.\

Principle 5: Businesses should respect and promote human rights

This Principle focuses on upskilling employees on human rights issues, details of basic remuneration, grievances and grievance redressal mechanism. It takes under account the importance of human rights and the awareness amongst organization and its employees. The principle is guided by the United Nation Guiding Principle on Business and Human Rights. The principle sternly affirms that businesses have a crucial obligation to uphold human rights. Additionally, it emphasizes the imperative for businesses to promptly and effectively address any adverse human rights impact that may arise.

Granules India has a Code of Conduct that encloses the human rights aspects. Trainings modules on Code of Conduct highlight the importance of Human Rights.

Essential Indicator

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Granules India sensitizes its code of conduct which covers various aspects of Human rights. Through different training mechanisms and a vigil system in place the Company assures more sensitized workforce towards Human Rights. Granules does not allow engagement of any form of forced labor and child labor and has an internal policy for the same.

Category	FY 2022-23 – Current Fiscal Year			FY 2021-22 – Previous Fiscal Year		
	Total (A)	No. of employees/workers covered (B)	% (B/A)	Total (C)	No. of employees/workers covered (D)	% (D/C)
Employees						
Permanent	3,650	3,650	100%	3,686	3,686	100%
Other than permanent				NA		
Total employees	3,650	3,650	100%	3,686	3,686	100%
Workers						
Permanent				NA		
Other than permanent	2,223	2,223	100%	2,029	2,029	100%
Total workers	2,223	2,223	100%	2,029	2,029	100%

2. Details of minimum wages paid to employees and workers, in the following format

Category	FY 2022-23				FY 2021-22			
	Total (A)	Equal to minimum wage		More than minimum wage	Total (D)	Equal to minimum wage		More than minimum wage
		No. (B)	% (B/A)			No. (E)	% (E/D)	
Employees								
Permanent	3,650	-	-	3,650	100%	3,686	0	0%
Male	3,410	-	-	3,410	100%	3,443	0	0%
Female	240	-	-	240	100%	243	0	0%
Other than Permanent					NA			
Male								
Female								

Category	FY 2022-23				FY 2021-22			
	Total (A)	Equal to minimum wage		More than minimum wage	Total (D)	Equal to minimum wage		More than minimum wage
		No. (B)	% (B/A)			No. (E)	% (E/D)	
Workers								
Permanent					NA			
Male								
Female								
Other than permanent	2,223	2,117	94%	106	6%	2,029	1,758	87%
Male	1,806	1,700	94%	106	6%	1,716	1,534	89%
Female	417	417	100%	-	-	313	224	72%

3. Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	8	3.50 Cr /Per Annum	2	2.10 Cr /Per Annum
Key Managerial Personnel (KMP)	4	2.37 Cr./Per Annum	2	35 Lakhs/ Per Annum
Employees other than BoD and KMP	3,560	6.39 Lakhs/ Per Annum	261	6.66 Lakhs/Per Annum
Workers			NA	

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Granules has zero-tolerance for non-compliant behavior, and we are totally committed to handling any concern and dilemma related to violation of the Code of Conduct. As a matter of general practice, discuss/report your concern with your manager. In case any stakeholder is not comfortable reporting a potential violation to the supervisor, they can raise their concern to the Head of Department or Unit HR Manager or Compliance Officer.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

We conduct our business in a manner that abides by human rights and dignity of people. Human rights include the right to life and liberty, freedom from slavery and torture, freedom of opinion and expression and many more. Everyone is entitled to these rights without discrimination. We respect all employment and immigration laws and do not allow engagement of any form of forced labor and child labor.

At Granules, we follow a staged process in addressing human rights issues:

Raising Concern	As a matter of general practice, discuss/report your concern with your manager. In case you are not comfortable reporting a potential violation to your supervisor, you can raise your concern to the Head of Department or Unit HR Manager or Compliance Officer.
Reporting Violation	Promptly report a potential/actual violation of any laws, Company policies and the Code to your Manager/ Supervisor, Unit HR, CFO or CHRO, Compliance Officer.
Investigation	Every concern and report of violation will be promptly and thoroughly investigated by the Code of Business Conduct Committee and as per applicable law and procedures.
Disciplinary Action	Based on the nature and particulars of violation, the investigation committee recommends corrective and preventive action including disciplinary action.
No Retaliation	We prohibit any form of retaliation against individuals for the reports made in good faith of alleged violation otherwise co-operate in the investigation of such reports.

Whistleblower Policy:

We have devised an effective whistleblower mechanism enabling employees to communicate their concerns about illegal or unethical practices freely. The Company has also established a vigil mechanism for employees to report concerns about any unethical behavior, actual or suspected fraud or violation of the Company’s code of conduct.

The prime objective of this policy is to provide employees and Directors an avenue to raise concerns in line with the commitment of Granules to the highest possible standards of ethical, moral, and legal business conduct and its commitment to open, fearless, genuine concern communication. The pre-eminent intention of this policy is to provide necessary safeguards for the protection of employees from reprisals or victimization, for whistleblowing in good faith.

Prevention of Sexual Harassment Policy (POSH):

As per the requirement of the Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013 ('POSH Act') and rules made thereunder, our Company has formed an Internal Complaints Committee (ICC) for its workplaces to address complaints pertaining to sexual harassment in accordance with the POSH Act. We have a detailed policy for the prevention of sexual harassment at the workplace, which ensures a free and fair inquiry process with clear timelines for resolution.

6. Number of Complaints on the following made by employees and workers:

	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	1	0	All Resolved			
Discrimination at workplace	NIL	NIL		NIL		
Child Labor						
Forced Labor/Involuntary Labor						
Wages						
Other human rights related issues						

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

Granules is committed to a workplace free of harassment, including sexual harassment at the workplace, and has zero tolerance for any such conduct. It encourages reporting of any harassment concerns and is responsive to complaints about harassment. Detailed procedure for handling the misconduct and the punishment thereof is clearly defined in the standing orders. Policies for code of conduct and POSH is in place for prevention and resolution of such instances.

Violation must be reported in good faith. Regardless of the correctness of your interpretation of the facts, Code, applicable law or policy, as long as your report is made in good faith, it will be considered fair. However, filing a false report or with malefice intent is a violation of the Code. Everyone plays an important role in helping us meet the standards reflected in our Code of Conduct.

“Anonymous Reporting” - We have also established another communication channel that employees can use when they want to report violations confidentially and/or anonymously. Confidentiality is ensured to be fully maintained and information will only be shared on a ‘need-to-know’ basis, consistent with the need to conduct an adequate review.

We prohibit any form of retaliation against individuals for the reports made in good faith of alleged violation otherwise co-operate in the investigation of such reports.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, the Company has included compliance with human rights requirements as a part of its standard terms and conditions of its Agreements/Contracts entered with the Suppliers and as a part of its Supplier Code of Conduct. It also has a code of conduct which requires suppliers to comply with applicable laws, labor standards, environmental regulations, and uphold human rights and principles of ethics and integrity in their operations.

9. Assessments of the year

	% Of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labor	100% of plants and offices are assessed through SMETA (Sedex Members Ethical Trade)
Forced/involuntary labor	Audits, external customer audits as per Pharmaceutical Supply Chain Initiative (PSCI)
Sexual harassment	principles and Statutory authorities, certification agencies.
Discrimination at workplace	
Wages	
Others – please specify	

10. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 9 above.

At present, no concerns have been raised. In case it arises, we undertake appropriate improvement measures and corrective actions and keep necessary checks and balances in place to address significant risks/concerns.

Leadership Indicator

1. Details of a business process being modified/introduced because of addressing human rights grievances/complaints.

There has been no human rights violation recorded in the organization in the past and hence we have not made any special amendments to our existing processes or policies.
2. Details of the scope and coverage of any Human rights due diligence conducted

All our policies are defined and designed to protect the value of human rights. In the reporting period, No such due diligence was either warranted or conducted but are covered as part of PSCI audits.
3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, as per the requirements of the Rights of Persons with Disabilities, our Company’s manufacturing premises and offices have infrastructure for differently abled visitors.

4. Details on assessment of value chain partners:

	% Of value chain partners (by value of business done with such partners) that were assessed
Sexual harassment	90% Value Chain Partners
Discrimination at workplace	
Child labor	
Forced/involuntary labor	
Wages	
Others – please specify	

5. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 4 above.

At present, no concerns have been raised. In case it arises, we undertake appropriate improvement measures and corrective actions and keep necessary checks and balances in place to address significant risks/concerns.

Principle 6: Businesses should respect and make efforts to protect and restore the environment

The principle underscores the interconnected nature of environmental concerns at local, regional, and global levels, thereby emphasizing the pressing need for businesses to address issues such as pollution, biodiversity conservation and sustainable use of natural resources. The principle encourages businesses to conduct thorough assessments of the environmental impacts arising from their products and operations, taking measures to minimize and mitigate effects. It advocates the adoption of environmental practices and processes that effectively reduce or eliminate impacts across the entirety of value chain

Essential Indicator

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total electricity consumption (A)	TJ	262.36	257.70
Total fuel consumption (B) (Self generation) - coal + others	TJ	592.18	577.42
Energy consumption through other sources – (Fuels)	TJ	-	-
Total energy consumption (A+B+C) (Refer Notes below)	TJ	854.54	835.12
Energy intensity per rupee of turnover (Total energy consumption/ turnover in Million)	TJ/Million Rupees	0.0217	0.0258
Energy intensity (optional) – the relevant metric may be selected by the entity	TJ/Tons of Production	0.0150	0.0158

Notes:

- ▶ All Conversion factors of fuel density and Default energy conversion factors considered from Defra GHG Conversion Factors 2022.
- ▶ All GHG Emission Factors for Fuels considered from 2006 IPCC Guidelines for National Greenhouse Gas Inventories.
- ▶ All GWP (Global Warming Potentials) Factors for gases considered from IPCC -AR6 WGI Report.
- ▶ Emission factors for grid Energy considered from Central Electricity Authority i.e FY 2021-22 (0.79 tCO₂/MWh) and FY 2022-23 (0.81 tCO₂/MWh).

- FY 2021-22 Data assurance done by BSI for Environmental Parameters with Exclusions for Unit-3 Bonthapally, Corporate Office and R&D Pune. And Data disclosed in the present BRSR Report with respect to FY 2021-22 data includes the units excluded in BSI data assurance scope. Hence there is increase in GHG Footprint FY 2021-22 from 97,406 tCo₂ to 1,05,358 tCo₂.
- Applied same Methodologies and factors (IPCC ,Defra ,CEA) for FY 2021-22 for GHG and Energy calculations same as FY 2022-23 as mentioned in S.No 1 to S.No 4.
- Research centre 2 and R&D -MN Park were established in FY 2022-23 .Hence data reported for R&D FY 2021-22 not includes the R&D facilities established in FY 2022-23.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, We have engaged the British Standards Institution (BSI) for independent assessment of this data.

2. **Does the entity have any sites/facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.**
- We do not undertake any activity under the PAT Scheme.

3. **Provide details of the following disclosures related to water, in the following format:**

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water withdrawal by source (in kiloliters)		
(i) Surface water	0	0
(ii) Groundwater	0	0
(iii) Third party water (Municipal water supplies)	3,41,008 KL	3,86,256.4 KL
(iv) Seawater/desalinated water	0	0
(v) Others (Rainwater Harvesting)	11,143	2242
Total volume of water withdrawal (in kiloliters) (i + ii + iii + iv + v)	3,52,151 KL	3,88,498.4 KL
Total volume of water consumption (in kiloliters)	2,83,330 KL	3,25,081.4 KL
Water intensity per rupee of turnover (Water consumed/turnover) KL/Million Rupee	7.21	10.04
Water intensity (optional) (Water consumption/Ton of production. KL/TON)	4.98	6.16

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, we have engaged British Standards Institution (BSI) for independent assessment of this data.

4. **Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.**
- We are maintaining Zero Liquid Discharge System and Effluent Treatment Plants with RO Recovery System to ensure that the effluents generated are treated to minimize the environmental impact and reuse the resources wherever possible. The treated water is suitably recycled back into the utility makeup.

We treat our wastewater in ETP/ZLD plants wherever possible, and the treated water is used in utility make-up. Total recycled water is more than 50% within the facilities across locations. In GGP 47.23% of the treated water is recycled. In BPL-1 more than 90.78% of treated water is recycled.

5. **Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:**

Parameter	Please specify unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
NOx (see Note 1)	MT	124.1 MT	95.3 MT
SOx (see Note 1)	MT	230.9 MT	186.1 MT
Particulate Matter (PM) (see Note 1)	MT	89.3 MT	93.3 MT
Persistent Organic Pollutants (POP)	Kg	Not Available.* see Note 2 below	
Volatile organic Compounds (VOC)*	Kg	Not Available.* see Note 3 below	
Hazardous air pollutants (HAP)	Kg	Not Available.* see Note 2 below	

Note 1- Currently calculated for Stacks of Diesel Generators (DGs) and boilers

Note 2 - Currently not being monitored would consider monitoring going forward

Note 3 - Data is being monitored through online system but retrieval of data is not feasible as its in the servers of Pollution Control Board (PCB)

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, We have engaged the British Standards Institution (BSI) for independent assessment of this data.

6. **Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:**

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available) (Refer Notes below)*	tCO ₂ eq	56,261.97	54,831.7
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available) (Refer Notes below)	tCO ₂ eq	53,696.04	50,526.5
Total Scope 1 and Scope 2 emissions per rupee of turnover	Ton/Million Rupees	2.80	3.25
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity	Scope 1 and Scope 2/ Ton of production	1.93	1.99

Note 1 (Exclusions):

- Company reimbursed fuel purchase quantity emissions is excluded, since currently there is no system in place to measure the same.
- Rental DG’s energy consumption not accounted for corporate office as there is no system to measure Landlord’s fuel consumption.
- Emissions from other GHG gases are very insignificant, Hence only Co2 considered.
- Sources of Scope1: Fuel reimbursement; Fire extinguishers.

Note 2 (Conversion and Emission Factors):

- All Conversion factors of fuel density and Default energy conversion factors considered from Defra GHG Conversion Factors 2022.
- All GHG Emission Factors for Fuels considered from 2006 IPCC Guidelines for National Greenhouse Gas Inventories.
- All GWP (Global Warming Potentials) Factors for gases considered from IPCC -AR6 WGI Report.
- Emission factors for grid Energy considered from Central Electricity Authority i.e FY 2021-22 (0.79 tCO₂/MWh) and FY 2022-23 (0.81 tCO₂/MWh).
- FY 2021-22 Data assurance done by BSI for Environmental Parameters with Exclusions for GIL -3 Bonthapally , Corporate Office and R&D Pune. And Data disclosed in the present BRSR Report with respect to FY 2021-22 data includes the units excluded in BSI data assurance scope. Hence, there is increase in GHG Footprint in FY 2021-22 from 97,406 tCo₂ to 1,05,358 tCo₂.

- ▶ Applied same Methodologies and factors (IPCC ,Defra ,CEA) for FY 2021-22 for GHG and Energy calculations same as FY 2022-23 as mentioned in S.No 1 to S.No 4.
- ▶ Research Centre 2 and R&D - MN Park were established in FY 2022-23 .Hence data reported for R&D FY 2021-22 not includes the R&D facilities established in FY 2022-23.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, We have engaged the British Standards Institution (BSI) for independent assessment of this data.

7. Does the entity have any project related to reducing Greenhouse Gas emissions? If yes, then provide details.

Producing life-saving drugs involves green-house gas emission and we are working to bring these emissions down by incorporating changes such as design changes and interlocking in AHUs, air-cooled chillers replaced with water cooled chillers, retrofitting LED lighting, power factor improvements, dust collector and flash jet pumps to recover heat from steam condensate.

During the financial year 2022-23, the Granules implemented various energy saving initiatives based on identified potential areas of improvements by reputed external agencies like National productivity council (NPC) and Honeywell (appointed during 2021-22). Our key areas of action include:

Energy efficiency measures:

1. Replacement of Transformers
2. Replacement of blowers
3. Replacement of dedicated Feeder line
4. Replacement of DX Coil System with Chilled Water Coils
5. Provision of interlocking to RT Pumps
6. Reduction of Power usage at GIL-5 Parawada

Renewable energy - Aligning with the Paris Agreement on the reduction of emission of GHG, the Company started using renewable solar energy from the grid through open access.

In the financial year 2022-23, nearly 10% of our total electricity demand was procured from the environmentally friendly open access solar power source. We are looking forward to further exploring this concept and increasing solar power consumption. This clean and renewable source of energy would indirectly help in reducing our carbon footprint.

Rooftop Solar Plant - We have installed a Solar Power Plant at Gagillapur on March, 2023 with a capacity of 320 KWp; with a maximum power generation of 1,200 KWH per day, which in turn would reduce 0.972 MT of carbon dioxide on a daily basis.

Afforestation Project - We are also in the process of converting wastelands into green lands through afforestation. We have adopted forests to conserve biodiversity and as a measure to offset our carbon footprint.

Going further the Company will assess the technical feasibility for Clean Development Mechanism (CDM) project registration at United Nations Framework Convention on Climate Change (UNFCCC).

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	1,081.7	752.1
E-waste (B)	1.6	4.0
Bio-medical waste (C)	1.2	1.5
Construction and demolition waste (D)	0.0	0.0
Battery Waste (E)*	0.0	0.0
Radioactive waste (F)	0.0	0.0
Other Hazardous Waste. Please specify, if any. (G) includes Waste Oil	3,137.01	3,599.62

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Other Non-hazardous waste generated (H) . Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	1,946.9	2,197.4
Metal Scrap (MS, Alluminium etc)		
Paper and Paper Board		
Glass Waste		
Wood Waste		
Total (A+B + C + D + E + F + G + H)	6,168.41	6,554.62

*Old batteries are disposed to the vendor on “buy back system”

For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled - Third Party (Nonhazardous waste, Plastic, Waste oil, E waste)	3,033.61	2,958.12
(ii) Reused		
(iii) Other recovery operations	-	-
Total	-	-
For each category of waste generated, total waste disposed by nature of disposal method (in metric tons)		
Category of waste (Hazardous)		
(i) Incineration (includes Biomedical Waste)	64.4	62.4
(ii) Landfilling	406.3	507.5
(iii) Other disposal operations (AFRF/Co-process/Cement Industries,;)	2,664.1	3,026.6
Total	3,134.8	3,596.5

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Although regulated, the industry produces large volumes of waste that can be segregated as hazardous and non-hazardous. Our manufacturing plants generate a substantial volume of solvents or hazardous waste, and we are working towards reducing the same through process optimization and co-processing. Under clean manufacturing, all the solid wastes generated at our manufacturing plants are either sent to cement industries for co-incineration or to authorized vendors.

Hazardous waste and non-hazardous waste are segregated at source and stored at dedicated spaces in the manufacturing facilities. After a thorough sorting, hazardous and non-hazardous waste are handled separately. Hazardous waste is stored category wise in hazardous waste storage areas, and it is then disposed of to Pollution Control Board authorized disposal facilities as per applicable regulations.

Almost 100% of the non-hazardous waste generated at our manufacturing sites is sent to authorized recyclers for recycling.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details in the following format:

S. No.	Location of operations	Type of operations	Whether the conditions of environmental approval/clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
Our Company does not have operations in ecologically sensitive areas.			

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant Web link
Not applicable					

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

S. No.	Specify the law/regulation/guidelines which was not complied with	Provide details of the non-compliance	Any fines/penalties/action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken if any
Yes. We are compliant with all the applicable environmental laws/regulations/guidelines in India.				

Leadership Indicator

1. Provide break-up of the total energy consumed (in Joules or multiples) from renewable and non-renewable sources, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
From renewable sources (TJ)		
Total electricity consumption (A)	23.71 TJ	27.45 TJ
Total fuel consumption (B)	-	-
Energy consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	23.71 TJ	27.45 TJ
From non-renewable sources (TJ)		
Total electricity consumption (D)	238.65 TJ	230.25 TJ
Total fuel consumption (E)	592.18 TJ	577.42 TJ
Energy consumption through other sources (F)	-	-
Total energy consumed from non-renewable sources (D+E+F)	830.83 TJ	807.67 TJ

2. Provide the following details related to water discharged:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water discharge by destination and level of treatment (in kiloliters)		
(i) To Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third parties		
- No treatment	-	-
- With treatment – please specify level of treatment - Common effluent treatment plant (CETP)	68,821 KL	63,417 KL
(v) Others		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kiloliters)	68,821 KL	63,417 KL

3. Water withdrawal, consumption, and discharge in areas of water stress (in kiloliters):

Our manufacturing units currently do not fall under “Critical” or “Over-exploited” areas as per the Central Groundwater Board classification.

For each facility/plant located in areas of water stress, provide the following information:	
(i) Name of the area:	Not Applicable
(ii) Nature of operations: Not Applicable	
(iii) Water withdrawal, consumption, and discharge:	

4. Please provide details of total Scope 3 emissions and its intensity, in the following format:

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	We are progressing year on year in emission monitoring. The Company has engaged BSI to validate the methodology during the year, going forward we aim to track Scope 3 emission calculations.	
Total Scope 3 emissions per rupee of turnover	Metric tonnes of CO ₂ equivalent		
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity	Metric tonnes of CO ₂ equivalent		

5. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct and indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Our Company does not have operations in ecologically sensitive areas.

6. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions/effluent discharge/waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

The Company realizes the importance of its resources and thus continuously strives to optimize and make the best possible use of its resources through continuous improvements and operational excellence. The dedicated manufacturing excellence team is continuously thriving for improvements, overall product value enhancement, high impact projects and lean processes. During the financial year 2022-23, we have implemented various energy saving initiatives based on identified potential areas of improvements by reputed external agencies like National Productivity Council (NPC) and Honeywell.

Some of these initiatives include Replacement of Transformers, Replacement of blowers, Replacement of dedicated Feeder line, Replacement of DX Coil System with Chilled Water Coils, Provision of interlocking to RT Pumps, Replacement of RT pumps with Energy efficient pumps, Water Recycle, Usage of renewable energy (Solar power to Grid) at GIL-5 Parawada alongside Supplied 4,03,095 units to grid for the months of April, May and June 2022.

Granules' business model and scale of manufacturing makes us one of the best in resource utilization. During the financial year 2022-23, we have achieved the highest output and productivity which has resulted in reduced consumption coefficients of key utilities such as power, coal, fuel, water etc.

S. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Elimination of Rejects from RO	Procuring RO treated water in Bonthapally unit to reduce the elimination of rejects.	Reduced 64KLD of rejects
2	Clean Manufacturing	Under clean manufacturing, all the solid wastes generated at our manufacturing plants are either sent to cement industries for co-incineration or to authorized vendors.	More than 84.94% of the solid hazardous waste is disposed off to cement industries for co-processing thereby reducing the GHG footprint.
3	Zero Liquid Discharge System	We are maintaining Zero Liquid Discharge System and Effluent Treatment Plants with RO Recovery System to ensure that the effluents generated are treated to minimize the environmental impact and reuse the resources wherever possible.	Total recycled water is more than 50% within the facilities across locations. In GGP 47.23% of the treated water is recycled. In BPL-1 more than 90.78% of treated water is recycled.
4	Usage of renewable energy (Solar power to Grid)	Usage of Solar energy as an alternative to fulfill the plant power requirement.	The overall Energy Savings by implementation initiatives: 2910106 KWH per annum Or10.476 TJ >Savings/Avoidance of GHG Emissions by Energy Initiatives - 10.48 TJ/2299.0 GHG in MT of Co ₂ e >The overall Renewable Energy share at Granules is 9.03% of total Energy drawn from Grid >The overall Savings by implementation is ₹ 471 Lakhs

7. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.
Enterprise Risk Management (ERM) - The Company has adopted an Enterprise-wide Risk Management (ERM) framework to identify, priorities and monitor top rated business risks. The internal Risk committee as created by the Board monitors, evaluates and manages major risks of the Company on an ongoing basis.

The Company has defined a process through which it monitors its present risk profile and risk appetite to re-priorities some of the risks as part of a long-term risk mitigation plan. Under ERM, Deloitte has been engaged to develop Business continuity Plan (BCP) and support to review the Risk management programme. The Draft BCP is ready and being reviewed by Deloitte.

Disaster management plans are put in place to deal with natural calamities. We have an onsite emergency and individual disaster management plan at Unit levels, considering all the potential scenarios.
8. Disclose any significant adverse impact to the environment, arising from the value chain of the entity.
No significant adverse impact has been observed during value chain assessments.
9. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.
90% of our partners are assessed for environmental impacts. We have regular supplier audits and educate the major suppliers on the environmental aspects.

Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

The Principle acknowledges that businesses function within established national policy frameworks that serve as guiding parameters for their growth. It recognizes the rightful authority of businesses to engage with governments for addressing grievances. It underscores the importance of ensuring that engagements with public policy positively impacts society at large and aligns with the principles and promotion of societal well-being. Granules believes in the above statements and has been associated with national trade organization to promote policies and regulations related to pharma companies in the country. Taking an onus of its responsibility as a business, Granules in its BRSR has transparently disclosed on the same.

Essential Indicator

1. a. Number of affiliations with trade and industry chambers/ associations.
The Company is associated with 3 trade and Industry chambers/associations
- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such a body) the entity is a member of/ affiliated to.
- | S. No. | Name of the trade and industry chambers/ associations | Reach of trade and industry chambers/ associations (State/National) |
|--------|--|---|
| 1 | Confederation of Indian Industry (CII) | National |
| 2 | Bulk Drug Manufacturer Association of India (BDMAI) | National |
| 3 | The Federation of Telangana and Andhra Pradesh Chambers of Commerce and Industry (FTAPCCI) | State |

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.
We conduct business in a fair and honest manner. Integrity and Transparency are embedded in our core values.

No adverse orders from regulatory authorities have been received on issues related to anti-competitive conduct by the entity.

Name of authority	Brief of the case	Corrective action taken
None		

Leadership Indicator

1. Details of public policy positions advocated by the entity:
The Company is an active member in Bulk Drug Manufacturer Association of India (BDMAI), The Federation of Telangana and Andhra Pradesh Chambers of Commerce and Industry (FTAPCCI) and Confederation of Indian Industry (CII) and participates in policy discussions with the regulators and government authorities which serves the Company's interests as well as the interest of wider communities.
- | S. No. | Public policy advocated | Method resorted for such advocacy | Whether information available in the public domain? (Yes/No) | Frequency of Review by Board (Annually/ Half yearly/ Quarterly/ Others – please specify) | Web Link, if available |
|---|-------------------------|-----------------------------------|--|--|------------------------|
| Granules, being an active member in Bulk Drug Manufacturer Association of India (BDMAI), represents the pharma industry and takes proactive measures for the benefit of the pharma industry and wider community. We have a Policy on Media and Advocacy which is embedded within our <u>Code of Conduct</u> . | | | | | |

Principle 8: Businesses should promote inclusive growth and equitable development

The principle acknowledges the complex social and economic development challenges of the country. It recognizes the importance of businesses and encourages them to contribute to the overall development of the country.

As a part of its Corporate Social Responsibility, Granules has been actively engaged in anchoring CCSR programs for the benefits of its communities and stakeholders. The organization has identified the themes for CSR and has undertaken projects for benefit of the communities they operate in.

Essential Indicator

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant Web link
Not Applicable, There were no SIA undertaken in the current year.					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% Of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
Not Applicable. All our units are located in Designated Industrial Estates.						

3. Describe the mechanisms to receive and redress grievances of the community.

The Company has an internal Grievance Policy. The Community members can approach the HR manager of the unit, who shall document the grievance and collect the written complaint, which shall be addressed by the Plant Head in consultation with the Corporate Office. The grievance shall be resolved/replied within a period of 30 days from the date of receipt.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

The Company promotes local sourcing and consciously endeavors to source procurement of the goods and services from medium and small vendors from the local areas wherever feasible.

	FY 2022-23 Current Financial Year	FY 2021-22 Previous Financial Year
Directly sourced from MSMEs/ small producers	3%	3%
Sourced directly from within the district and neighboring districts*	47%	48%

*Procured within India

Leadership Indicator

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Not Applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

Current CSR Projects do not cover any designated aspirational districts

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

No, The Company follows a standardized Sustainable procurement policy across all suppliers and vendors.

- (b) From which marginalized /vulnerable groups do you procure?

Not applicable.

- (c) What percentage of total procurement (by value) does it constitute?

Not Applicable

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/Acquired (Yes/No)	Benefit shared (Yes/No)	Basis of calculating benefit share
Not Applicable.				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of the Case	Corrective action taken
Not Applicable.		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefited from CSR Projects	% Of beneficiaries from vulnerable and marginalized groups
1.	Elevated Water Tank at Bonthapally of 1,50,000 liters capacity	3,000 families	75%
2.	Elevated water tank at Veerannagudem Village of 1,00,000 Liters capacity	2,000 families	90%
3.	Pradhanmanthri TB MukT Bharat Abhiyaan	100	90%
4	Skill enhancement programmes to Intermediate Science Students	180	90%
5	LV Prasad Eye Institute - Machinery donated for eye research	Outcome will be identified after research	
6	Funded to Dialysis Center for purchase of equipment to provide the dialysis at nominal prices to poor people	600 persons per month	90%
7	Appointed 4 Volunteer teachers in Bonthapally Govt. School and paying their salaries by Granules	500 Children	90%
8	Donated to Sri Venkateswara Pranadana Trust to construct/establishment of Superspecialty pediatric Hospital at Tirupathi	Estimated 5,000 Families WIP - Outcome will be identified after completion of the project	

Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner

This principle is based on the fundamental purpose of business which is to provide goods and services that are safe and valuable for consumers. Granules acknowledges that consumers have a freedom to choose, and it strives to offer its products that are safe, user-friendly and have benefits for its consumer base. Additionally, the principles also recognizes that businesses have a responsibility to address negative effects that excessive consumption of their products can have n the well-being of the individual, society and the environment.

Granules understand the importance of businesses to provide safe and valuable products and recognize its role ion promoting responsible consumption and strives to abide by the same.

Essential Indicator

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

Granules India strongly emphasizes servicing its customers with the best quality products. The Company not only believes in the delivery of the quality products but also believes in on-time service to all its customers. All the customer complaints which are received have been resolved in a timeframe as stated in our Quality standard operating procedures and proposed improvements are incorporated into the processes. Company makes sure that no complaints are pending at the end of the financial year.

Product complaints are trended on a quarterly/annual basis and improvements are made accordingly. Any complaint from a consumer is logged, investigated and a response provided with action plans as required.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	The Company complies with all the regulatory requirements in relation to display of information on product label. Specific data is not available.
Safe and responsible usage	
Recycling and/or safe disposal	

3. Number of consumer complaints in respect of the following:

During the year under review, the Company has not received any consumers complaints regarding data privacy, advertisement, cyber-security, restricted trade practices and unfair trade practices. The details of other complaints are stated below:

	FY 2022-23 (Current Financial Year)		Remarks	FY 2021-22 (Previous Financial Year)		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy			NIL			
Advertising						
Cyber-security						
Delivery of essential services						
Restrictive Trade Practices						
Unfair Trade Practices						
Other -Packaging, Quality, Transit and others	414	0	-	469	0	-

A root cause analysis is performed to identify corrective and/or preventive actions for each compliant. During the current year, we have provided resolution for all the complaints

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	NIL	
Forced recalls		

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes. The Company has an internal policy available on their intranet.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of consumers; re-occurrence of instances of product recalls; penalty/action taken by regulatory authorities on safety of products/services.

There are no instances related to re-occurrence of product recalls and/or penalty/action by regulatory authorities on safety and product quality. Hence, no corrective actions are applicable/required. Nevertheless, established quality systems are in place to avoid these instances, if any and to ensure the product quality/safety throughout its shelf life.

Leadership Indicator

1. Channels/platforms where information on products and services of the entity can be accessed (provide web link, if available).

- ▶ Active Pharmaceutical Ingredients Catalog - <https://granulesindia.com/products/active-pharmaceutical-ingredients-apis/active-pharmaceutical-ingredients-catalog/>
- ▶ Pharmaceutical Formulations Intermediates Catalog - <https://granulesindia.com/products/pharmaceutical-formulations-intermediates/>
- ▶ Finished Dosages - <https://granulesindia.com/products/finished-dosages/>
- ▶ High Potent Products Catalog - <https://granulesindia.com/products/high-potent-product/>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

We provide clear instructions depicting the active ingredients of the product, caution for consumption or usage, possible side effects and guidelines for storage/disposal.

Material safety data sheet is provided for each product which provides information related to handling and storage of the product. Product leaflet is provided along with each pack which provide information related to administration of drug, compositions and side effects if any as applicable and all this information is self-explanatory.

Further, we provide very specific disclaimers on all the medicines to ensure the usage only as per the direction of healthcare professionals.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Yes, mail communications rolled out to inform consumers of any risk of disruption/discontinuation of services.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief.

Yes, Product name, strength, batch number, expiry date, number of units and manufacturer address details are printed on product labels as per regulatory requirements in readable format.

5. Did your entity carry out any survey about consumer satisfaction relating to the major products/services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

No

6. Provide the following information relating to data breaches:

a. Number of instances of data breaches along-with impact.

NIL

b. Percentage of data breaches involving personally identifiable information of consumers

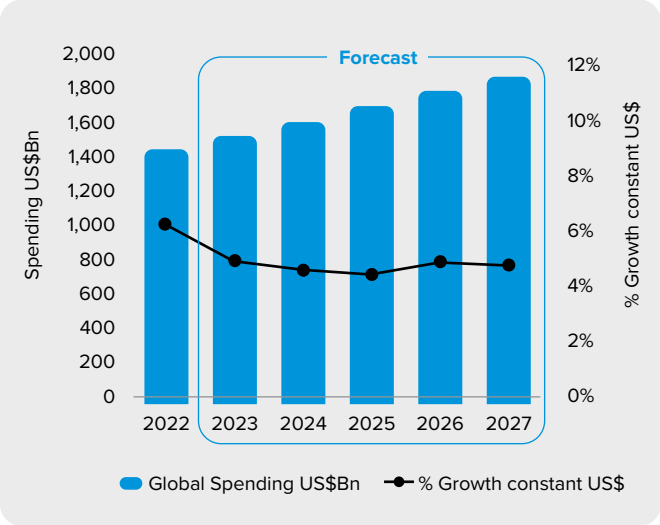
The Company has not witnessed any instances of data breaches during the year.

Management Discussion and Analysis

Global Pharma Outlook

The global pharmaceutical industry is projected to experience a compound annual growth rate (CAGR) of 3-6% between 2022 and 2027, resulting in a total market size of approximately \$ 1.9 trillion. However, regional variations will be observed in terms of spending and volume growth. Established markets are expected to grow at a slower pace, while emerging markets in Eastern Europe, Asia, and Latin America will witness growth in both volume and spending. Among the leading therapy areas, Oncology is anticipated to grow at a CAGR of 13-16%, while Immunology is forecasted to grow at a CAGR of 3-6% by 2027. These trends highlight the dynamic nature of the medicine market and the varying growth opportunities across different regions and therapeutic areas.

Exhibit 1: Global Medicine Market size and growth (2022 to 2027)



Source: IQVIA Market Prognosis, Sep 2022; IQVIA Institute, Nov 2022.
Notes: Does not include estimates for COVID-19 and theraprutics.
Report: The Global Use of Medicines 2023: Outlook to 2027, IQVIA Institute for Human Data Science, January 2023.

The Global Generic market size was estimated to be \$ 319 billion, grew at 4% based on 5 Year CAGR (2017-22)¹. The largest driver of medicine spending through the next five years is still expected to be global COVID-19 vaccinations, but leaving aside the pandemic, global spending on medicines continues to be driven by innovation and offset by losses of exclusivity and the lower costs of generics and biosimilars.

US Market

Spending on the medicine in the US— at net manufacturer prices— reached \$ 429 billion in 2022, growing 5.3% including the continued contribution of COVID-19 vaccines and therapeutics.

Total drug spending at estimated net manufacturer prices increased by \$ 103 billion over the past five years, primarily driven by new products and brand volume. Volume growth has been driven by immunology, oncology, COVID-19 and diabetes.

Source: ¹ IQVIA Report titled Global Market Overview with Future Opportunity in US, July, 2022
Source: ² IQVIA April 2023 report titled" The Use of medicines in the U.S. 2023 - usage and spending trends and outlook to 2027'

Exhibit 2: Global medicine spending and growth by product type

	2022 Spending US\$bn	2018-2022 CAGR	2027 Spending US\$bn	2023-2027 CAGR
Global	1,482	6.1%	1,900-1,930	3-6%
Developed	1,088.3	5.7%	1,370-1,400	2.5-5.5%
10 Developed	968.9	5.7%	1,207-1,237	2.5-5.5%
Other Developed	119.4	6.4%	156-176	4-7%
Pharmerging	370.8	2.2%	487-518	5-8%
Lower Income Countries	23.2	6.0%	23-33	4.5-7.5%

Source: IQVIA Market Prognosis. Sep 2022 IQVIA Institute Nov 2022

Spending on medicines is forecast to be unchanged over the next five years with growth expected between -2 to 1%, remaining similar to current levels of spending at \$ 429Bn. This outlook reflects structural market dynamics, complex usage patterns, and competition, as well as the effects of new policies and legislation.²

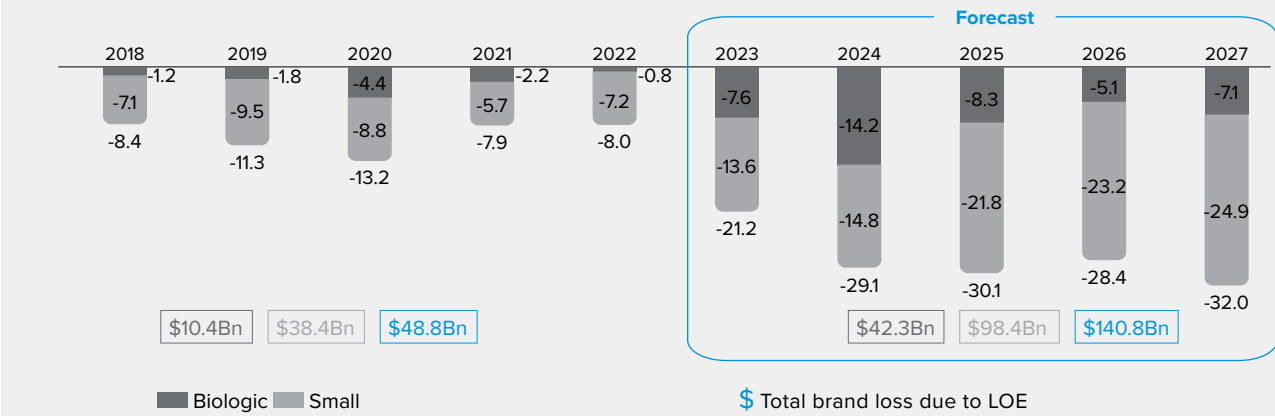
US Generics

The US Generic market size is estimated to be \$ 82 billion in 2022, registering a degrowth of -2% based on 5-year CAGR (2017-22). The expiration of patents for long-standing products used by a large number of patients has led to a significant increase in the overall market share of generic medications, including branded generics, reaching 92% of adjusted prescriptions. Despite this large volume share, these generic products only account for approximately 14.6% of the total spending at the invoice levels.

Generics, including biosimilars, have had modest impact on growth as price deflation has largely offset growth from the related patent expiry events.

Losses of exclusivity in the U.S. are expected to be \$ 141 billion through the period (2023-27), with significant impact on spending for both small molecules and biologics. Small molecule expiries are expected to reduce brand spending by \$ 98 billion through 2027, more than double the impact of the last five years (2018-22)³.

Exhibit 3: U.S. Impact of brand losses of exclusivity (2018 to 2027), US\$ Bn



Source: IQVIA Market Prognosis, Sep 2022; IQVIA Institute, Nov 2022.

US Generic Price Erosion

The US generic pharma industry has been grappling with pricing pressure, supply chain issues, and cost inflation, severely impacting the margins of the players. The price erosion is attributed to several factors such as customer consolidation, intensified competition, and the US government's measures to reduce drug prices for customers. We have observed price erosion in the range of high single digit for FY 22-23. We anticipate that the resultant pricing pressure will lead to the consolidation of the industry towards the stronger players who have better control over the supply chain and are capable of backward integration through innovative manufacturing technology.

Additionally, the COVID-19 pandemic posed significant Raw material pricing challenges for pharmaceutical companies, with key raw material shortages due to China's shutdown. The recent geopolitical instability caused by the Russia-Ukraine war has also led to energy and logistical cost increases, which have further hindered the ease of doing business. However, with the situation gradually improving, these challenges are expected to diminish, and the industry can potentially regain its footing.

European (EU) Region

Spending in Europe is expected to increase by \$ 59 billion over the period 2023-2027, with a focus on generics and biosimilars, and escalating pressures on the value and negotiated prices of novel medicines.

EU Generics

Generics, including biosimilars, are expected to add \$ 12 billion in growth over the next five years (2023-27), about the same as in the past five years despite a larger impact of losses of exclusivity as volume gains will be offset by price deflation.

The impact of losses of exclusivity (LOE) in the five largest European markets (Germany, France, Italy, Spain and the UK) are expected to be more than triple over the next five years, and more than half of the impact is expected to be biologics, with \$ 17.5 billion of the \$ 31 billion total impact. Small molecule LOE is expected to double in terms of impact on brands in the next five years even as they have been a smaller share of overall impact³.

Japan

Japan's medicine spending growth is projected at -2 to 1% over the period (2023-27) as robust brand growth is offset by a shift in annual price cuts and ongoing moves to generics.

Generic's share of spending in Japan is also expected to rise, supported by policies that have been largely effective over this entire 15-year period, encouraging doctors to substitute available generics with a combination of incentives and penalties³.

Source: ³ IQVIA Jan 2023 Report titled – "Global Use of Medicines 2023: Outlook to 2027"

China

China as the world’s second largest country by pharmaceutical spending, will increase volume by 8% in aggregate over five years, while spending will increase 19%, driven by expanding access to novel drugs via the National Reimbursement Drug List (NRDL). Medicine spending in China has risen from \$ 93 billion in 2013 to \$ 166 billion in 2022. By 2027, China is projected to exceed \$ 194 billion, an increase of almost \$30 billion in the next five years (2023-27). Over the past five years spending growth was driven by original branded products, most often from multinational companies, which grew at an average of 10.1% per year to reach 28% of spending in 2022, up from 22% five years earlier. Over the next five years, the government policies to update the National Reimbursement Drug List (NRDL) annually is contributing to a greater share of new original medicines being reimbursed, resulting in higher levels of spending, though these are generally subject to lower negotiated net prices. Over the next five years original brands will grow by more than 5% per year, while other types of products will grow at 4% or less, contributing to the overall growth rate slowing to 2–5%.

Over the Counter (OTC) Drugs Market

OTC or over-the-counter drugs are pharmaceutical products that are perceived to be safe to buy without prescription and are used to treat common symptoms for cold, body pain, allergy, flu, heartburn, acne, and other basic health problems.

The OTC drugs market size was valued at \$ 162 billion in 2022 and is expected to grow at a CAGR of over 5% to reach \$ 266 billion in 2032⁴. Emergence of COVID-19 has affected millions of people across the globe, impacting several industrial sectors. The outbreak has considerably influenced the sales of OTC drugs with increased focus on personal health during the pandemic. This has significantly augmented the intake of cold and flu products besides vitamins. However, in some regions, OTC drug sales were restricted to counteract stockpiling and maintain supply. Increasing availability and manufacturing of OTC drugs for a broad range of common disease conditions will significantly drive the over-the-counter drugs market revenue in the impending years. Repetitive occurrence of common flu and cold impels the demand for therapeutics. Awareness on and demand for vitamin supplements and weight loss products will majorly contribute to the industry value during the forecast period i.e. from 2022 to 2032. Cost-benefits, positive results and broader accessibility are projected to highly fuel demand for over-the-counter drugs.

Indian Pharmaceutical industry

The Indian pharmaceutical industry is currently valued at around \$ 50 billion, with projections showing that it could reach \$ 130 billion by 2030, growing at a compound annual growth rate (CAGR) of 12.3%⁵. This makes it the world’s third largest in terms of volume and eleventh largest in terms of spending.

Source: ⁴Global Market Insights Report of 2022
Source: ⁵As per Ministry of Commerce & Industry

The Indian Pharmaceutical industry holds a significant position in the global market, with Indian companies playing a crucial role in the production of active pharmaceutical ingredients (APIs) and formulations. India has emerged as a major player in the pharmaceutical sector, both in terms of manufacturing and export. Indian Pharmaceutical Industry is the largest provider of generic medicines globally, with a 20% share in the global supply by volume, and is also the leading vaccine manufacturer. The industry is a significant contributor to India's economy, providing direct and indirect employment to over 2.7 million people in high-skill areas like R&D and manufacturing. However, the Indian pharmaceutical industry is heavily reliant on imports from China, with nearly 68% of APIs being imported from China. This dependence on a single supplier for several critical intermediaries and APIs, including those listed in the National List of Essential Medicines, makes the Indian pharma industry vulnerable to disruption in China's bulk drugs market. This was evident during the COVID-19 pandemic when factories in China were hit by lockdown, resulting in a raw material supply shortage for the Indian pharmaceutical sector. Prices of commonly used APIs rose significantly due to increased costs in China and other pandemic-related concerns.

The Indian government has already implemented initiatives such as the Production Linked Incentive (PLI) schemes, medical device and bulk drug parks to boost domestic production of APIs, biopharmaceuticals, complex generics, patented drugs, and various medical devices, making India a global manufacturing hub.

Supply chain issues

China is opening after three years as the government has abandoned its ‘zero-COVID’ policy. On the 8th of January 2023, China opened its borders to the world, allowing free entry, for people of China and the rest of world. It is also good news for global trade and the economy as domestic economic activities resume to pre-Covid levels. The freedom of trans border movement further promises to have positive ripple effects on international business. Trade shows, fairs and expos could finally be resumed, welcoming international buyers back into the country and letting domestic suppliers showcase their latest products.

Overall, the supply situation from China is improving. Manufacturers have started in full swing. We have a good supply situation as well as prices are under control.

The freight situation has eased off as well. Over the past few years, companies around the world have struggled with Covid-19 shutdowns, labor shortages and bottlenecks at ports, rail yards and warehouses delayed freight and drove up shipping costs. The situation seems to be easing up now as freight congestion has cleared, and ocean shipping costs have been falling towards pre-pandemic levels. However, we still have a way to go before supply-chain challenges are resolved.

The solvent prices have also been softening because of gas and crude prices coming down.

Granules Strategy

Our journey so far

Granules India Limited (GIL) is a leading pharmaceutical manufacturing company recognized for its commitment to producing high-quality products and driving innovation. With a strong global presence, we operate as a fully integrated pharma manufacturer. Our success is attributed to our unwavering focus on manufacturing excellence and cost leadership, centered around our core molecules. We have established ourselves as leaders in key molecules, attaining critical scale in the industry. While our growth was primarily driven by the US market, we are now expanding our footprint in Europe, making significant progress in this region as well. Throughout our journey, we have consistently maintained a solid track record in delivering superior quality, adhering to compliance standards, and prioritizing sustainability, Health, and Safety.

Strategy Roadmap

Granules is embarking on an exciting new phase, driven by our vision to take our business to new heights as a science and innovation-driven organization. Our strategic roadmap revolves around the continuous pursuit of manufacturing excellence, embracing innovation, and technology platforms in chemistry, with a strong focus on fostering sustainability. We are committed to revolutionizing manufacturing through the implementation of sustainable practices such as bio-catalysis, process innovation, eco conscious product development, increasing use of renewable energy and renewable energy based ingredients. By prioritizing sustainability as a central theme in our business approach, we aim to not only improve efficiency but also reduce our environmental footprint. This comprehensive strategy positions us to achieve significant advancements and create a positive impact in the industry.

In summary, our strategy going forward focuses on three strategic levers led by focus on R&D, innovation and Sustainability.

- ▶ The first one is strengthening the core by building on our efforts around efficiency, cost leadership, mitigating supply chain risks, growing market share, and moving up in the value chain across select markets.
- ▶ The second strategic lever is Innovation and R&D across our entire value chain from finished formulations, API, and going all the way back to chemical intermediates by reimagining chemistry through innovative technology platforms that we are building.
- ▶ The third part is to create a strategic lever through Sustainability play. One such example is our partnership with Greenko for Green Pharmaceutical Products. The initiative aims to achieve the twin goals of healthy people and a healthy planet by using green energy, green energy enabled industrial feedstocks and creating circular economy around our products.

R&D Initiatives

FY23 was the year of building R&D & Product Development capabilities at Granules. We now have an integrated product development R&D centre at Genome Valley, Hyderabad, Centre of Excellence (CoE) for CII APIs and KSM development at Pragathi Nagar, Hyderabad and a Bio Lab at Pragathi Nagar, Hyderabad. We also have a Formulation R&D centre

at our Granules Pharma Inc (GPI) facility focused on controlled substances and technology driven products.

Our New R&D facility located at Genome Valley (MN Park) for Integrated Product Development has been set up in a sprawling 20,000 Sq. ft and is functioning with more than 150 scientists across both the divisions. The new facility brings API R&D and Formulation R&D teams together under one umbrella. This enables seamless coordination between both the teams leading to agile product development processes and collaborative problem solving. The common analytical resources help us bring efficiency in the R&D processes. Our vision is to develop integrated R&D products helping Granules evolve into an R&D driven organization.

Pragathi Nagar R&D at Hyderabad, has been established as a Center of Excellence (CoE) for the development of CII APIs. We have assembled a skilled team and enhanced the facility specifically for CII API development at Pragathi Nagar, enabling smooth technology transfer to GPI after the development stage. In addition to CII API products, we are also focusing on the development of KSMs and Intermediates for our select APIs. To further strengthen our presence in Controlled Substances, we will continue to leverage the research and development capabilities of Pragathi Nagar, in conjunction with the FD R&D of our subsidiary, Granules Pharma Inc (GPI).

The Bio Lab at Pragathinagar brings capabilities in the areas of fermentation and biotransformation along with Lab and Pilot Scale Manufacturing Platform for the Enzyme led projects.

Our R&D initiatives will help us broaden our capabilities, leading to increased focus on quality of our portfolio and higher number of regulatory filings going forward.

Green score in R&D development

Granules has taken a proactive approach to integrating sustainability into our product development process through the implementation of Green card and Eco scale initiatives. From the early stages of development, we prioritize sustainability by incorporating the Green chemistry matrix, which encompasses key principles such as Atom economy, Atom efficiency, and E-factor. Additionally, we utilize the Eco-Scale concept to assess process efficiency. The Eco-scale score is determined based on evaluations across 6 parameters and 38 sub-parameters at every stage of the reaction. To further drive our sustainability goals, we have established operational targets and set Green score thresholds for process development. This commitment ensures that sustainability is embedded within each of our products, creating a greener and more environmentally responsible approach.

Climate Change and Sustainability Context

The urgency of climate change is undeniable, and it is a challenge that will affect every individual on the planet. Addressing this issue requires cooperation across the public, private, and financial sectors. As we enter a critical decade, the decisions we make will have long-lasting impacts. Businesses have a significant responsibility to lead the way in addressing climate change within their organizations and beyond. With their vast resources and influence, they have the power to drive sustainability initiatives and inspire innovation across industries and fields. In the transition towards a net-zero

economy, businesses have a crucial role to play in developing and implementing solutions for a sustainable future.

According to a recent study by the World Economic Forum, six out of the ten biggest risks facing our future are related to the failure to mitigate or reduce climate change. These risks even surpass global confrontation.

As a result, a deep focus on supply chain decarbonization and green tech is of importance world over.

There has been a strong resolve towards policy interventions in US and EU towards decarbonization efforts. Recently, the European Union passed the European Green Deal, which set a 30-year deadline for climate neutrality on the continent. In the US, the Inflation Reduction Act (IRA) of 2022, makes the single largest investment in climate and energy in American history, aimed at enabling America to tackle the climate crisis, advancing environmental justice, securing America’s position as a world leader in domestic clean energy manufacturing, and putting the United States on a pathway to achieving the Biden Administration’s climate goals, including a net-zero economy by 2050.

Major players in Asia, including China, Japan and South Korea, have followed suit. Now, more than 100 countries have set targets to achieve climate neutrality over the next several decades.

EU Carbon Border Tax

Carbon Border Tax (CBT) is a reality. The 27-member European Union (EU) has been ramping up its climate action efforts with the European Parliament, the bloc’s legislative body, adopting a rapid pace in climate negotiations. The EU has committed to decarbonizing its economy and industry as part of its ambition to turn climate-neutral by 2050. The EU in December 2022 reached political agreement on Carbon Border Adjustment Mechanism (CBAM). On 18 April 2023, the European Parliament approved the political agreement of December 2022 on CBAM. The new reform, will phase out the current system of free CO₂ permits to factories by 2034. Along with this phasing out of free carbon allowances, the EU will phase in another ambitious and first-of-its-kind policy— the Carbon Border Adjustment Mechanism (CBAM), aimed at levelling the playing field for EU and non-EU manufacturers and spurring trading partners to adopt carbon pricing regimes as a critical approach to the climate fight.

The European Union’s Carbon Border Tax Mechanism will impose a levy on imported carbon-intensive goods from countries where climate rules are less strict. The CBAM is at the heart of the EU’s efforts to reach its ambitious climate goals under the European Green Deal. It sends an important signal to producers all over the world: that the EU is serious about cutting emissions and that it expects the same level of commitment from industrial firms exporting into the EU, wherever they may be located.

As per the EU’s policy, Carbon leakage occurs when companies based in the EU move carbon-intensive production abroad to countries where less stringent climate policies are in place than in the EU, or when EU products get replaced by more carbon-intensive imports. By confirming that a price has been paid for the embedded carbon emissions generated in the production of certain goods imported into the EU, the CBAM attempts to

ensure that the carbon price of imports is equivalent to the carbon price of domestic production, and that the EU’s climate objectives are not undermined.

The CBAM will initially apply to imports of certain goods and selected precursors whose production is carbon intensive and at most significant risk of carbon leakage: cement, iron and steel, aluminium, fertilisers, electricity, and hydrogen. With this enlarged scope, CBAM will eventually – when fully phased in – capture more than 50% of the emissions in ETS covered sectors. Under the political agreement, the CBAM will enter into force in its transitional phase as of 1 October 2023.

Once the permanent system enters into force on 1 January 2026, importers will need to declare each year the quantity of goods imported into the EU in the preceding year and their embedded GHG. They will then surrender the corresponding number of CBAM certificates. The price of the certificates will be calculated depending on the weekly average auction price of EU ETS allowances expressed in €/tons of CO₂ emitted. The phasing-out of free allocation under the EU ETS will take place in parallel with the phasing-in of CBAM in the period 2026-2034.

Critics have condemned the CBAM as being protectionist ever since the proposal was put forth last year, and CBAM’s compatibility with WTO rules remains a grey area. However, the writing on the wall is clear. The world is set to move towards a sustainable future and will gradually cover all industries with policy makers in key developed markets taking the lead. While the EU’s initial list covers steel, aluminium, cement, fertilizer, hydrogen, and electricity, the list will gradually expand to cover all products by 2034. The UK, Canada, Japan, the US and others are also bracing up to levy CBT on imports. The UK proposes levying CBT on cement, chemicals, glass, iron and steel, non-ferrous metals, non-metallic minerals, paper and pulp, fertilizer, and power generation.

It is imperative for industries to embrace sustainability in their long-term vision. Shifting to cleaner production processes and using renewable energy to power their plants are among key steps that industry can take to align with these emerging trends.

Sustainability and Pharmaceutical industry

The Biotech and Pharma industry is a significant contributor to global climate change and therefore must be part of the global climate solution. While there has been progress in establishing targets and tracking progress to those targets, overall, the industry’s targets are simply not ambitious enough to keep warming below the 1.5 degrees Celsius threshold that the UN’s Intergovernmental Panel on Climate Change (IPCC) warns earth cannot cross.

While the largest companies by revenue have established goals and continue to reduce scope 1, 2 and 3 emissions, 91% of 75 public companies analyzed in the sector still do not have climate commitments aligned with a 1.5 degrees Celsius world.

The total carbon emissions of pharmaceutical companies increased by 15% to reach 260 million tCO₂e (tons of carbon dioxide equivalent)⁶. Scope 3 emissions, account for Majority of these emissions. According to a report by Reuters, the pharmaceutical industry was found to have a larger carbon footprint than the semiconductor or forestry and paper industry,

which are traditionally considered to be among the most carbon-intensive sectors.

Various global pharma companies and stakeholders in the healthcare sector, including many of our customers, have taken target to reduce their carbon footprint and have announced their net zero commitments. This is a very positive step. However, these commitments apply more towards Scope 1 and Scope 2 emissions for many players, which form approximately 20% of all the emissions in pharmaceutical manufacturing. Scope 3 generates about 80% of the emissions and it is here that they must focus on supply chain and vendor management, neither of which are simple tasks, until each vendor is incentivized and motivated to work towards aggressive targets.

Sustainability Initiatives at Granules

So far, our ongoing sustainability initiatives have been focused on reducing energy consumption, reducing GHG emissions, water stewardship and waste management practices. We have achieved significant emission reduction in the past years. These efforts are being recognized and we have obtained first CDP rankings for Bonthapally and Jeedimetla API units, and various other ratings and certifications, such as ISO 14001 and ISO 45001 certifications across our facilities. Our data is validated with BSI assurance.

We have worked with reputed agencies including Honeywell, APISEEDKO, and NPC which have identified and recommended creative projects to reduce energy and water consumption, as well as ways and means to lower GHG emissions.

During the year under review, we have identified energy savings projectsand were implemented in various manufacturing units of the Company that would lead to potential energy savings of 29,10,106 KWH per annum. During the year under review, approximately 20% of the total energy consumed at the Formulation unit located at Gagillapur, Hyderabad was from Solar Energy. The energy initiatives across all manufacturing units resulted in real reductions of GHG emissions by 8,138 MT CO₂e.

While we have achieved improvements on ESG parameters, we are now working on our broad, long-term road map for sustainability and ESG commitments. This work is underway, and we have completed Stakeholder engagement, Baselineing, and materiality assessment. We will soon be announcing our long term and medium term decarbonization commitment to the stakeholders.

Green Pharmaceutical Zone (GPZ) at Kakinada

While we continue to work on various ongoing ESG initiatives in the organization, we are redefining Sustainability through our green initiative at proposed Green Pharmaceutical Zone (GPZ) at Kakinada, Andhra Pradesh.

During our recent announcement, we shared that we are making significant strides towards achieving our sustainability goals in partnership with Greenko, one of the largest suppliers of carbon-free energy. Through this partnership, we will significantly decarbonize our value streams, reduce our carbon footprint and create new opportunities for growth and innovation in the pharmaceutical industry.

The new Greenfield plant at Kakinada will be built over an area of 100 acres in well-connected strategically located industrial cluster zone with easy access to major port, national highway and rail network. The GPZ will have the access to existing infrastructure such as water and power infrastructure. The water access is provided through the Samalkot canal, which originates from the Godavari River. This ensures the access to a reliable water source for its operations. Additionally, the power requirements are met through the 220 KV double circuit overhead transmission lines.

Greenko will supply 24X7 Carbon free energy and green energy enabled Green molecules. The facility will be powered by 24x7 carbon-free green energy, with only a very few input materials required from outside the two facilities being set up by Granules and Greenko. Granules will utilize Carbon Free Energy and Green molecules to produce value APIs, their KSMs and intermediates and Fermentation based value added products . Thus, we will be achieving near net zero carbon footprint from “Cradle to Gate” across Scope 1, 2 and 3. We are starting with the value chain for two of our key products – Paracetamol and Metformin, and will subsequently expand to value chain for other products in our portfolio and pipeline including Fermentation based products.

Company Overview

Granules India Limited, incorporated in 1991 is a vertically integrated fast growing Indian pharmaceutical company headquartered at Hyderabad. Granules is among the few pharmaceutical companies in the world to be present in the manufacturing of the entire value chain. With offices across India, US, and UK, Granules serves more than 300 customers in over 80 countries. The Company has 8 manufacturing facilities out of which 6 are in India and 2 in the USA and has regulatory approvals from leading health authorities across the world including US FDA, EDQM, EU GMP, COFEPRIS, WHO, TGA, K FDA, MCC, and HALAL.

Granule’s success is an outcome of its best-in-class facilities, unwavering commitment to product quality, culture of operational excellence, and customer service. Granules produces Active Pharmaceutical Ingredients (API), Pharmaceutical Formulation Intermediates (PFI) and Finished doses (FD) and are marketed across key markets of North America, Europe, India, and Latin America. Powered by vertical integration, scale, manufacturing excellence, focused execution, and cost leadership through continuous innovation, Granules offer high quality, affordable medicines to people across the world.

Granules has built one of the largest PFI and single site FD facilities in the world and has the world’s largest Paracetamol API facility. Granules has two state-of-the-art research and development centers in Hyderabad and Virginia, alongside its existing R&D facilities in Pune and Pragathi Nagar (Hyderabad). The Company recently inaugurated a state-of-the-art Integrated Product Research and Development Centre at MN Park Genome Valley in Hyderabad, spanning an expansive 20,000 square feet. The center commenced its operations with a team of over 150 scientists focusing on integrated API and FD product development. Known for our process innovation and unparalleled efficiencies, today, we supply pharmaceutical

⁶Carbon Impact of Biotech & Pharma – Oct 2022

products to 300+ customers in 80+ countries. We are also a preferred supplier of superior quality pharma products for some of the world’s leading branded pharma and generics companies. Our exports now contribute over 94% of the revenue. We progressively moved from being an API to a fully integrated player with dominant finished dosage sales, we have had a US driven growth trajectory built on scale, manufacturing excellence, focused execution, and cost leadership. We are also making good inroads within Europe and contribution from the region has been on an upward trend. We are focused on moving towards manufacturing of complex formulations through differentiated technology. During the year, we have inaugurated the new packing facility in Manassas, Virginia, US. The facility received US FDA approval. This facility will reduce the supply chain issues, cost reduction and improvement in the working capital cycle. Today, we have seven manufacturing units, of which six are India and one in the USA.

Business overview and key business segments

Key business segments

Active Pharmaceutical Ingredients (APIs)

Known as one of the most cost-effective and efficient manufacturers of APIs, we have emerged as a leading manufacturer and supplier of Paracetamol, Metformin, Guaifenesin, and Methocarbamol. We are continuously working to improve our API manufacturing capability to add new products to our portfolio. Today, most of the new PFI and FD products developed by us are supported by vertical integration of respective APIs. An emphasis on adopting advanced technology, backward integration to critical steps combined with the strength of a robust, resolute team, empowers us to consistently meet evolving customer demands with precision and excellence. Presently, the API business accounts for 30% of our revenue.

Revenue

	FY23	FY22	FY21
API	13,414	9,751	9,124

Pharmaceutical Formulation Intermediates (PFI)

We emerged as one of India’s largest PFI manufacturers with a batch processing capacity of six tons. Ensuring economies of scale and cost-efficiency, we brought breakthroughs in the PFI space. The PFIs produced by us can be directly taken to the hoppers from the drums and it has enabled us to become a preferred PFI supplier for some of the most renowned global pharma companies. Presently, the PFI business accounts for 20% of our revenue.

Currently, we are using the PFI facilities at Jeedimetla and Gagillapur to further process into Finished Dosages.

Revenue

	FY23	FY22	FY21
PFI	9,021	8,456	6,262

Finished Dosages (FD)

Over the years, we have sustainably grown our FD capabilities and it is currently contributing over 50% of our revenue. The existing portfolio of finished dosages comprises Caplets, Tablets as well as Press-fit Capsules in Bulk, Blister packs and Bottles. Our state-of-the-art manufacturing facility at Gagillapur is equipped with automated processes, robust infrastructure, and superior quality systems to efficiently produce finished dosages that are marketed in 80+ countries, including the highly regulated markets of the US and Europe. It also produces Bi-layered tablets, Rapid release tablets, and Extended release (ER) tablets. We developed our own ANDAs and dossiers to offer an added advantage to our customers.

Revenue

	FY23	FY22	FY21
FDs	22,684	19,442	16,989

FY22-23 Highlights

Existing Business: The existing core business remained our focal point, while we constantly expanded our product portfolio and global presence with focus on high volume products built on maximizing process efficiencies and vertical integration.

US Generics: Since setting up US sales and marketing operations in 2019, we launched 25 generic products under the GPI label. Focused product selection, development and manufacturing brought in significant growth of the US Generics business. Our portfolio has been constantly evolving from large volume immediate release (IR) products to complex extended/delayed release (ER/DR) products.

Emerging business: The product selection process for our ‘Emerging business’ focuses on identifying and developing high entry barrier products, with diverse complexities at API and/or formulations development. We developed APIs that cover a broad spectrum of therapeutic categories and expanded capabilities into the segment of High Potent APIs (HPAPI) with our state-of-the-art facility at Vishakhapatnam. We also offer development and manufacturing services for customers across the world aligned with their High Potent Formulation requirements.

In finished dosage forms, we filed 70 ANDAs with the U.S. FDA, of which 55 ANDAs were approved and 15 are currently under review. We continued to leverage our ANDA filings into other markets outside US. We filed 8 dossiers in the European region and 7 dossiers in Canada.

We received 5 ANDA approvals from the USFDA. The on-time approvals exemplify the quality of our ANDA filings. In addition, the approval for the dossiers filed in other countries also gained momentum. Approvals were received for 6 dossiers in EU and for 3 dossiers in Canada.

We aim to continue the products of different complexity in each dosage form viz. Immediate release, Extended release, Delayed release, MUPS and Oral suspensions.

Risk Management

In an ecosystem of change and disruption, an organizations’ competitiveness is determined by the agility and resilience of its risk managementsystem. Thevastdevelopmentsintechnologies, supply chain uncertainties, closer regulatory scrutiny bring with them increasing complexities that organizations need to navigate to achieve their strategic imperatives.

In this backdrop, it is vital that our risk management evolve seamlessly to facilitate business-focused insights that balance management of risks with pursual of strategy, to deliver value to our stakeholders. Granules believes it is important to embed a robust risk management system that is integrated and supports delivery of strategy, develop an enterprise-wide view of risk aided by robust mitigation mechanisms.

The Company identifies risks that impact the enterprise, basis interviews with the key business stakeholders, leveraging internal repositories and industry benchmark data; and thereafter prioritizes, and monitors key business risks.

The Risk Management Committee (RMC), a sub-committee of the Board guides the implementation of the Risk Management Policy, reviews the effectiveness of the risk management system, and provides necessary guidance accordingly. The Board of Directors are updated on the enterprise risk profile and mitigations for identified risks.

The Internal Risk Committee evaluates, manages, and monitors key enterprise risks on an ongoing basis. The RMC thereafter reviews the key enterprise risks and the status of the projects that are undertaken or proposed, to mitigate the key risks identified on a half-yearly basis. Each project proposed as part of the mitigation plan, is tracked and reviewed basis the following parameters:

- ▶ Project Milestones and key deliverables with timelines
- ▶ Estimated resource requirements and budget commitments
- ▶ Status of implementation of proposed projects/ mitigation plans

The leadership team identifies and assesses long-term and strategic risks, informed by internal and external perspectives. The ownership of risks is defined at the management team level to review and monitor risks across business units and functions of the organization.

The objective of our Enterprise Risk Management (ERM) programme is to minimize and mitigate potential internal and external risks to achieve strategic objectives and explore opportunities in a risk informed manner to protect and enhance value.

Indicative Key Risk Themes in the Business:

The key risks shall be regularly reviewed and factored into strategic decision-making by our Internal Risk Committee, for effective response plans. The following list illustrates the key risks that were identified as having an impact on Granules’ strategic objectives, and accordingly appropriate mitigation strategies have been designed and implemented:

- ▶ Supply chain disruptions may lead to concerns of failure to supply and potential loss of business and reputation.

Our mitigation strategy is directed towards alternate vendor development and partnership with vendors, extended geographies for vendor selection.

- ▶ Ability to maintain and strengthen regulatory and compliance systems to ensure conformance with mandatory quality standards and efficacy

Our mitigation strategy is directed towards strengthening our capabilities by continuous learning and development initiatives on best practices and regular audits to stay in tune with ever evolving regulatory expectations. We are ensuring implementation of stringent review systems and suitable preventive actions are rolled out.

- ▶ Rising input costs and operational inefficiencies may adversely impact profitability, resulting in lowered business performance

Our mitigation strategy is directed towards establishing a seamless co-ordination between R&D, technology transfer and manufacturing teams with continuous emphasis on Innovation and operational excellence; and continuous engagement with the customers in a transparent manner with respect to the pricing that reflects added input cost.

- ▶ Price erosion and increase in competitive intensity may impact our strategic objectives

Our mitigation strategy is directed towards robust product selection and any course correction, if required. We are investing in science and technology to achieve cost leadership and we are monitoring the market intelligence data to be on top of the competitive landscape in the industry

- ▶ Failing to comply with the Environment, Health, and Safety (EHS) & Sustainability standards could lead to regulatory, reputational, and business continuity risks that may impact sustainability of our business.

Our Corporate EHS function provides EHS guidelines to all manufacturing sites and target for reduction in waste, GHG emission & water utilization. Various projects are underway to ensure that EHS parameters always remain as per expectable standards.

- ▶ Adequacy of business continuity measures to ensure timely recovery and resilience from crisis events including natural calamities

Disaster management plan is put in place to deal with natural calamities.

Granules endeavors to cultivate a risk-intelligent and risk-aware environment that extends beyond our Company and into all our relationships, both internally and externally. Our approach shall facilitate proactive risk management and we aim to continuously improve it to achieve higher levels of performance and integrate risk management into day-to-day operations of our business.

Board’s Report

TO THE MEMBERS OF GRANULES INDIA LIMITED,

The Board of Directors presents the Company’s thirty-second Annual Report and the Company’s audited financial statements (standalone and consolidated) for the financial year ended March 31, 2023.

FINANCIAL RESULTS:

The Company’s financial performance for the year ended March 31, 2023 is summarized below:

	Standalone		Consolidated	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Revenue from Operations	39,312.00	32,384.37	45,119.17	37,649.21
Other Income	99.32	175.11	137.80	176.08
Total Income	39,411.32	32,559.48	45,256.97	37,825.29
Earnings Before Interest, Tax, Depreciation and Amortization (EBITDA)	8,481.71	6,621.61	9,275.99	7,398.45
Less: Finance Costs	386.74	163.53	559.33	232.12
Less: Depreciation	1,455.57	1,261.61	1,844.94	1,586.32
Profit Before Tax	6,639.40	5,196.47	6,871.73	5,580.01
Less: Tax Expenses	1,651.55	1,331.31	1,705.76	1,452.40
Profit for the year	4,987.85	3,865.16	5,165.97	4,127.61
Dividends paid	186.22	371.68	186.22	371.68

Note: The above figures are extracted from the standalone and consolidated financial statements of the Company.

OVERVIEW OF FINANCIAL AND BUSINESS OPERATIONS:

Standalone Financial Summary: On a standalone basis, the revenue from operations was ₹ 39,312.00 millions in FY 2022-23 as against ₹ 32,384.37 millions for FY 2021-22 and the net profit after tax was ₹ 4,987.85 millions in FY 2022-23 as against ₹ 3,865.16 millions for FY 2021-22.

Consolidated Financial Summary: On a consolidated basis, the revenue from operations was ₹ 45,119.17 millions in FY 2022-23 as against ₹ 37,649.21 millions for FY 2021-22 and the net profit after tax was ₹ 5,165.97 millions in FY 2022-23 as against ₹ 4,127.61 millions for FY 2021-22.

For more details, please refer to Management Discussion and Analysis report.

The primary growth driver in FY 22-23 was led by a change in the product mix. On a standalone basis, the Finished Dosages (FD) business contributed the largest share of revenue of the Company at 43.54% while Pharmaceutical Finished Intermediates (PFI) and Active Pharmaceutical Ingredients (API) contributed 23.11% and 33.35% respectively while it was 45%, 25% and 30% for FD, PFI and API respectively for the FY 2021-22.

In FY 2022-23, the Company filed five ANDAs with USFDA, two dossiers in the European region, two ANDS in Canada and one MA in South Africa. The Company also filed seven US DMFs and five Certificates of Suitability (CEP) with EDQM which will be used

for building future revenue from API business. The Company received four USFDA approvals, six approvals in the European region and three approvals in Canada. The management believes that it will continue to strengthen its position through dedicated research and the launch of new products.

Vertical integration has always been the strength and focus area of the Company. It will continue its focus on its core business and strengthen it by enhancing its market presence by backward integration strategies, improving operational efficiencies and continuous supply chain management. The non-core business will also be given equal focus and the Company shall endeavor towards adding new products, cost leadership and most importantly offering reliable and consistent services to all the customers. The Company’s goal of transforming more of its business into the finished dosage business will continue and with this objective, the Company will continue to grow as an integrated pharmaceutical Company in a sustainable and responsible manner.

DIVIDEND:

The Board of Directors has recommended a final dividend of ₹ 1.50/- per equity share (Face value ₹ 1/- per equity share) for the financial year 2022-23, same as the total dividend paid in the previous financial year.

The dividend pay-out is in accordance with the Company’s Dividend Distribution Policy. The Dividend Distribution Policy of the Company may be accessed on the Company’s website at <https://granulesindia.com/wp-content/uploads/pdf/Dividend-Distribution-policy.pdf>.

MATERIAL CHANGES AFFECTING THE COMPANY:

There have been no material changes and commitments affecting the financial position of the Company between the end of the financial year and the date of this report. There has been no change in the nature of business of the Company.

SHARE CAPITAL:

The authorized share capital of the Company is 50,50,00,000 equity shares of ₹ 1/- each. The paid-up share capital is 24,20,42,756 equity shares of ₹ 1/- each.

The Company had allotted 2,86,980 equity shares of ₹ 1/- each during the year upon the exercise of an equal number of stock options by the employees pursuant to the Employees Stock Option Scheme of the Company.

The Company bought back 62,50,000 equity shares of ₹ 1/- each during the financial year 2022-23.

BUYBACK OF EQUITY SHARES OF THE COMPANY:

The Board of Directors of the Company, at their meeting, held on August 09, 2022, approved the buyback of up to 62,50,000 (sixty-two lakh and fifty thousand only) paid-up equity shares of the Company having a face value of ₹ 1 each (representing 2.52% of the total number of fully paid-up equity shares of the Company), at a price of ₹ 400 (rupees four hundred only) per equity share payable in cash for a total consideration not exceeding ₹ 2,50,00,00,000 (rupees two hundred and fifty crores only) through the “Tender Offer” route as prescribed under the SEBI Buyback Regulations, on a proportionate basis, from the equity shareholders / beneficial owners of the equity shares of the Company as on the record date.

The Tender Offer was fully subscribed, and the total number of equity shares bought back under the Buyback was 62,50,000 (sixty-two lakhs fifty thousand) equity shares, at a price of ₹ 400 (rupees four hundred only) per equity share. The total amount utilized in the Buyback was ₹ 2,500 millions excluding transaction costs & applicable taxes.

TRANSFER TO THE INVESTOR EDUCATION & PROTECTION FUND (IEPF):

In terms of Section 124(5) of the Companies Act, 2013 read with Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016, unclaimed dividend amounting to ₹ 7,57,117/- (seven lakhs fifty-seven thousand one hundred and seventeen only) pertaining to the final dividend for the financial year 2014-15 and up to third interim dividend for the financial year 2015-16 was transferred during the year under review to the Investor Education and Protection Fund established by the Central Government. Further, during the year under review, the Company transferred 15,571 equity shares to Investor Education and Protection Fund relating to the investors who have not claimed any dividend from the last seven consecutive years.

The details of the investors whose amount and shares are transferred are available on the website of the Company at <https://granulesindia.com/investors/investor-resources/unclaimed-dividend-shares-transferred-to-iepf/>.

MANAGEMENT’S DISCUSSION AND ANALYSIS REPORT:

Management’s Discussion and Analysis Report for the year under review, as stipulated under regulation 34(2) of the Listing Regulations, is presented in a separate section, forming part of the annual report.

SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES:

SUBSIDIARY COMPANIES, THEIR PERFORMANCE AND DEVELOPMENTS

Granules USA, Inc.

Granules USA, Inc., a wholly-owned foreign subsidiary of the Company, caters to the requirements of customers in the U.S. market. During the FY 2022-23, the Company achieved a turnover of ₹ 7,279.76 millions against the turnover of ₹ 5,171.93 millions for FY 2021-22 and the profit after tax is ₹ 36.23 millions against ₹ 27.61 millions for FY 2021-22.

Granules Consumer Health Inc (GCH) is a wholly-owned subsidiary of Granules USA, Inc. GCH primarily focuses on marketing over-the-counter (OTC) medications to retailers. GCH opened a packaging facility that is approved by FDA in Manassas, Virginia, USA to support its business.

Granules Pharmaceuticals, Inc.

Granules Pharmaceuticals, Inc. (GPI), a wholly-owned foreign subsidiary of the Company located in Virginia, USA focuses on formulation R&D. During the FY 2022-23, the Company achieved a turnover of ₹ 11,193.99 millions against the turnover of ₹ 9,431.14 millions for FY 2021-22 and the profit after tax is ₹ 151.52 millions against ₹ 263.94 millions for FY 2021-22.

During the year FY 2022-23, GPI filed two ANDAs with USFDA, out of which approval was received for one application and the other application is under review. During the year under review, GPI launched one product under its label.

Granules Europe Limited

Granules Europe Limited is a wholly-owned foreign subsidiary of the Company set up in the United Kingdom for focusing on marketing to European customers.

Granules Life Sciences Private Limited

Granules Life Sciences Private Limited is a wholly-owned Indian subsidiary of the Company located in Hyderabad, India is in the process of establishing a greenfield facility to develop and manufacture formulation products.



Granules CZRO Private Limited

During the period under review, the Company incorporated a new wholly-owned subsidiary in India “CZRO Molecules Private Limited” for manufacturing green chemicals.

Further, the name of the Company has been changed to Granules CZRO Private Limited.

The Policy for determining material subsidiaries as approved by the Board may be accessed on the Company’s website at <https://granulesindia.com/wp-content/uploads/2022/03/Policy-on-Material-Subsidiaries.pdf>.

JOINT VENTURE /ASSOCIATE COMPANIES:

The Company has no joint venture or associate Company during the period under review.

No other Company has become or ceased to be a Company’s subsidiary, joint venture or associate Company.

As per the provisions of section 129 of the Companies Act, 2013 read with Companies (Accounts) Rules, 2014, a separate statement containing the salient features of the financial statements of the subsidiary Companies is prepared in Form AOC-1 and it forms part of the consolidated financial statements.

CONSOLIDATED FINANCIAL STATEMENTS:

The consolidated financial statements of the Company and its subsidiaries for FY 2022-23 are prepared in compliance with Section 129(3) of the Companies Act, 2013 and regulation 34 of the Listing Regulations and in accordance with the Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015. The audited consolidated financial statements together with the auditor’s Report thereon form a part of this annual report. The consolidated financial statements have been prepared on the basis of audited financial statements of the Company and its subsidiaries as approved by their respective Boards. As per the provisions of Section 136 of the Companies Act, 2013, the Company has placed separate audited accounts of its subsidiaries on its website at <https://granulesindia.com/investors/financial-reports/annual-accounts-of-subsiaries-jvs/> and a copy of separate audited accounts of its subsidiaries will be provided to the members at their request till the date of the Annual General Meeting of the Company.

COMPLIANCE WITH SECRETARIAL STANDARDS:

The Company has complied with Secretarial Standards issued by the Institute of Company Secretaries of India.

DIRECTOR’S RESPONSIBILITY STATEMENT:

Pursuant to the requirement of Section 134(5) of the Companies Act, 2013, with respect to the Director’s Responsibility Statement, the Board of Directors of the Company to the best of their knowledge and ability hereby confirm that:

- in the preparation of the annual accounts for the year ended March 31, 2023, the applicable accounting standards have been followed and there are no material departures from the same;
- accounting policies have been selected and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2023 and of the profit and loss of the Company for the year ended on that date;
- proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- the annual accounts have been prepared on a going concern basis for the financial year ended March 31, 2023;
- adequate internal financial controls for the Company to follow have been laid down and these are operating effectively; and
- proper and adequate systems have been devised to ensure compliance with the provisions of all applicable laws and these systems are operating effectively.

CORPORATE GOVERNANCE:

The Company is committed to maintaining the highest standards of corporate governance and adhering to the corporate governance requirements set out by the Securities and Exchange Board of India (SEBI). The report on Corporate Governance as stipulated under the Listing Regulations forms an integral part of this report. The requisite certificate from the secretarial auditor of the Company confirming compliance with the conditions of corporate governance is attached to the report on corporate governance.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT:

The Business Responsibility & Sustainability Report for the year under review, as stipulated under regulation 34(2)(f) of the Listing Regulations, is presented in a separate section, forming part of the annual report.

RELATED PARTY TRANSACTIONS:

All related party transactions entered by the Company during the financial year 2022-23 with related parties were in the ordinary course of business and are on an arm’s length basis. During the year, except with the wholly-owned subsidiaries, the Company had not entered into any transaction with related parties which could be considered material in accordance with the policy of the Company on the materiality of related party transactions.

The Policy on the materiality of related party transactions and dealing with related party transactions as approved by the Board may be accessed on the Company’s website at <https://granulesindia.com/wp-content/uploads/2022/03/Granules-Related-Party-Transactions-Policy.pdf>

The particulars of transactions with related parties referred to in section 188(1) are prepared in Form No. AOC-2 pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014 and the same is annexed herewith as **Annexure IV** to the Board’s report.

The details of the transactions with related parties were also provided in the notes to the financial statements.

CORPORATE SOCIAL RESPONSIBILITY:

The Corporate Social Responsibility (CSR) Committee comprised three members out of which one is an Independent Director. The details of the constitution of the Committee and its meetings are provided in the corporate governance report. The CSR activities of the Company are governed through the Corporate Social Responsibility Policy (CSR Policy) approved by the Board and in compliance with Schedule VII of the Act. The CSR Policy may be accessed on the Company’s website at <https://granulesindia.com/wp-content/uploads/pdf/other-information/8328CSR%20Policy.pdf>.

During the year under review, the Company has spent ₹110.02 millions on CSR activities. The annual report on CSR activities is annexed herewith as **Annexure I** to the Board’s report.

NOMINATION AND REMUNERATION COMMITTEE:

The Committee comprised four members out of which three are Independent Directors. The details of the constitution of the Committee and its meetings are provided in the corporate governance report. The Chairman of the Committee is an Independent Director, thereby resulting in independent and unbiased decisions.

The Performance Evaluation and Remuneration Policy framed by the Committee and approved by the Board is directed towards rewarding the performance of Executive and Non-Executive Directors, Key Managerial Personnel and Senior Management Personnel of the Company based on a review of achievements periodically. The Performance Evaluation and Remuneration Policy may be accessed on the Company’s website at <https://granulesindia.com/wp-content/uploads/pdf/performance-evaluation-and-remuneration-policy.pdf>

ENTERPRISE RISK MANAGEMENT:

The Company has a Risk Management Committee of the Board and the details of the Committee and its terms of reference are set out in the corporate governance report.

The Risk Management Committee has been entrusted with the responsibility to

- oversee and approve the Company’s enterprise risk management framework;
- oversee at all the risks that the organization faces such as strategic, financial, credit, market, liquidity, security, property, IT, legal, regulatory and reputational risk.
- identify the other risks and assess that there is an adequate risk management infrastructure in place capable of addressing those risks.

The Company has a proper process for risk management.

INTERNAL FINANCIAL CONTROLS:

Internal financial controls are an integrated part of the risk management process, addressing financial and financial reporting risks. The internal financial controls have been documented, digitized, and embedded in the business processes. An assurance of the effectiveness of internal financial controls is obtained through management reviews, control self-assessment, continuous monitoring by functional experts as well as testing of the internal financial control systems by external consultants on behalf of the management at least once in a year. We believe that these systems provide reasonable assurance that our internal financial controls are designed effectively and are operating as intended.

INTERNAL AUDIT AND CONTROLS:

The Company continues to engage M/s Dhanunjaya & Haranath, Chartered Accountants as its internal auditors. During the year, the Company continued to implement its suggestions and recommendations to improve internal controls. Their scope of work includes a review of the operational efficiency, the effectiveness of systems & processes, compliances and assessing the robustness of the internal control systems in all areas of operations and the financial closure process. Internal auditor’s findings are discussed and suitable corrective actions are taken as per the directions of the Audit Committee on an ongoing basis to improve the performance of the Company.

The Company’s internal control systems are well established and are commensurate with the nature of its business and the size and complexity of its operations. The Audit Committee reviews the adequacy and effectiveness of the Company’s internal control environment and monitors the implementation of audit recommendations. The recommendations/suggestions of the internal auditors are discussed in the Audit Committee meetings.

DIRECTORS AND KEY MANAGERIAL PERSONNEL:

Assessment and appointment of members to the Board are based on a combination of the criterion that includes ethics, personal and professional stature, domain expertise, gender diversity and specific qualifications required for the position. While appointing the Independent Directors, the potential Board member is also assessed on the basis of independence criteria defined in section 149(6) of the Act, and regulation 16(1)(b) of the Listing Regulations.

Cessation

- (1) Mr. Sandeep Neogi resigned as the Chief Financial Officer of the Company w.e.f. close of business hours on December 14, 2022. The Board placed on record its appreciation for his contribution during the tenure.
- (2) During the year under review, Mr. Robert George Cunard (DIN: 08346308) resigned as an Independent Director of the Company with effect from March 17, 2023. The Board placed on record its appreciation for the contribution and guidance rendered by him during the tenure.

Appointment

- (1) The Board of Directors at its meeting held on December 22, 2022, appointed Mr. Mukesh Surana as the Chief Financial Officer of the Company w.e.f December 30, 2022.
- (2) The Board of Directors at its meeting held on May 16, 2023 appointed Mr. Kapil Kumar Mehan as an Additional Director categorized as Non-Executive, Independent Director on the Board from May 16, 2023 to fill the casual vacancy. The appointment is subject to the approval of the shareholders at the ensuing General meeting.

Re-appointment

- (1) In accordance with the provisions of Section 152 of the Companies Act, 2013 and the Articles of Association of the Company, Mr. Harsha Chigurupati, (DIN: 01606477) Executive Director of the Company retires by rotation at the ensuing AGM and being eligible, has offered himself for re-appointment.
- (2) Mr. Arun Sawhney was appointed as an Independent Director for the first term of five years effective October 29, 2018. His office of directorship is due for retirement on October 28, 2023. Based on the recommendation of the Nomination and Remuneration Committee and after considering the performance evaluation of his first term of five years and considering the knowledge, acumen, expertise, experience and the substantial contribution he brings to the Board, the Committee has recommended the appointment of Mr. Arun Sawhney to the Board for a second term of five years. The Board, at its meeting held on May 16, 2023, approved the re-appointment of Mr. Arun Sawhney as an Non-Executive, Independent Director of the Company with effect from October 29, 2023 to October 28, 2028, whose office shall not be liable to retire by rotation.

The Board recommends the above re-appointments to the shareholders. The notice convening the 32nd AGM to be held on August 10, 2023, sets out the details.

In the opinion of the Board, the Directors re-appointed possess the integrity, expertise and experience to perform their functions effectively in the Company.

The Company has received declarations from all the Independent Directors of the Company confirming that they meet the criteria of independence as prescribed both under the Companies Act and the Listing Regulations.

The Board of Directors has complete access to the information within the Company. Independent Directors have the freedom to interact with the Company’s management. Interactions happen during the Board / Committee meetings when executives of the Company are asked to make presentations about the performance of the Company. Apart from this, they also have independent interactions with the statutory auditors, the internal auditors and external advisors appointed from time to time. Further, they meet without the presence of any management personnel and their meetings are conducted to enable the Independent Directors to discuss matters about the Company’s affairs and put forth their combined views to the Board of Directors of the Company.

Key Managerial Personnel

Dr. Krishna Prasad Chigurupati, Chairman and Managing Director, Dr. Kandiraju Venkata Sitaram Rao, Joint Managing Director & CEO, Mrs. Uma Devi Chigurupati, Executive Director, Mr. Harsha Chigurupati, Executive Director, Mr. Mukesh Surana, Chief Financial Officer and Ms. Chaitanya Tummala, Company Secretary are Key Managerial Personnel of the Company during the year under review.

However, Mr. Sandeep Neogi was the Key Managerial Personnel of the Company till he resigned as the Chief Financial Officer of the Company.

BOARD EVALUATION:

The Company has devised a policy for the performance evaluation of the Independent Directors, Board, Committees and other individual Directors and also includes criteria for performance evaluation of the Non-Executive Directors and Executive Directors. Pursuant to the provisions of the Companies Act, 2013 read with the Rules issued thereunder and the Listing Regulations (including any statutory modification(s) or re-enactment(s) for the time being in force), the process for annual evaluation of the performance of the Board, its Committees and individual Directors was carried out.

The performance of the Board and individual Directors was evaluated by the Board after seeking input from all the Directors. The criteria for performance evaluation of the Board included aspects such as Board composition and structure, the effectiveness of Board processes, contribution in long-term strategic planning, etc. The performance of the Committees was evaluated by the Board after seeking input from the Committee Members.

In a separate meeting, the Independent Directors evaluated the performance of Non-Independent Directors and the performance of the Board as a whole including the Chairman of the Board.

EMPLOYEE STOCK OPTION SCHEME:

The Company’s Employees Stock Option Schemes viz. ESOS-2009 & ESOS-2017 have been in place and the Company has made grants under ESOS-2009 & ESOS-2017 to the eligible employees of the Company and its subsidiaries. The Nomination and Remuneration Committee of the Board of Directors of the Company, inter alia, administers and monitors the Employees’ Stock Option Schemes. The Company did not make any grant under ESOS- 2017 during the FY 2022-23. There has not been any material change in the Employee Stock Option Schemes during the financial year under review. The Schemes and their implementation are in line with the SEBI (Share Based Employee Benefits) Regulations, 2021 (“SBEB Regulations”) as amended thereof.

The applicable disclosures as stipulated under the SEBI guidelines as of March 31, 2023 (cumulative position) about the Employee’s Stock Option Schemes are herein under-provided. The issue of equity shares pursuant to the exercise of options does not affect the Statement of Profit and Loss of the Company, as the exercise is made at the market price prevailing as on the date of the grant plus taxes as applicable.

The Nomination and Remuneration Committee of the Board of Directors of the Company, inter alia, administers and monitors the Employees’ Stock Option Scheme. There has not been any material change in the Employee Stock Option Schemes during the period under review. The Schemes and their implementation are in line with the SEBI (Share Based Employee Benefits) Regulations, 2021 (“SBEB Regulations”) as amended thereof.

Under regulation 13 of the Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021, a certificate from M/s. Saurabh Poddar & Associates, Practicing Company Secretaries is annexed herewith as **Annexure-II** to the Board’s report.

The details of the stock options granted/vested/exercised under the Granules India Limited – ESOS 2009 approved by the members in the 18th Annual General Meeting and Granules India Limited –ESOS 2017 approved by the members in the 26th Annual General Meeting, are given below:

Sl. no.	Description	Details of Scheme	
		ESOS-2009	ESOS-2017
(a)	Options granted till date under the scheme	1,56,02,800	2,50,000
(b)	Pricing formula	Closing market price as on the date before the grant date on National Stock Exchange (where there was the highest trading volume).	
(c)	Options vested during the year	3,06,980	75,000
(d)	Options exercised during the year	2,86,980	NIL
(e)	Total number of shares arising as a result of the exercise of options	2,86,980	NA
(f)	Options lapsed/surrendered during the year	3,48,000	1,00,000
(g)	Options lapsed/surrendered to date under the scheme	91,80,272	1,00,000
(h)	Variation in terms of options	NIL	NIL
(i)	Money realized by exercise of options during the year	2,78,37,060	NA
(j)	Total number of options in force	64,22,528	1,50,000
(k)	Employee wise details of options granted during the year to be exercised at	NA	NIL
(k)(i)	Senior managerial personnel	NA	NIL
(k)(ii)	Any other employee who receives a grant in any one year of options amounting to 5% or more of options granted during the year.	NA	NIL
(k)(iii)	Identified employees who were granted an option, during any one year, equal to or exceeding 1% of the issued capital (excluding outstanding warrants and conversions) of the company at the time of grant.	NA	NIL
(l)	Diluted Earnings per share (EPS) under the issue of shares on exercise of options calculated by Accounting Standards – Earning per share.	₹ 20.30 per share	
(m)	Where the company has calculated the employee compensation cost using the intrinsic value of the stock options, the difference between the employee compensation cost shall have been recognized if it had used the fair value of the options.	Not Applicable	
(n)	The weighted-average exercise price, whose exercise price either equals or exceeds or is less than the market price of the stock	₹ 97.00/- per share	NA
(o)	Description of the method and significant assumptions used during the year to estimate the fair values of options.	The assumptions and model used for estimating fair value are disclosed in Note 27 of the Standalone financial statements.	

AUDITORS AND THEIR REPORTS:

Statutory Auditors

M/s. S.R. Batliboi & Associates LLP, Firm of Chartered Accountants, Hyderabad was appointed as the statutory auditors of the Company for a term of 5 (five) consecutive years, at the 31st Annual General Meeting held on July 27, 2022. They have confirmed that they are not disqualified from continuing as auditors of the Company.

The notes on the financial statement referred to in the auditors’ report are self-explanatory and do not call for any further comments. The auditors’ report does not contain any qualification, reservation, adverse remark or disclaimer.

Secretarial Auditor

The Board has appointed M/s. Saurabh Poddar & Associates, Company Secretaries, to conduct a secretarial audit for the financial year 2022-2023. The secretarial audit report for the financial year ended March 31, 2023 is annexed herewith as **Annexure III** to the Board’s report. The secretarial audit report does not contain any qualification, reservation or adverse remark.

DISCLOSURES:

Meetings of the Board

Seven meetings of the Board of Directors were held during the year. The particulars of meetings held and attended by each Director are detailed in the Corporate Governance report, which forms part of this report.

Audit Committee

The Audit Committee is comprised of four (4) Members out of which three (3) are Independent Directors and one (1) is an Executive Director. During the year under review, six Committee meetings were held, details of which are provided in the Corporate Governance report. During the year under review, there were no instances when the recommendations of the Audit Committee were not accepted by the Board.

Whistleblower Policy and Vigil Mechanism

The Company has established a mechanism for Directors and employees of the Company to report concerns about unethical behaviour, actual or suspected fraud, or violation of the Code. It also provides for adequate safeguards against the victimization of employees who avail the mechanism and allows direct access to the Chairperson of the Audit Committee in exceptional cases. During the year, no person was denied access to the Audit Committee.

The Whistleblower policy may be accessed on the Company’s website at <https://granulesindia.com/wp-content/uploads/2022/06/Granules-India-Limited-whistle-blower-policy.pdf>

Code of Conduct

A declaration regarding compliance with the code of conduct signed by the Company’s Joint Managing Director & CEO is published in the Corporate Governance report which forms part of the annual report.

Particulars of Loans given, Investments made, Guarantees given and Securities provided

Particulars of loans given, investments made, guarantees given and securities provided are provided in the standalone financial statement (Please refer to Note No.4A, 4B and 26(b) to the standalone financial statement).

Conservation of Energy, Technology Absorption and Foreign Exchange Earnings and Outgo

The particulars relating to the conservation of energy, technology absorption, foreign exchange earnings and outgo, as required to be disclosed under the Act, are annexed herewith as **Annexure V** to the Board’s report.

Annual Return

Pursuant to section 92(3) read with section 134(3)(a) of the Act, the Annual Return as of March 31, 2023 is placed on the website of the Company and may be accessed on the Company’s website at <https://granulesindia.com/investors/notice-disclosures/annual-returns/>.

Particulars of Employees and related disclosures

Disclosures pertaining to remuneration and other details as required under Section 197(12) of the Act, read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, are annexed herewith as **Annexure VI** to the Board’s report.

In terms of the provisions of section 197(12) of the Act read with Rules 5(2) and 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, as amended thereof, a statement showing the names and other particulars of the employees drawing remuneration over the limits set out in the said rules forms part of this report.

Considering the first proviso to section 136(1) of the Act, the annual report excluding the aforesaid information is being sent to the members of the Company. The said information is available for inspection by the members at the registered office of the Company or through electronic mode during business hours on working days up to the date of the forthcoming 32nd AGM of the Company. Any member interested in obtaining a copy thereof may write to the Company Secretary in this regard.

The Directors further state that the remuneration paid to the Key Managerial Personnel and Senior Management Personnel is as per the Company’s Performance Evaluation and Remuneration Policy.

Maintenance of Cost Records specified by the Central Government under Section 148 of the Companies Act, 2013

The Company has complied with the provisions relating to the maintenance of Cost Records as specified by the Central Government under Section 148 of the Companies Act, 2013 during the year under review.

Policy on Sexual Harassment and Constitution of Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

The Company has a Policy on “Prevention of Sexual Harassment of Women at Workplace” for the matters connected therewith or incidental thereto covering all the aspects as contained under the “The Sexual Harassment of Women at Workplace (Prohibition, Prevention and Redressal) Act, 2013” and constituted an Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

No complaints were pending at the beginning of the financial year. During the year under review, one concern was reported which was investigated and appropriate action was taken. No complaint was pending as at the end of the financial year.

The Company regularly conducts awareness programs for the employees.

GENERAL:

No disclosure or reporting is required in respect of the following matters as there were no transactions on these items during the year under review:

- Details relating to deposits covered under Chapter V of the Act.
- Issue of equity shares with differential rights as to dividend, voting or otherwise.
- Issue of shares (including sweat equity shares) to employees of the Company under any scheme save and except Employee Stock Option Scheme referred to in this report.

- Neither the Managing Director nor the Whole-time Directors of the Company receive any remuneration or commission from any of its subsidiaries.
- The Company does not have any scheme of provision of money for the purchase of its shares by employees or by trustees for the benefit of employees.
- Cost Audit is not applicable for the financial year 2022-23.
- No significant or material orders were passed by the Regulators or Courts or Tribunals which impact the going concern status and Company’s operations in the future.
- No fraud has been reported by the auditors to the Audit Committee or the Board.
- There are no proceedings pending under the Insolvency and Bankruptcy Code, 2016.
- There was no instance of a one-time settlement with any Bank or Financial Institution.

ACKNOWLEDGEMENTS:

We express our sincere appreciation and thank our valued shareholders, customers, bankers, business partners/ associates, analysts, financial institutions, insurance companies and Central and State government departments for their continued support and encouragement of the Company.

We are pleased to record our appreciation of the sincere and dedicated services of the employees and workmen at all levels.

On behalf of the Board of Directors

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN: 00020180

Hyderabad, May 16, 2023

ANNEXURE-I TO BOARD’S REPORT

Annual Report on Corporate Social Responsibility (CSR) activities for the financial year 2022-23 as per Rule 8 of Companies (Corporate Social Responsibility Policy) Rules, 2014.

1. Brief outline of CSR Policy of the Company: CSR Policy can be accessed at <https://granulesindia.com/wp-content/uploads/pdf/other-information/8328CSR%20Policy.pdf>

2. Composition of CSR Committee:

Sl. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of the CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
1.	Mrs. Uma Devi Chigurupati	Chairperson/Executive Director	01	01
2.	Dr. Krishna Prasad Chigurupati	Member/Executive Director	01	01
3.	Mr. Arun Rao Akinepally	Member/Independent Director	01	01

3. Provide the web link where the

a) Composition of the CSR Committee

b) CSR Policy and

c) CSR Projects approved by the Board is disclosed on the website of the Company.

a) The composition of the CSR Committee can be accessed at <https://granulesindia.com/investors/other-information/>

b) The CSR Policy can be accessed at <https://granulesindia.com/wpcontent/uploads/pdf/other-information/8328CSR%20Policy.pdf>

c) Not Applicable

4. Provide the executive summary along with the web link(s) of the Impact assessment of CSR Projects carried out in pursuance of sub-rule (3) of Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable

5. (a) Average net profit of the company as per section 135(5): ₹5499.36 millions

(b) Two percent of the average net profit of the company as per section135(5): ₹109.99 millions

(c) Surplus arising out of the CSR projects or programs or activities of the previous financial years: ₹0.14 millions

(d) Amount required to be set off for the financial year: ₹0.14 millions

(e) Total CSR obligation for the financial year (5b+5c- 5d): ₹109.85 millions

6 (a) Details of CSR amount spent against ongoing projects for the financial year: NA

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	Location of the project State.	Project duration District.	Amount allocated for the project (in ₹)	Amount spent in the current Financial year (in ₹)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (in ₹)	Mode of Implementation Direct (Yes/No)	Mode of Implementation - Through Implementing Agency CSR Name Registration number
1.	--	--	--	--	---	--	--	--	--	-- --
Total		--	--	--	--	--	--	--	--	-- --

6 (a) Details of CSR amount spent against other than ongoing projects for the financial year:

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	Location of the project Project duration State. District.	Amount spent for the project (₹ in millions)	Mode of implementation on- Direct (Yes/ No)	Mode of implementation – Through implementing agency CSR Registration number
1.	Skill development activity	Cl.(ii) livelihood enhancement projects	Yes	Telangana Ranga Reddy District	5.95	No	Swarna Bharat Trust CSR00001645
2.	Providing safe drinking water	Cl.(i) Making available safe drinking water	Yes	Telangana Hyderabad	5.96	Yes	NA

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	Location of the project Project duration State. District.	Amount spent for the project (₹ in millions)	Mode of implementation on- Direct (Yes/ No)	Mode of implementation – Through implementing agency Name CSR Registration number
3	Promoting Health Care	Cl.(i) Promoting preventive healthcare	Yes	Andhra Pradesh Visakhapatnam	1.00	No	Govt. of Andhra Pradesh NA
4.	Promoting Health Care	Cl.(i) Promoting preventive healthcare	Yes	Telangana Hyderabad	50.00	No	Hyderabad Eye Research Foundation CSR00001703
5.	Promotion of education & health	Cl.(ii) promoting education	Yes	Telangana Hyderabad	10.00	No	Pranadana Trust CSR00017334
6.	Granules Trust	Schedule VII activities	Yes	Telangana Hyderabad	37.11	No	Granules Trust CSR00006834
TOTAL					110.02		

(b) Amount spent on Administrative Overheads: NIL

(c) Amount spent on Impact Assessment, if applicable: NA

(d) Total amount spent for the Financial Year (6b+6c+6d): ₹ 110.02 millions

Total Amount Spent for the Financial Year (₹ in millions)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per the second proviso to section 135(5)		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
110.02	Nil	NA	NA	NA	NA

(f) Excess amount for set-off, if any

Sl. No.	Particular	Amount (₹ in millions)
(i)	Two percent of the average net profit of the company as per section 135(5)	109.99
(ii)	Total amount spent for the Financial Year 2022-23	110.02
(iii)	Excess amount spent for the financial year [(ii)-(i)]	0.03
(iv)	Surplus arising out of the CSR projects or programs or activities of the previous financial years, if any	0.14
(v)	Amount available for set off in succeeding financial years [(iii)+(iv)]	0.17

7. (a) Details of Unspent CSR amount for the preceding three financial years:

Sl. No.	Preceding Financial Year	Amount transferred to Unspent CSR Account under section 135 (6) (₹ in Millions)	Amount spent in the reporting Financial Year (₹ in Millons)	Amount transferred to any fund specified under Schedule VII as per section 135(6) if any.			The amount remaining to be spent in succeeding financial years. (₹ in Millions)
				Name of the Fund	Amount (₹ in Millions)	Date of transfer.	
1.	2019-20	-	-	-	-	-	-
2.	2020-21	-	-	-	-	-	-
3.	2021-22	-	-	-	-	-	-
TOTAL		-	-	-	-	-	-

8. Whether any capital assets have been created or acquired through CSR amount spent in the Financial Year: **No**

If Yes, enter the number of capital assets created/acquired

Furnish the details relating to the such asset(s) so created or acquired through CSR amount spent in the financial year:

Sl. No.	Short Particulars of the property or asset(s)	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/beneficiary of the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number, If applicable	Name	Registered Address
				NA			

9. Specify the reason(s), if the company has failed to spend two percent of the average net profit as per section 135(5): NA

Uma Devi Chigurupati

Chairperson of CSR Committee

Dr. Krishna Prasad Chigurupati

Chairman and Managing Director

ANNEXURE-II TO BOARD’S REPORT

COMPLIANCE CERTIFICATE

[Pursuant to Regulation 13 of the Securities Exchange Board of India
(Share Based Employee Benefits and Sweat Equity) Regulations, 2021]

To,
The Members,
Granules India Limited

I, Saurabh Poddar, Company Secretary in practice, have been appointed as the Secretarial Auditor vide a resolution passed at its meeting held on May 18, 2022 by the Board of Directors of M/s. Granules India Limited (hereinafter referred to as ‘the Company), having CIN:- L24110TG1991PLC012471 and having its registered office at Second Floor, Block III, My Home Hub, Madhapur, Cyberabad, Hyderabad -500081.

This certificate is issued under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 (hereinafter referred to as “the Regulations”), for the year ended March 31, 2023.

Management Responsibility:

- The Board of Directors and the Nomination and Remuneration Committee of the Board is responsible for the formulation and implementation of the Employee Stock Option Scheme – 2009 and Employee Stock Option Scheme – 2017((hereinafter referred to as “Schemes”) in compliance with the Regulations and the special resolutions passed at the respective shareholder’s meetings dated 25 September 2009 and 28 September 2017 (“Shareholder resolutions”) respectively.
- The management is responsible for preparation and maintenance of all accounting and other relevant supporting records and documents relating to the Scheme including the design, implementation and maintenance of internal controls on the implementation of the aforesaid Schemes in compliance with the Regulations.

Auditors’ Responsibility :-

- Pursuant to the requirements of the Regulations, it is our responsibility to obtain reasonable assurance and form an opinion, as to whether the Scheme is in compliance with the Regulations and the Shareholder resolutions.
- In connection with the above, we have performed the following procedures:
 - Read the Schemes provided to us by the Company;
 - Read the resolutions passed at the meeting of the Board of Directors;
 - Read the shareholder’s resolutions passed at the general meetings and;

- Obtained required explanations and representations from the management.

- We conducted our examination in accordance with the Guidance Note on Reports or Certificates for Special Purposes issued by the Institute of Company Secretaries of India. The Guidance Note requires that we comply with ethical requirements of the Code of Ethics issued by the Institute of Company Secretaries of India.

Certification:

- On the basis of the examination carried out by us and the information, explanations and representations provided to us by the management of the Company, in our opinion, the Schemes are implemented in accordance with the Regulations.

Assumption & Limitation of Scope and Review:

- Ensuring the authenticity of documents and information furnished is the responsibility of the management of the Company.
- Our responsibility is to give a certificate based on our examination of relevant documents and information. It is neither an audit nor an investigation.
- This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.
- This certificate is solely for your information and it is not to be used, circulated, quoted, or otherwise referred to for any purpose other than for the Regulations.

For M/s. Saurabh Poddar & Associates
Company Secretaries
FIRM UIN: S2012AP177700

Name: Saurabh Poddar
Membership No: FCS 9190
COP No: 10787
PR : 785/2020 dated 30th June 2020
UDIN: F009190E000246988

Place: Hyderabad
Date: May 03, 2023

ANNEXURE-III TO BOARD’S REPORT

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31-03-2023

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies
(Appointment and Remuneration of Managerial Personnel) Rules, 2014]

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31-03-2023

To,
The Members,
M/s. Granules India Limited
2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad- 500 081, Telangana.

I, have conducted the secretarial audit of the compliance with applicable statutory provisions and the adherence to good corporate practices by M/s. Granules India Limited (hereinafter called the Company). The secretarial audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conduct/statutory compliances and expressing my opinion thereon.

Based on my verification of the M/s. Granules India Limited books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of the secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on 31st March 2023 complied with the statutory provisions listed hereunder and also that the Company has proper Board-Processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I, have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March 2023 according to the provisions of:

- The Companies Act, 2013 (the Act) and the rules made thereunder;
- The Securities Contracts (Regulation) Act, 1956 (‘SCRA’) and the rules made thereunder;
- The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment.
- The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 (‘SEBI Act’):-
 - The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;

- The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
- The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009; **(Not applicable to the Company during the Audit Period)**
- Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021.;
- The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008; **(Not applicable to the Company during the Audit Period)**
- The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with the client(s);
- The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; **(Not applicable to the Company during the Audit Period)** and
- The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018;

(vi) I further report that, having regard to the compliance system prevailing in the Company and on examination of the relevant documents and records in pursuance thereof on a test-check basis, the company has complied with the following laws applicable specifically to the Company:

- Drugs and Cosmetics Act, 1940 and Rules made thereunder; and
- Drugs Price Control Order, 2013 and notifications made thereunder.

I, have also examined compliance with the applicable clauses of the following:

- Secretarial Standards (SS-1 and SS-2) issued by The Institute of Company Secretaries of India
- The Securities And Exchange Board Of India (Listing Obligations And Disclosure Requirements) Regulations, 2015.

During the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

I further report that the Board of Directors of the Company is duly constituted with a proper balance of Executive Directors and Independent Directors. The change in the composition of the Board of Directors that took place during the period under review is in compliance with the provisions of the Act read with regulation 25(6) of The Securities And Exchange Board Of India (Listing Obligations And Disclosure Requirements) Regulations, 2015, since the company has time till 16th June 2023 to fill the casual vacancy caused by the resignation of the Independent Director on 17th March 2023.

Adequate notice is given to all Directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions at Board Meetings and Committee Meetings were carried out as recorded in the minutes of the meetings of the Board of Directors or Committees of the Board, as the case may be.

I further report that there are adequate systems and processes in the Company commensurate with its size and operations to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the audit period there were no specific events/actions having a major bearing on the Company’s affairs in pursuance of the above-referred laws, rules, regulations, guidelines and standards.

for **Saurabh Poddar & Associates**
Company Secretaries

(Saurabh Poddar)
Designation : Proprietor
Membership No: FCS 9190
COP No: 10787
PR : 785/2020 dated 30th June 2020
UDIN: F009190E000318994

Place: Hyderabad
Date: May 16, 2023

This report is to be read with my letter of even date which is annexed as Annexure and forms an integral part of this report.

ANNEXURE TO THE SECRETARIAL AUDIT REPORT

To,
The Members,
M/s. Granules India Limited
2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad- 500 081, Telangana.

My report of even date is to be read along with this letter:

- Maintenance of secretarial records is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
- I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on a test-check basis to ensure that correct facts are reflected in secretarial records. I believe that the process and practices, I followed provide a reasonable basis for my opinion.
- I have not verified the correctness and appropriateness of financial records and books of accounts of the company.
- Wherever required, I have obtained management representation regarding the compliance of laws, rules and regulations and happening of events, etc.

- The compliance with the provisions of corporate and other applicable laws, rules, regulations and standards is the responsibility of the management. My examination was limited to the verification of procedures on a test-check basis.
- The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

for **Saurabh Poddar& Associates**
Company Secretaries

(Saurabh Poddar)
Designation : Proprietor
Membership No: FCS 9190
COP No: 10787
PR : 785/2020 dated 30th June 2020
UDIN: F009190E000318994

Place: Hyderabad
Date: May 16, 2023

ANNEXURE-IV TO THE BOARD’S REPORT

Disclosure of particulars of Contracts/Arrangements entered into by the Company

Form No. AOC-2 (Under clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm’s length transactions under the third proviso thereto.

- There are no contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 which are not on an arm’s length basis.
- Contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 which are at arm’s length basis:

Sl. No.	Names of the related party and nature of the relationship	Nature of contracts/ arrangements/ transactions	Duration of the contracts or arrangements or transactions including the value, if any:	Salient terms of the contracts or arrangements or transactions including the value, if any: (₹ in millions)	Date(s) of approval by the Board:	Amount paid as advances if any:	Justification for entering into contracts
1	Granules USA, Inc. (Wholly Owned foreign subsidiary)	Sale of goods	FY 2022-23	4,738.71	14.03.2022& 24.01.2023	NIL	The transaction is at arm’s length price
2	Granules Pharmaceuticals Inc. (Wholly Owned foreign subsidiary)	Sale of goods & Purchase of goods	FY 2022-23	6,401.84	14.03.2022	NIL	The transaction is at arm’s length price
3.	Granules Europe Limited (wholly-owned subsidiary)	Commision on the sale of goods	FY 2022-23	149.39	08.08.2022	NIL	The transaction is at arm’s length price
4.	Granules Consumer Health, Inc. (GCH), a Step-down subsidiary	Commision on the sale of goods	FY 2022-23	1,330.28	08.08.2022	NIL	The transaction is at arm’s length price
5.	Product Armor Packaging Private Limited	Purchase of goods	FY 2022-23	44.32	18.05.2022	NIL	The transaction is at arm’s length price
6.	Premas Biotech Private Limited	Availment of services	FY 2022-23	2.82	24.01.2023	NIL	The transaction is at arm’s length price

On behalf of the Board of Directors

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN: 00020180

Hyderabad, May 16, 2023

ANNEXURE V TO BOARD’S REPORT

Particulars of Energy Conservation, Technology Absorption and Foreign Exchange Earnings and Outgo are required under the Companies (Accounts) Rules, 2014.

A – PARTICULARS OF CONSERVATION OF ENERGY

A – PARTICULARS OF CONSERVATION OF ENERGY

During the financial year 2022-23, the Company has engaged a couple of reputed agencies to carry out energy & water audits in the majority of operating units to find potential areas of improvement to save water, energy and reduce Green House Gases (GHG) emissions and they have identified and recommended innovative projects to reduce energy, water consumption and ways & means to reduce GHG emissions.

During the year under review, identified projects are implemented in various manufacturing units of the Company with an investment of ₹ 77.96 millions which has potential energy savings of 2910106 KWH per annum.

The Company used 9.14% renewable solar energy out of the total energy drawn from the grid. During the year under review, 19.80% of the total energy consumed at the Formulation unit located at Gagillapur, Hyderabad was from Solar Energy whereas it was 5.63 % at Unit -V located at Parawada Mandal, Vishakapatnam.

The energy initiatives across all manufacturing units resulted in real reductions of GHG emissions by 8138 MT/Co2e and resulted in an overall savings of ₹ 47.11 millions.

FORM B – PARTICULARS OF ABSORPTION

B – TECHNOLOGY ABSORPTION

1.	Efforts made toward technology absorption	During the year, we have got new technologies developed such as fermentation & continuous manufacturing. Presently these technologies are in the absorption phase. In Finished dosage form during this year, we implemented compaction process technology at a commercial scale; conceptualization and development of powder for oral suspension product filled into Sachet.
2.	Benefits derived like product improvement, cost reduction, product development or import substitution	Fermentation: Through fermentation, we are developing specific enzymes as biocatalysts for enhanced efficiencies at much lower cost in comparison to conventional chemical synthesis. Continuous manufacturing: Through continuous manufacturing, we can reduce the manufacturing foot space, cost of production, and lesser utility requirement. Compaction Process Technology in Drug product manufacturing: This would enhance the technology capability of the organization to manufacture drug products by the dry process when products could not be manufactured by Wet and direct blending process. The compaction process offers the following advantages in manufacturing the product. - Can be adapted to moisture-sensitive and heat-sensitive molecules. - Greater process accuracy and scalability - Lower operation and energy cost Powder for oral suspension (PFOS): This introduction will enhance the firm's capability to develop and manufacture a dosage that is niche and has limited players in the market. It also adds a new dosage form to the GIL product portfolio. The advantage of this dosage form is 1. Powders are more physically and chemically stable when compared to the liquid dosage form. 2. The drug product in the powder dosage forms is less prone to microbial contamination. 3. It is an easy mode of drug administration when the dose is very large. 4. It is well accepted by pediatric and geriatric patients. To manufacture this type of product – The development of one product and manufacturing equipment procurement was completed in this year.

3.	In case of imported technology (imported during the last 3 years reckoned from the beginning of the financial year) a) Details of technology imported b) Year of import c) Whether the technology has been fully absorbed d) If not fully absorbed, areas where absorption has not taken place, and the reasons therefore	No imported technology
----	---	------------------------

Expenditure Incurred in R&D:		(₹ in millions)
	FY 2022-23	FY 2021-22
Capital	83.63	77.41
Recurring	913.54	1,032.06
Total	997.17	1,109.47

Updates on the Research & Development activities of the Company are provided below:

From being known as a leading supplier of APIs and PFI's in bulk, we moved on to become a leading manufacturer of finished dosage forms. Over the years, we have been constantly investing in Research and Development, where our team has been able to passionately translate science and technology into pharmaceutical products and manufacturing processes, meeting global regulatory standards. With experienced and qualified human resources, our R&D capability is the driving force of the current momentum and future growth of the organization. With innovation instilled into the culture of the company at various levels, R&D is a crucial attribute in fostering our vision to become a global leader in the pharmaceutical product development and manufacturing process.

We are augmenting our research capabilities and expanding our product portfolio to address the prospective demand across global markets. From a commercial perspective, our strategic product, process, and market approaches give us a competitive advantage which will enable us to be an integrated player offering both drug substance and the drug product.

2022- 23 - Highlights

Core Business: The core business has always remained our focal point, while we are constantly expanding our product portfolio and global presence with a focus on high-volume products built on maximizing process efficiencies and vertical integration. Our core business now expanded to include 8 products: Paracetamol, Metformin HCl, Ibuprofen, Guaifenesin, Methocarbamol, Losartan, Fexofenadine, and Cetirizine. We operate across the entire pharmaceutical manufacturing value chain from API to finished dosages for these core molecules as they have remained a priority for the Company. Granules as the company has pioneered the concept of commercializing PFIs for these large-volume products, supporting pharmaceutical companies across the world.

Emerging business: The product selection process for our “Emerging business,” focuses on identifying and developing high entry barrier products, with varied complexities at API and/ or formulations development. We have developed APIs that

cover a broad spectrum of therapeutic categories and expanded capabilities into the segment of High potent APIs (HPAPI) with our state-of-the-art facility at Vishakhapatnam. We also offer development and manufacturing services for customers across the world for their High Potent Formulation products.

- As on March 31, 2023, we filed Total 37 (7 in FY 22-23) U.S. Drug Master Files (“USDMFs”) across several therapeutic categories with the United States Food and Drug Administration (“U.S. FDA”) in the United States, 28 (5 in FY 22-23) Certificates of Suitability (“CEPs”) with the European Directorate for the Quality of Medicines (“EDQM”) and 5 European Drug Master Files (“EDMFs”) in Europe, along with other regulatory filings in key regulated markets to support potential customers for ANDA and dossier filings.
- As part of our vertical integration strategy, we intend to file ANDAs for several of these APIs to forward integrate into FDFs.
- To support our control substances products, a dedicated development facility is created for technology development.
- As part of the green initiative, a Bio-catalysis group is created for the preparation of Chiral intermediates and APIs.
- A fermentation group is created for the development of Peptides and the development of enzymes for Biocatalysis.
- Towards the journey to build Granules’ intellectual property assets we currently hold 8 Granted patents and 20 pending patent applications in active prosecution in various countries. In FY 2022-23, we filed 5 patent applications in India.

In the finished dosage form division, we filed 70 (7 in FY 22-23) ANDAs with the U.S. FDA of which 55 ANDAs have been approved and 15 are under review. We continued to leverage our ANDA filing into other markets outside the US. In the European region, we filed 11 applications (2 in FY 22-23)

of which 8 are approved and 3 are under review. In Canada, we filed 7 applications (2 in FY 22-23) of which 5 are approved and 2 are under review. Total of 7 applications were filed in other markets (South Africa, Belarus, Israel) which are under review.

Granules received 05 ANDA approvals from USFDA in the financial year (2022-2023). These on-time approvals exemplify the quality of our ANDA filings. We also received approval for 06 marketing authorization applications in the European region and 02 applications in Canada.

We aim to continue this momentum by executing products of different complexity in each dosage form viz. immediate release, extended-release, delayed-release, MUPS, and powders for suspensions.

Way Forward

We will continue to leverage our knowledge and experience in our core products to expand them into new markets and

dosage forms. This would not only help us to bring economies of scale, but also, mitigate market-concentrated risk. Steps have been taken in this direction during this financial year, and as an outcome, we filed three dossiers in the European market and working to file additional markets in the coming year.

We will continue to identify and develop complex products with limited competition and bring process efficiencies for our existing products to have a competitive advantage in the market. Looking forward to bringing considerable progress in our technical capabilities to achieve a higher number of regulatory filings. Thus, bringing focus on our R&D activities will enhance our product registrations and filings across a diversified product portfolio for the key markets, as well as strengthen our global presence.

C – TOTAL FOREIGN EXCHANGE EARNED AND USED

Particulars	(₹ in millions)	
	FY 2022-23	FY 2021-22
Foreign Exchange Earnings	36,525.77	27,924.00
Foreign Exchange Outgo	14,119.61	10,383.89

On behalf of the Board of Directors

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN: 00020180

Hyderabad, May 16, 2023

ANNEXURE VI TO BOARD’S REPORT

Information in terms of Section 197(12) of the Companies Act, 2013, read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

- (i) The ratio of the remuneration of each Director to the median remuneration of the employees of the Company and the percentage increase in remuneration of each Director and Key Managerial Personnel (KMP) for the financial year 2022-23:

Sl. No.	Name of the Director/KMP	Designation	% increase in remuneration in the FY 2022-23	Ratio of remuneration of each Director /KMP to the median remuneration of employees
1	Dr. Krishna Prasad Chigurupati	Chairman & Managing Director	30.22	785.69
2	Dr. Kandiraju Venkata Sitaram Rao	Joint Managing Director & CEO	N.A	210.53
3	Mrs. Uma Devi Chigurupati	Executive Director	30.24	78.58
4	Mr. Harsha Chigurupati	Executive Director	30.24	78.58
5	Mr. K. B. Sankar Rao	Non-Executive, Non-Independent Director	25.14	9.62
6	Mr. Arun Rao Akinepally	Non-Executive, Independent Director	31.84	10.49
7	Mr. Arun Sawhney	Non-Executive, Independent Director	25.27	10.13
8	Mr. Robert George Cunard(1)	Non-Executive, Independent Director	19.09	8.73
9	Dr. Saumen Chakraborty	Non-Executive, Independent Director	N.A	9.29
10	Mrs. Sucharita Rao Palepu	Non-Executive, Independent Director	N.A	8.56
11	Mr. Sandip Neogi	Chief Financial Officer (Till December 14, 2022)	N.A	N.A
12	Mr. Mukesh Surana	Chief Financial Officer (From December 30, 2022)	N.A	N.A
13	Ms. Chaitanya Tummala (2)	Company Secretary	8.17	10.00

- (1) Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.
- (2) Excludes the value of stock options.
- (3) Non-Executive Directors were paid a commission on profits and sitting fees for attending the Board and Committee Meetings of the Company.
- ii). The median remuneration of employees increased by 8 % in the financial year 2022-23.
- iii). The number of permanent employees on the rolls of the Company as of March 31, 2023, is 3,838.
- iv). Average percentage increase in the salaries of employees other than managerial personnel for the financial year 2022-23 was 10 % as compared to the financial year 2021-22. There was an increase of 40.01% in the total remuneration of Executive Directors and KMP for the financial year 2022-23.
- v). It is hereby confirmed that the remuneration to the Directors and KMP for the financial year 2022-23 is as per the performance evaluation and remuneration policy of the company.

Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN: 00020180

Hyderabad, May 16, 2023

Corporate Governance Report

In accordance with regulation 34(3) read with Schedule V of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations) and the report contains the details of Corporate Governance systems and processes at Granules India Limited (Granules or the Company).

COMPANY’S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

Corporate Governance encompasses a set of systems and practices to ensure that the Company’s affairs are being managed in a manner that ensures accountability, transparency, and fairness in all transactions in the widest sense. The objective is to meet stakeholders’ aspirations and societal expectations. Good governance practices stem from the dynamic culture and positive mindset of the organization. We are committed to meeting the aspirations of all our stakeholders.

The essence of Corporate Governance lies in promoting and maintaining integrity, transparency and accountability of the management. The demands of Corporate Governance require professionals to raise their competence and capability levels to meet the expectations of managing the enterprise and its resources effectively with the highest standards of ethics. It has thus become crucial to foster and sustain a culture that integrates all components of good governance by carefully balancing the inter-relationship among the Board of Directors, Board Committees, Auditors, and the Senior Management. Granules adhere to the prescribed Corporate Governance practices as per the Listing Regulations and are committed to sound Corporate Governance principles and practices.

The Company also believes that an active, well-informed and independent Board is necessary to ensure the highest standard of corporate governance. At Granules, the Board of Directors is at the core of corporate governance and oversees how the management serves and protects the interest of the stakeholders. The Board of Granules is responsible for and committed to the sound principles of corporate governance in the Company. Our corporate governance framework ensures that we make timely and transparent disclosures regarding our financials and performance, as well as the leadership and governance of the Company. The Company acknowledges the individual and collective responsibilities to manage the business activities with integrity.

Appropriate Governance Structure with defined roles and responsibilities

The Company has put in place an internal governance structure with defined roles and responsibilities of every constituent in the system. The Company’s shareholders appoint the Board of Directors, which in turn governs the Company. The Board has established eight Committees to discharge its responsibilities

effectively and efficiently. The Company Secretary at Granules acts as the Secretary to all the Committees of the Board constituted under the Companies Act, 2013. The Chairman and Managing Director (CMD) provide overall direction and guidance to the Board. Concurrently, the CMD is responsible for the overall implementation of decisions and policies. In the operations and functioning of the Company, the CMD is assisted by the Joint Managing Director & CEO, Executive Directors, and a core group of senior-level executives.

Board Leadership

During the year the Board consists of ten Directors, comprising (i) Four Executive Directors, including the Chairman of the Board (ii) One Non-Executive Director and (iii) five Independent Directors. However, out of five Independent Directors one of the Director resigned with effect from March 17, 2023 due to personal reasons. The casual vacancy has been filled by the Board in its meeting held on May 16, 2023. At Granules, it is believed that an experienced Board consciously creates a culture of leadership which in turn provides a long-term vision and policy approach to improve the quality of governance.

The Board’s actions and decisions are aligned with the Company’s best interests. Granules are committed to the goal of sustainability and elevating the Company’s value creation.

The Board critically evaluates the Company’s strategic direction, management policies and effectiveness. The agenda for the Board review included a detailed analysis of annual strategic and operating plans, capital allocation and budgets. Additionally, the Board reviews related party transactions, possible risks and risk mitigation measures, financial reports from the CFO. Frequent and detailed interaction sets the agenda and provides the strategic roadmap for the Company’s future growth.

Ethics/Governance Policies

At Granules, we strive to conduct our business and strengthen our relationships in a manner that is dignified, distinctive and responsible. We adhere to ethical standards and ensure integrity, transparency, independence, and accountability in dealing with all stakeholders. Granules have adopted various codes and policies to carry out our duties in an ethical manner. Some of the codes and policies are:

- ▶ Code of Conduct for Board and Senior Management
- ▶ Code of Conduct for Prohibition of Insider Trading
- ▶ Code of Practices and Procedures for Fair Disclosure
- ▶ Code of Business Conduct
- ▶ Whistle Blower Policy
- ▶ Related Party Transactions Policy
- ▶ Corporate Social Responsibility Policy

- ▶ Performance Evaluation and Remuneration Policy for Directors, Key Managerial Personnel and other Employees
- ▶ Policy on Material Subsidiaries
- ▶ Dividend Distribution Policy

THE BOARD OF DIRECTORS

Board Composition and Category of Directors

The Board of Directors of your Company represents the optimum blend of professionalism, knowledge and experience. As of March 31, 2023, the Board of Directors comprised ten Directors, of which six are Non-executive Directors and the composition of the Board and category of Directors are as follows:

Sl.No	NAME OF THE DIRECTOR	CATEGORY
1.	Dr. Krishna Prasad Chigurupati* Chairman & Managing Director DIN – 00020180	Non-Independent, Executive
2.	Dr. Kandiraju Venkata Sitaram Rao Joint Managing Director & CEO DIN-08874100	Non-Independent, Executive
3.	Mrs. Uma Devi Chigurupati* DIN – 00737689	Non-Independent, Executive
4.	Mr. Harsha Chigurupati* DIN – 01606477	Non-Independent, Executive
5.	Mr. Kolli Basava Sankar Rao DIN – 05167550	Non-Independent, Non-Executive
6.	Mr. Arun Rao Akinepally DIN – 00876993	Independent, Non-Executive
7.	Mr. Arun Sawhney DIN – 01929668	Independent, Non-Executive
8.	Mr. Robert George Cunard** DIN – 08346308	Independent, Non-Executive
9.	Dr. Saumen Chakraborty DIN-06471520	Independent, Non-Executive
10.	Mrs. Sucharita Rao Palepu DIN – 078077178	Independent, Non-Executive
11.	Mr. Kapil Kumar Mehan*** DIN-01215092	Independent, Non-Executive

*Promoter Director

**Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.

*** Mr. Kapil Kumar Mehan was appointed as a member of the Board of the Company with effect from May 16, 2023.

Mrs. Uma Devi Chigurupati is the spouse of Dr. Krishna Prasad Chigurupati and Mr. Harsha Chigurupati is the son of Dr. Krishna Prasad Chigurupati and Mrs. Uma Devi Chigurupati. None of the other Directors are related to any other Director on the Board.

During the financial year 2022-23, the Company had the Managing Director as Chairman who is also the promoter of the Company and the number of Independent Directors during the year complied with the requirement of having one-half of the Board as Independent Directors. None of the Directors on the Board are a member of more than 10 (ten) Committees or Chairperson of more than 5 (five) Committees as specified

in regulation 26(1) of the Listing Regulations, across all the Companies in which he/she is a Director

Directors’ Profile

You can read the detailed profile of the Board of Directors at <https://granulesindia.com/about-us/our-leadership/>.

Annual Board Retreat

For the financial year 2022-23, the annual Board retreat was held, where the Board members conducted a detailed strategic review of the Company’s business and discussed various governance-related matters.

Independent Directors

Considering the requirement of skill sets on the Board, eminent people having an Independent standing in their respective field/ profession and who can effectively contribute to the Company’s business and policy decisions are considered by the Nomination and Remuneration Committee for appointment as Independent Directors on the Board. The Committee, inter alia, considers qualification, positive attributes, area of expertise and number of Directorships and Memberships held in various committees of other companies by such persons in accordance with the Company’s Policy for selection of Directors and determining Directors’ independence. The Board considers the Committee’s recommendation and takes an appropriate decision.

The Company has received a declaration from the Independent Directors confirming that they meet the criteria of independence as prescribed under section 149(6) of the Act read with Regulation 16(1)(b) of the Listing Regulations. In terms of Regulation 25(8) of the Listing Regulations, the Independent Directors have confirmed that they are not aware of any circumstances or situations which exist or may be reasonably anticipated that could impair or impact their ability to discharge their duties.

In the opinion of the Board, the Independent Directors fulfil the conditions of independence specified in the Act and the SEBI Listing Regulations and are independent of the management.

Mr. Robert George Cunard, Independent Director has resigned with effect from March 17, 2023 from the Directorship of the Company before the expiry of his term of appointment due to personal reasons. He confirmed that there are no other material reasons about the Company for his resignation.

Other than Mr. Robert George Cunard, no Independent Director has resigned from the Directorship of the Company before the expiry of their term of appointment during the financial year ended March 31, 2023.

Mr. Arun Rao Akinepally was the Lead Independent Director as elected by the Independent Directors of the Company.

Meetings of Independent Directors

The Company’s Independent Directors met three times during the financial year 2022-23 without the presence of Executive Directors and other members of the management. During these

meetings, the Independent Directors reviewed the performance of the Company and its Non-Independent Directors, that of the Chairman & Managing Director, and the Board along with the quality of the information given to the Board. It also enabled the Independent Directors to discuss matters about the Company’s affairs and put forth their views to the Lead Independent Director. The Lead Independent Director takes appropriate steps to present Independent Directors’ views to the Chairman and Managing Director.

MEETINGS OF THE BOARD AND ITS COMMITTEES AND PROCEDURES

Institutionalized decision-making process

The Board of Directors is the apex body constituted by the shareholders for overseeing the Company’s overall functioning. The Board provides and evaluates the Company’s strategic direction, management policies and effectiveness, and ensures that shareholders’ long-term interests are being served.

The Board has constituted nine Committees, namely Audit Committee, Nomination and Remuneration Committee, Corporate Social Responsibility Committee, Share Transfer and Stakeholders Relationship Committee, Risk Management Committee, Business Review Committee, Growth Opportunities & Evaluation Committee, Buyback Committee and Investment Committee. The Board is authorized to constitute additional functional Committees, from time to time, depending on business needs and the framework of the law for the time being in force.

Scheduling and Selection of Agenda Items for Board and Committee Meetings

Minimum four pre-scheduled Board meetings are held annually, once in each quarter inter-alia to review the financial results of the Company. Additional Board meetings are convened by giving appropriate notice to address the Company’s specific needs. In case of business exigencies or urgency of matters, resolutions are passed by circulation.

The Board / Committee meetings are pre-scheduled, and a tentative annual calendar of Board and Committee meetings is circulated to the Directors well in advance to facilitate them to plan their schedule and ensure meaningful participation in the meetings.

The schedule of meetings and their agenda is finalized in consultation with the Chairman of the Board, Chairpersons of the Committees of the Board and the Lead Independent Director and agendas are circulated in advance with detailed notes and appropriate presentations covering finance, marketing, operations, research & developments, an overview of business operations of the subsidiary Companies, global business environment, the Company’s business opportunities and strategy and risk management practices.

The meetings are generally held at the registered office of the Company on the 2nd Floor, 3rd Block, My Home Hub, Madhapur, Hyderabad – 500 081.

The agenda and notes on agenda are circulated to Directors in advance in the defined agenda format. All material information is incorporated into the agenda for facilitating meaningful and focused discussion at the meeting. Where it is not practicable to attach any document to the agenda, it is tabled before the meeting with specific reference to this effect in the agenda. In special and exceptional circumstances, additional or supplementary item(s) on the agenda are permitted.

The items/matters required to be placed before the Board, inter alia, include:

- ▶ Annual operating plans of businesses and budgets including capital budgets and any updates;
- ▶ Quarterly results of the Company;
- ▶ Company’s annual financial results, financial statements, auditors’ report and Board’s report;
- ▶ Minutes of meetings of the Audit Committee and other committees of the Board;
- ▶ Any material default in financial obligations to and by the Company, or substantial non-payment for goods sold by the Company;
- ▶ Transactions that involve substantial payment towards goodwill, brand equity or intellectual property;
- ▶ Quarterly details of foreign exchange exposures and steps were taken by management to limit risks of adverse exchange rate movement, if material;
- ▶ Non-compliance with any regulatory, statutory or listing requirements, and shareholder’s service, such as dividend non-payment, share transfer delay (if any), among others;
- ▶ Appointment, remuneration and resignation of Directors;
- ▶ Formation/reconstitution of Board Committees;
- ▶ Terms of reference of Board Committees;
- ▶ Minutes of Board meetings of unlisted subsidiary companies;
- ▶ Declaration of Independent Directors at the time of appointment/annually;
- ▶ Disclosure of Directors’ interest and their shareholding;
- ▶ Appointment or removal of the Key Managerial Personnel;
- ▶ Appointment of Internal Auditors and Secretarial Auditors;
- ▶ Quarterly / Annual Secretarial Audit reports submitted by Secretarial Auditors;
- ▶ Dividend declaration;
- ▶ Significant changes in accounting policies and internal controls;

- ▶ Takeover of a company or acquisition of a controlling or substantial stake in another company;
- ▶ Issue of securities;
- ▶ Recommending appointment of and fixing of the remuneration of the Auditors as recommended by the Audit Committee;
- ▶ Internal Audit findings and External Audit Reports (through the Audit Committee);
- ▶ Proposals for major investments, mergers and amalgamations;
- ▶ Reports on progress made on the ongoing projects;
- ▶ Review the functioning of the subsidiary and joint venture companies;
- ▶ Related party transactions;
- ▶ Status of business risk exposures, its management and related action plans;
- ▶ Making of loans and investment of surplus funds;
- ▶ Borrowing of monies, giving guarantees, or providing security in respect of loan;
- ▶ Brief on statutory developments, changes in government policies, among others with impact thereof;
- ▶ Details of litigations, prosecutions, etc.;
- ▶ Compliance Certificate certifying compliance with all laws as applicable to the Company and
- ▶ Reconciliation of Share Capital Audit Report under SEBI (Depositories and Participants) Regulations, 1996.

Recording Minutes of Proceedings at Board and Committee Meetings

The Company Secretary records the minutes of proceedings of each Board and Committee meeting. The draft minutes are circulated to the Board / Committee members for their comments thereon as prescribed under Secretarial Standard-1. The minutes are entered in the minutes book within 30 days from the conclusion of the meeting.

Post-Meeting Follow-up Mechanism

The guidelines for the Board / Committee meetings facilitate an effective post-meeting follow-up, review and reporting process for decisions taken by the Board and Committees thereof. Important decisions taken at the Board / Committee meetings are communicated promptly to the relevant functional departments. Action taken report on decisions & minutes of the previous meeting(s) is placed at the succeeding meeting of the Board / Committees for noting.

Compliance

The Company Secretary, while preparing the agenda, notes to the agenda and minutes of the meeting(s), is responsible for and is required to ensure adherence to all applicable laws and regulations, including the Companies Act, 2013 read with rules issued thereunder, Listing Regulations and Secretarial Standards issued by the Institute of Company Secretaries of India.

Number of Board meetings

Seven (7) Board meetings were held during the year, as against the minimum requirement of four meetings. The details of the Board meetings held are given below:

Date	Board Strength	No. of Directors Present
May 18, 2022	10	10
June 05, 2022	10	09
August 09,2022	10	10
October 20, 2022	10	10
December 22, 2022	10	08
January 24, 2023	10	10
March 17, 2023	09	09

Attendance and Directorship & Committee positions in other companies:

The names and categories of the Directors on the Board, their attendance at Board meetings held during the year April 2022 – March 2023 and the number of Directorships and Committee Chairmanships / Memberships held by them in other Companies are given below.

Name	Category	Attendance at meetings during the FY 2022-23		Number of Directorships in other public Companies	No. of Membership(s) / Chairmanship(s) of Board Committees in other Companies as on 31-03-2023
		Board	AGM		
Dr. Krishna Prasad Chigurupati Chairman & Managing Director DIN – 00020180	Non-Independent, Executive	7	Yes	NIL	NIL
Dr. Kandiraju Venkata Sitaram Rao DIN-08874100	Non-Independent, Executive	7	Yes	NIL	NIL
Mr. Harsha Chigurupati DIN – 01606477	Non-Independent, Executive	7	Yes	NIL	NIL
Mrs. Uma Devi Chigurupati DIN – 00737689	Non-Independent, Executive	6	Yes	NIL	NIL
Mr. Kolli Basava Sankar Rao DIN – 05167550	Non-Independent, Non-Executive	7	Yes	NIL	NIL
Mr. Arun Rao Akinepally DIN – 00876993	Independent, Non-Executive	7	Yes	NIL	NIL
Mr. Arun Sawhney DIN – 01929668	Independent, Non-Executive	6	Yes	NIL	NIL
Mr. Robert George Cunard (1) DIN – 08346308	Independent,Non-Executive	5	Yes	NIL	NIL
Dr. Saumen Chakraborty DIN-06471529	Independent, Non-Executive	7	Yes	1(One)	1 (1 as Chairman)
Mrs. Sucharita Rao Palepu DIN- 07807717	Independent, on-Executive	7	Yes	NIL	NIL

- Note:
- (1)

Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.
- (2)

The directorships held by Directors as mentioned above, do not include directorships in foreign companies.
- (3)

In accordance with regulation 26(1) of the Listing Regulations, Memberships/Chairmanships of only Audit Committees and Stakeholders' Relationship Committees in all public limited companies (excluding Granules India Limited) have been considered.
- (4)

None of the Directors holds Directorships in more than 7(Seven) listed entities.

Names of the Listed Companies wherein the Directors of the Company are Directors:

Sl. No.	Name of the Director	No. of Directorships in other Listed Companies	Name of the other Listed Companies and category of Directorship as on 31-03-2023
1	Dr. Krishna Prasad Chigurupati	Nil	-
2	Dr. Kandiraju Venkata Sitaram Rao	Nil	-
3	Mrs. Uma Devi Chigurupati	Nil	-
4	Mr. Harsha Chigurupati	Nil	-
5	Mr. Kolli Basava Sankar Rao	Nil	-
6	Mr. Arun Rao Akinepally	Nil	-
7	Mr. Arun Sawhney	Nil	-
8	Dr. Saumen Chakraborty	1	Independent Director at Krishna Institute of Medical Sciences Limited
9	Mrs. Sucharita Rao Palepu	Nil	-
10	Mr. Kapil Kumar Mehan*	Nil	-

* Mr. Kapil Kumar Mehan was appointed as a member of the Board of the Company with effect from May 16, 2023.

Shares held by Non-Executive Directors:

The number of equity shares of the Company held by Non-Executive Directors, as of March 31, 2023 are as follows:

SL. No.	Name of Non-Executive Director	No. of shares held	Percentage of paid-up capital
1.	Mr. Arun Rao Akinepally (holding along with his spouse)	2,77,930	0.11
2.	Mr. Kolli Basava Sankar Rao (holding along with his spouse)	44,22,755	1.82
3.	Mr. Arun Sawhney	Nil	Nil
4.	Dr. Saumen Chakraborty	Nil	Nil
5.	Mrs. Sucharita Rao Palepu	Nil	Nil

Note: Mr. Kapil Kumar Mehan was appointed as a member of the Board of the Company with effect from May 16, 2023. However, he is not holding any equity shares of the Company on the date of his appointment.

Core Skills / Expertise / Competencies of the Board of Directors

The Board is comprised of qualified members who possess the required skills, expertise and competencies that allow them to make effective contributions to the Board and its Committees.

The following skills/expertise/competencies have been identified for the effective functioning of the Company and are currently available with the Board:

- Leadership and Strategic Planning
- Industry Experience
- Global Business
- Operations and Research & Development
- Finance
- Human Resources

Sl. No.	Name of the Director	SKILLS & EXPERTISE					
		Leadership and Strategic Planning	Industry Experience	Global Business	Operations and Research & Development	Finance	Human Resources
1	Dr. Krishna Prasad Chigurupati	✓	✓	✓	✓	✓	✓
2	Dr. Kandiraju Venkata Sitaram Rao	✓	✓	✓	✓	✓	✓
3	Mrs. Uma Devi Chigurupati	✓	✓	✓		✓	✓
4	Mr. Harsha Chigurupati	✓	✓	✓	✓	✓	✓
5	Mr. Kolli Basava Sankar Rao	✓	✓	✓	✓	✓	✓
6	Mr. Arun Rao Akinepally	✓	✓	✓	✓	✓	✓
7	Mr. Arun Sawhney	✓	✓	✓	✓	✓	✓
8	Mr. Robert George Cunard*	✓	✓	✓	✓	✓	✓
9	Dr. Saumen Chakraborty	✓	✓	✓	✓	✓	✓
10	Mrs. Sucharita Rao Palepu	✓		✓		✓	✓
11	Mr. Kapil Kumar Mehan**	✓	✓	✓	✓	✓	✓

* Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.

** Mr. Kapil Kumar Mehan was appointed as a member of the Board of the Company with effect from May 16, 2023.

COMMITTEES OF THE BOARD

The Board Committees play a crucial role in the governance structure of the Company and have been constituted to deal with specific areas/activities which concern the Company and need a closer review. The Board Committees are set up under the formal approval of the Board to carry out clearly defined roles that are considered to be performed by members of the Board, as a part of good governance practice. The Board supervises the execution of its responsibilities by the Committees and is responsible for their action. The minutes of

the meetings of the Committees are placed before the Board for review. The Chairman of the Committees apprises periodically about the working of the Committees to the Board. The Board has currently established the following statutory and non-statutory committees:

Audit Committee

The primary objective of the Committee is to monitor and provide effective supervision of the management’s financial reporting to view to ensure adequate, accurate and timely disclosures that maintain the transparency, integrity and quality

of financial control and reporting. The Committee oversees the work carried out by the management, statutory auditors and internal auditors about the financial reporting process and the safeguards employed by them.

The Committee comprises four members, with a majority being Independent Directors. The composition, procedures, powers and role of the Committee constituted by the Board comply with the requirements of section 177 of the Companies Act, 2013 and regulation 18 of the Listing Regulations. The terms of reference of the Committee are broadly as under:

- a.

Overview of the Company’s financial reporting process and disclosure of its financial information to ensure that the financial statements reflect a true and fair position and that sufficient and credible information is disclosed.
- b.

Recommending the appointment and removal of statutory auditors, internal auditors and cost auditors, fixation of their audit fee and approval for payment for any other services.
- c.

Discussion with statutory auditors before the audit commences, about the nature and scope of the audit as well as post-audit discussion to ascertain any area of concern.
- d.

Reviewing financial statements and the draft audit reports, including quarterly/half-yearly financial information.
- e.

Reviewing with the management the annual financial statements before submission to the Board, focusing primarily on:

▶

The changes in accounting policies and practices.

▶

Major accounting entries based on the exercise of judgment by the management.

▶

Qualifications/modified opinion in the draft audit report.

▶

Significant adjustments arising out of the audit.

▶

The going concern assumption.

▶

Compliance with the accounting standards, listing regulations & legal requirements concerning financial statements.

▶

Disclosure of Related party transactions, claims against the Company and contingent liabilities.
- f.

Reviewing, with the management, external and internal auditors, the adequacy, and compliance of internal control systems.
- g.

Reviewing the adequacy of internal audit functions.
- h.

Discussion with the internal auditors on any significant findings and follow up thereon.
- i.

Review of independence of the auditors.

- j.

Evaluation of internal financial controls and risk management system.
- k.

Review of borrowings, inter-corporate loans and investments.
- l.

Review of the functioning of the whistle-blower mechanism.
- m.

Review and approve related party transactions.
- n.

Review of the corporate annual budget and business plan.
- o.

Approval of appointment of Chief Financial Officer.
- p.

Any other function as delegated by the Board from time to time and as required under the applicable laws & regulations.

During the financial year April 2022 – March 2023, 6 (Six) Committee meetings were held. The dates on which the said meetings were held are May 18, 2022, June 05, 2022, August 08, 2022, October 19, 2022, January 23, 2023 and March 17, 2023. The Committee at its meeting held on May 18, 2022, had considered the audited annual accounts for the financial year 2021-22.

The composition of the Committee and particulars of meetings attended by the members of the Committee are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Dr. Saumen Chakraborty Chairman	Independent, Non-Executive	06	06
Mr. Arun Sawhney	Independent, Non-Executive	06	05
Mr. Arun Rao Akinepally	Independent, Non-Executive	06	06
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	06	06

The Committee meetings were also attended by the partner/representatives of the statutory auditor and internal auditor. Dr. Saumen Chakraborty, the Chairman of the Audit Committee, was present at the 31st Annual General Meeting of the Company held on July 27, 2022.

The Committee meetings were preceded by the pre-audit Committee meetings with the Chief Financial Officer, the internal & statutory auditors and other key finance personnel of the Company. During these meetings, key audit-related matters are discussed and items that need further discussion at the Committee meetings are identified.

The internal and statutory auditors of the Company discuss their findings & updates and submit their views to the Committee. Separate discussions were held with the internal auditors to focus on compliance issues and to conduct detailed reviews of the processes and internal controls in the Company. Permissible non-audit-related services undertaken by the statutory auditors were pre-approved by the Committee.

Nomination & Remuneration Committee

The role of the Committee is to oversee the selection of Directors and Senior Management Personnel based on criteria related to the specific requirement of expertise and independence. The Committee evaluates the performance of Directors and Senior Management Personnel and recommends to the Board the remuneration payable to Directors and Senior Management Personnel of the Company. It has also worked with management to review the organization design, plan for upgrading and retaining talent at all levels, review succession plans for key positions and the performance management systems.

The Committee’s composition and terms of reference comply with the provisions of section 178 of the Companies Act, 2013, Regulation 19 of the Listing Regulations and Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021 as amended from time to time. The terms of reference of the Committee inter alia, are as under:

- a.

Make recommendations to the Board regarding the composition of the Board.
- b.

Identify persons who are qualified to become Directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board, their appointment, payment of remuneration and changes if any.
- c.

Support the Board and Independent Directors, as may be required, in the evaluation of the performance of the Board, its Committees and individual Directors.
- d.

Devise a policy on Board diversity.
- e.

Review of the compensation strategy, human resources related policies and issues of the Company from time to time.
- f.

Review and administer the Company’s ESOP schemes and recommend changes if any.

The remuneration policy of the Company is in consonance with the existing industry practice. The remuneration policy is primarily based on criteria like the performance of the Company, potential, experience and performance of individual personnel and the external environment. The Committee for FY 2022-23 comprises three Non-Executive Independent Directors and one Executive Director. Mr. Arun Sawhney, Independent Director, is the Chairman of the Committee.

5 (five) meetings of the Committee were held during the financial year 2022 – 2023. The dates on which the said meetings were held are May 17, 2022, June 05, 2022, August 09, 2022, October 20, 2022 and January 23, 2023. The composition of the Committee and particulars of meetings attended by the members of the Committee are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Mr. Arun Sawhney, Chairman	Independent, Non-Executive	05	04
Mr. Arun Rao Akinepally	Independent, Non-Executive	05	05
Dr. Saumen Chakraborty	Independent, Non-Executive	05	05
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	05	05

Mr. Arun Sawhney, Chairman of the Committee was present at the 31st Annual General Meeting of the Company held on July 27, 2022.

The details relating to the remuneration of Directors, as required under regulation 34 read with Schedule V of the Listing Regulations, have been given under a separate section, viz. ‘Directors’ Remuneration’ in this Report.

Share Transfer and Stakeholders Relationship Committee

The Committee looks into various aspects of the interest of the shareholders. The Committee ensures cordial investor relations and oversees the mechanism for the redressal of investors’ grievances. The Committee’s composition and terms of reference comply with the provisions of section 178 of the Companies Act, 2013 and Regulation 20 of the Listing Regulations. The terms of reference of the Committee inter alia, are as under:

- a.

Resolving the grievances of the shareholders.
- b.

Reviewing details of the transfer of unclaimed dividend/ equity shares to the Investor Education and Protection Fund Authority.
- c.

Reviewing the transmission, de-materialization/re-materialization and issue of duplicate share certificates of the Company’s shares.
- d.

Reviewing adherence to the service standards in respect of various services being rendered by the Registrar & Share Transfer Agent.
- e.

Ensuring timely receipt of dividend/annual reports/ statutory notices by the shareholders of the Company.

2(Two) meetings of the Committee were held during the financial year April 2022- March 2023. The composition of the Committee during the year April 2022 – March 2023 and the details of meetings attended by its members are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Mr. Arun Rao Akinepally, Chairman	Independent, Non-Executive	02	02
Mrs. Uma Devi Chigurupati	Non-Independent, Executive	02	02
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	02	02

Mr. Arun Rao Akinepally, Chairman of the Committee was present at the 31st Annual General Meeting of the Company held on July 27, 2022.

Compliance Officer

Ms. Chaitanya Tummala, Company Secretary is the Compliance Officer for complying with the requirements of Securities Laws.

Investor Grievance Redressal

During the financial year 2022-23, 02 (Two) complaints were received from the shareholders and all the grievances were redressed within an average time of 7 days and no complaint is pending as of March 31, 2023.

Corporate Social Responsibility (CSR) Committee

The Committee has been entrusted with the specific responsibility of reviewing corporate social responsibility programs. The scope of the Committee also includes approving the budget for CSR activities, reviewing the CSR programs, formulation of annual action plan and monitoring CSR spending.

The Committee of the Board is constituted in accordance with the provisions of section 135 of the Companies Act, 2013. The terms of reference of the Committee inter alia, are as under:

- Formulate, review and recommend to the Board the CSR policy containing guiding principles for selection, implementation and monitoring of CSR activities as specified under Schedule VII of the Act;
- Formulate and recommend to the Board (including any revisions thereto), an annual action plan in pursuance of the CSR policy and have oversight over its implementation;
- Recommend the amount to be spent on CSR activities and review reports on the performance of CSR.

1 (One) meeting of the Committee was held during the financial year April 2022- March 2023. The composition of the Committee during the year April 2022 – March 2023 and the details of meetings attended by its members are given below:

Name	Category	Number of meetings during the financial year 2022-23	
		Held	Attended
Mrs. Uma Devi Chigurupati, Chairperson	Non-Independent, Executive	01	01
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	01	01
Mr. Arun Rao Akinepally	Independent, Non-Executive	01	01

The CSR Policy of the Company is available on the website of <https://granulesindia.com/wp-content/uploads/pdf/other-information/8328CSR%20Policy.pdf>

Risk Management Committee

The Committee was constituted by the Board of Directors with its prime responsibility to implement and monitor the risk management plan and policy of the Company. The Committee’s composition and terms of reference comply with the provisions of Regulation 21 of the Listing Regulations as amended from time to time. The terms of reference of the Committee inter alia, are as under:

- Review the Company’s risk governance structure, risk assessment and risk management practices and guidelines, policies and procedures for risk assessment and risk management.
- Review and approve the Enterprise Risk Management (ERM) framework.
- Review the Company’s risk appetite and strategy relating to key risks, including market risk, cyber security risk, product risk and reputational risk, as well as the guidelines, policies and processes for monitoring and mitigating such risks.
- Review and analyze the risk exposure related to specific issues and provide oversight of risk across the organization.
- Nurture a healthy and independent risk management function in the Company.

2 (Two) meetings of the Committee were held during the financial year April 2022- March 2023. The composition of the Committee during the year April 2022 – March 2023 and the details of meetings attended by its members are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Mr. Harsha Chigurupati, Chairman	Non-Independent, Executive	02	02
Mrs. Uma Devi Chigurupati	Non-Independent, Executive	02	00
Mr. K.B. Sankar Rao	Non-Independent, Non-Executive	02	02
Mr. Arun Sawhney	Independent, Non-Executive	02	02
Mr. Robert George Cunard*	Independent, Non-Executive	02	02

*Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.

Business Review Committee

The Board constituted a Business Review Committee to advise on all matters related to the management/operations of the Company. The Business Review Committee meets periodically to review inter alia the operational and financial performance of the Company. 09 (Nine) meetings of the Committee were held during the financial year April 2022 - March 2023. The composition of the Committee and the details of meetings attended by its members are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Mr. K.B. Sankar Rao, Chairman	Non-Independent, Non-Executive	09	09
Mr. Arun Rao Akinepally	Independent, Non-Executive	09	09
Mr. Arun Sawhney	Independent, Non-Executive	09	09
Mr. Robert George Cunard*	Independent, Non-Executive	09	07
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	09	09

*Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.

Growth Opportunities Evaluation Committee

The Board Constituted a Growth Opportunities Evaluation Committee with the objective to provide guidance to the management for exploring various inorganic growth opportunities.

02 (Two) meetings of the Committee were held during the financial year April 2022 - March 2023. The composition of the Committee and the details of meetings attended by its members are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Mr. K.B. Sankar Rao, Chairman	Non-Independent, Non-Executive	02	02
Mr. Arun Sawhney	Independent, Non-Executive	02	02
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	02	02

Buyback Committee

The Buy-Back Committee was constituted by the Board on August 09, 2022 in order to effectively pursue the buyback of equity shares of the Company.

The Committee has met 3 (three) times during the year under review. The composition of the Committee and the details of meetings attended by its members are given below:

Name	Category	Number of meetings during the financial year 2022–2023	
		Held	Attended
Mr. Arun Rao Akinepally, Chairman	Independent, Non-Executive	03	03
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive	03	03
Mr. Sandip Neogi*	Chief Financial Officer	03	03

*Mr. Sandip Neogi resigned as the Chief Financial Officer of the Company w.e.f December 15, 2022.

With the completion of the Buyback activity, the purpose of the formation of the Buy-Back Committee was completed and hence the Committee was dissolved with effect from January 24, 2023.

Investment Committee

The Board Constituted an Investment Committee with the objective to review and invest/disinvest the surplus funds from time to time in various instruments to maximize the returns of the Company.

The composition of the Committee as of March 31, 2023 is given below:

Name	Category
Dr. Saumen Chakraborty, Chairman	Independent, Non-Executive
Dr. Krishna Prasad Chigurupati	Non-Independent, Executive
Dr. Kandiraju Venkata Sitaram Rao	Non-Independent, Executive
Mr. Mukesh Surana	Chief Financial Officer

DIRECTORS’ REMUNERATION

Performance Evaluation & Remuneration policy

The Company has formulated a Performance Evaluation & Remuneration Policy for Directors, Key Managerial Personnel and other employees and is available on the website of the Company at <https://granulesindia.com/wp-content/uploads/pdf/performance-evaluation-and-remuneration-policy.pdf>. The Company’s remuneration policy is directed towards rewarding performance based on a review of achievements periodically.

Further, the policy contains the criteria for performance evaluation of Independent Directors, the Board and other individual Directors. The criteria for performance evaluation cover the areas relevant to the functioning of the Independent Directors such as preparation, participation, conduct, and effectiveness.

The performance evaluation of Independent Directors was done by the entire Board and in the evaluation, the Directors who are subject to evaluation had not participated. The Independent Directors at their separate meeting evaluated the performance of the Chairperson of the Company, Non-Independent Directors and the Board as a whole.

Details of remuneration paid to the Executive Directors during the FY 2022-23

Name	Salary		Perquisites	Commission	Total
	Fixed	*Variable			
Dr. Krishna Prasad Chigurupati Chairman & Managing Director	18.01	-	0.67	334.88	353.56
Dr. Kandiraju Venkata Sitaram Rao Joint Managing Director & CEO	65.41	29.14	0.01	-	94.56
Mrs. Uma Devi Chigurupati Executive Director	2.34	-	0.12	32.90	35.36
Mr. Harsha Chigurupati Executive Director	6.01	-	0.02	29.33	35.36

*The payment of a variable portion of the salary is based on the performance evaluation of the Company

Service Contract, Severance Fees, and Notice Period

Terms of Agreement	Dr. Krishna Prasad Chigurupati	Dr. Kandiraju Venkata Sitaram Rao	Mr. Harsha Chigurupati	Mrs. Uma Devi Chigurupati
Period of Contract	5 years up to August 31, 2024	5 years up to January 04, 2027	5 years up to August 28, 2024	5 years up to May 30, 2027
Severance fees/notice period	Three Months	Six Months	Three Months	Three Months
There is no separate provision for payment of severance fees.				

Details of remuneration paid to Non-Executive Directors during the FY 2022-23

During the FY 2022-23, the Company paid sitting fees of ₹ 40,000 per meeting to the Non-Executive Directors for attending each meeting of the Board and Business Review Committee and ₹ 30,000 per meeting for attending each meeting of the other Committees of the Board.

The Members had, at the Annual General Meeting of the Company held on July 27, 2022 approved the payment of commission to each Non-Executive Director at a rate of 0.05% per annum with a maximum limit of 1% of the net profits of the Company as computed under the applicable provisions of the Act. The said commission was decided each quarter by the Nomination & Remuneration Committee and distributed amongst the Non-Executive Directors.

There were no pecuniary transactions with any Non-Executive Director of the Company.

Following are the details of sitting fees paid to the Directors for attending the Board and Committee meetings during the FY 2022-23 and the commission paid/provided during the period under review:

(₹ in millions)		
Name	Sitting fee	Commission
Mr. Kolli Basava Sankar Rao	0.76	3.57
Mr. Arun Rao Akinepally	1.15	3.57
Mr. Arun Sawhney	0.99	3.57
Mr. Robert George Cunard*	0.54	3.39
Dr. Saumen Chakraborty	0.61	3.57
Mrs. Sucharita Rao Palepu	0.28	3.57

*Mr. Robert George Cunard ceased to be a member of the Board of the Company with effect from March 17, 2023.

GENERAL BODY MEETINGS

Annual General Meetings

The details of the preceding three years Annual General Meetings are as under:

AGM	Year	Location	Date	Time	Number of special resolutions passed
31 st	2021-22	Held Through VC/OAVM	27/07/2022	03:00 PM	2
30 th	2020-21	Held Through VC/OAVM	05/08/2021	03:00 PM	0
29 th	2019-20	Held Through VC/OAVM	13/08/2020	04:00 PM	1

Extraordinary General Meetings

No Extra-Ordinary General Meetings of the members of the Company were held during the period under review and during the three preceding financial years.

POSTAL BALLOT

For the year ended March 31, 2023 no resolution was passed through postal ballot. Further, there is no immediate proposal for passing any resolution through the Postal Ballot process.

The details of Postal Ballot resolutions of the preceding three years are as under:

Financial Year	Date	Number of special resolutions passed
2021-22	24/02/2022	2
2019-20	09/03/2020	1
2019-20	10/10/ 2019	1

DISCLOSURES

i) Related party transactions

All related party transactions that were entered into during FY 2022-23 were on an arm’s length basis, in the ordinary course of business and were in compliance with the applicable provisions of the Companies Act, 2013 and the Listing Regulations. There were no material significant related party transactions entered into by the Company with Promoters, Directors, KMPs or other designated persons which may have a potential conflict with the interest of the Company at large. The Company has not entered into any transaction with any person or entity belonging to the Promoter/Promoter Group which holds(s) 10% or more shareholding in the Company and has not given any loan to any firm/Company in which Directors of the Company are interested.

In compliance with regulations 34(3) and the accounting standard 18, transactions with related parties are disclosed in the notes to accounts.

The Policy on Related Party Transactions as approved by the Board is placed on the website of the Company at <https://granulesindia.com/wp-content/uploads/2022/03/Granules-Related-Party-Transactions-Policy.pdf>.

ii) Details of non-compliance etc.

The Company complied with the requirements of the Stock Exchanges, the SEBI and other statutory authorities on all matters related to capital markets. No penalties or strictures were imposed on the Company by any of these authorities.

iii) Disclosure of accounting treatment

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standard) Rules, 2015 notified under Sec 133 of the Companies Act, 2013 and other relevant provisions of the Act.

iv) Whistleblower policy

The Company promotes ethical behavior in all its business activities and has put in place a mechanism for reporting illegal or unethical behavior. The Company has a Vigil Mechanism & Whistle Blower Policy under which the employees & Directors are free to report violations of applicable laws, regulations and the Code of Conduct without fear of any retaliation. The reportable matters may be disclosed as per the procedure mentioned in the Whistle Blower Policy of the Company. During the year under review, no personnel of the Company was denied access to the Audit Committee.

Whistle Blower Policy of the Company is placed on the website of the Company at <https://granulesindia.com/wp-content/uploads/2022/06/Granules-India-Limited-whistle-blower-policy.pdf>

v) Risk management

The Company has a risk management procedure in place which is reviewed periodically. Risk management is carried out to ensure that the Company is not overly dependent on a particular product, customer or geography. In addition, it facilitates not only in risk assessment and timely rectification but also helps in the minimization of risk associated with any strategic, operational, financial and compliance risk across all business operations.

vi) Subsidiary Companies

The subsidiaries of the Company function independently with an adequately empowered Board of Directors. The minutes of the Board Meetings of subsidiaries are placed periodically before the Board of the Company for its review and statements of all significant transactions and arrangements entered by the subsidiary companies are also placed before the Board.

In addition to the above, regulation 24 of the SEBI Listing regulations requires that at least one Independent Director on the Board of Directors of the listed entity shall be a Director on the Board of Directors of an unlisted

material subsidiary, whether incorporated in India or not. Accordingly, Independent Director was appointed to the Board of the unlisted material subsidiaries.

The Company has formulated a policy for determining material subsidiaries and is placed on the website of the Company at <https://granulesindia.com/wp-content/uploads/2022/03/Policy-on-Material-Subsidiaries.pdf>.

vii) Code of conduct

The Company has laid down a “Code of Conduct” for the Directors and the Senior Management Personnel. The members of the Board including Independent Directors and Senior Management Personnel of the Company have affirmed compliance with the Code of Conduct as of March 31, 2023. A declaration to this effect signed by the Joint Managing Director & Chief Executive Officer is given as an annexure to this report. The code is placed on the website of the Company at <https://granulesindia.com/wp-content/uploads/pdf/other-information/Code-of-Conduct-for-Board-and-SMP.pdf>

viii) CEO and CFO certification

The Joint Managing Director & Chief Executive Officer and the Chief Financial Officer have certified to the Board regarding the compliance of matters specified in regulation 17(8) read with Part B of Schedule II of the Listing Regulations and is given as an annexure to this report. The certificate has been reviewed by the Audit Committee and taken on record by the Board at the meeting held on May 16, 2023.

ix) Certificate on corporate governance

Certificate from the Company’s secretarial auditor, M/s. Saurabh Poddar & Associates confirming compliance with conditions of Corporate Governance, as stipulated under Regulation 34 read with Schedule V of the Listing Regulations, is given as an annexure to this Report.

x) Certificate from a company secretary in practice

A certificate from a Company Secretary in Practice stating that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as Directors of the Company by the SEBI or the Ministry of Corporate Affairs or any such statutory authority as stipulated under Regulation 34 read with Schedule V of the Listing Regulations is given as annexure to this Report.

xi) Details of the utilization of funds raised through preferential allotment or qualified institutional placement:

The Company has not raised any funds through preferential allotment or qualified institutional placement during the financial year ended on March 31, 2023.

xii) Acceptance of the recommendations of the Committees by the Board of Directors

There has been no such incident where the Board has not accepted the recommendation of the Committees of the Company during the year under review.

xiii) Details of fees paid to the statutory auditors

Given below are the details of fees paid to M/s. SR Batliboi & Associates LLP, Chartered Accountants, Statutory Auditors of the Company and all their network firms & entities on a consolidated basis during the financial year ended March 31, 2023:

Sl. No.	Payments to the Statutory Auditors (excluding taxes)	Fees paid in (₹ in millions)
1	Fees for Audit and related services	6.69
2	Fees for Non-Audit service	0.94
Total		7.63

xiv) Disclosures in relation to the sexual harassment of women at the workplace (Prevention, Prohibition and Redressal) Act, 2013:

As per the requirement of the Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013 (‘POSH Act’) and rules made thereunder, the Company has formed an Internal Complaints Committee (ICC) for its workplaces to address complaints pertaining to sexual harassment in accordance with the POSH Act. The Company has a detailed policy for the prevention of sexual harassment at the workplace, which ensures a free and fair inquiry process with clear timelines for resolution.

Below are the details of complaints received/resolved during the year under review.

Sl. No.	Particulars	No.
1	Number of complaints on Sexual harassment received during the year	01
2	Number of complaints disposed of during the year	01
3	Number of cases pending as of March 31, 2023	Nil

xv) Details of material subsidiaries of the listed entity; including the date and place of incorporation and the name and date of appointment of the statutory auditors of such subsidiaries.

S. No.	Name of the material Subsidiary	Date & Place of Incorporation	Name of the Statutory Auditor	Date of appointment of Statutory Auditor
1.	Granules USA, Inc.	March 05, 2003 in the state of Delaware, USA	KNAV P.A.	With effect from April 1, 2019
2.	Granules Pharmaceuticals, Inc.	October 21, 2014 in the state of Delaware, USA	KNAV P.A.	With effect from April 1, 2019

xvi) Details of compliance with mandatory requirements and adoption of Discretionary Requirements

The Company has complied with all the mandatory requirements of Corporate Governance as per the Listing Regulations.

Reporting of Internal Auditors to the Audit Committee has been adopted from discretionary requirements.

xvii) Familiarization programs for Board members

The Board members are provided with necessary documents, reports and internal policies to enable them to familiarize themselves with the Company’s procedures and practices. Periodic presentations are made at the Board and Board Committee Meetings, on business and performance updates of the Company, global business environment, business strategy and risks involved. Details of the familiarization programs imparted to Independent Directors are placed on the website of the Company at <https://granulesindia.com/investors/other-information/>

xviii)Prevention of insider trading

In accordance with the requirements of SEBI (Insider Trading) Regulations, 2015, Company has formulated a code of conduct for the prohibition of Insider Trading in the Company’s Shares. The Code lays down guidelines for procedures to be followed and disclosures to be made while trading in securities of the Company.

xix) Commodity price risks/foreign exchange risk and hedging activities

The Company is not carrying on any Commodity Business. The appropriate disclosure of foreign exchange risk and hedging activities is given in note 2 a (v) of the notes to the standalone financial statements.

xx) Loans & Advances

The Company and its subsidiaries have not granted loans and advances in the nature of loans to firms/ Companies in which Directors of the Company are interested.

xxi) The Disclosures of the compliance with Corporate Governance requirements specified in regulations 17 to 27 and clauses (b) to (i) of sub-regulation (2) of regulation 46 are as follows:

Regulations	Particular of Regulations	Compliance Status Yes/ No/N.A
17	Board of Directors	Yes
17A	Maximum number of directorships	Yes
18	Audit Committee	Yes
19	Nomination and Remuneration Committee	Yes
20	Stakeholders Relationship Committee	Yes
21	Risk Management Committee	Yes
22	Vigil mechanism	Yes
23	Related party transactions	Yes
24	Corporate governance requirements concerning a subsidiary of the listed entity	Yes
24A	Secretarial audit	Yes
25	Obligations concerning Independent Directors	Yes
26	Obligations concerning Directors and senior management	Yes
27	Other corporate governance requirements	Yes
46(2)(b) to (i)	Website	Yes

MEANS OF COMMUNICATION

Stock exchange intimations:

All submissions to the Stock Exchanges are made through the respective electronic filing systems. All unpublished price-sensitive information, material events or information as detailed in Regulation 30 of the Listing Regulations are disseminated to the Stock Exchanges by filing them with the National Stock Exchange of India Limited through the NEAPS portal and with BSE Limited through BSE’s Listing Centre.

Financial results: The quarterly/half-yearly/annual financial results are published in the ‘Business Standard’ and ‘Nava Telangana’ and are displayed on the website of the Company at <https://granulesindia.com/investors/financial-reports/quarterly-results/> They are also filed with the stock exchanges through their online portals.

News releases, presentations, among others: Official news releases and official media releases are sent to Stock Exchanges and are displayed on the website of the Company at <https://granulesindia.com/media/>.

Presentations to institutional investors/analysts: Detailed presentations are made to institutional investors and financial analysts on the Company’s unaudited quarterly as well as audited annual financial results through earnings calls. The presentations made and transcripts & audio recordings of the earnings call are also uploaded on the website of the Company at www.granulesindia.com

Website: The Company’s website www.granulesindia.com contains a separate dedicated section ‘Investors’ where shareholder’s information is available.

Annual Report: The annual report containing, inter alia, audited standalone financial statements, consolidated financial statements, Director’s report, business responsibility & sustainability report, auditor’s report, corporate governance report and other important information are circulated to members and others entitled thereto. The Company’s Annual Report is also available in a user-friendly and downloadable form at <https://granulesindia.com/investors/financial-reports/annual-reports/>.

Management discussion and analysis (MDA) Report:

The report on MDA forms part of the annual report.

SEBI complaints redress system (SCORES): The investor complaints are processed in a centralized web-based complaints redress system. The salient features of this system are: A centralized database of all complaints, online upload of Action Taken Reports (ATRs) by concerned companies and online viewing by investors of actions taken on the complaint and its current status.

Dedicated e-mail ID

The Company has designated the following email ID exclusively for investor servicing: investorrelations@granulesindia.com.

GENERAL SHAREHOLDER INFORMATION

Company Registration Details

The Company is registered in the State of Telangana, India. The Corporate Identification Number (CIN) allotted to

the Company by the Ministry of Corporate Affairs (MCA) is L24110TG1991PLC012471.

32nd Annual General Meeting

Date: August 10, 2023

Time: 3.30 p.m.

Venue: The Company is conducting the meeting through VC/OAVM pursuant to the MCA Circular dated May 05,2020 and as such, there is no requirement to have a venue for the AGM. For details please refer to the Notice of this AGM.

Financial year

April 1 to March 31

Date of Book Closure

August 04, 2023 to August 10, 2023 (both days inclusive)

Dividend Payment

The final dividend for the financial year 2022-23, if declared, shall be paid /credited on or before September 08, 2023.

Listing on Stock Exchanges

Equity Shares

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Scrip Code - 532482

National Stock Exchange of India Limited (NSE)

Exchange Plaza, Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051
Trading Symbol – GRANULES

Payment of Listing Fees

The annual listing fees for the financial year 2023-24 have been paid by the Company to BSE and NSE.

The tentative calendar for the financial year 2023-2024:

The tentative dates of the meeting of the Board of Directors for consideration of quarterly financial results for the financial year 2023-2024 are as follows:

Results	Tentative Dates
First quarter	Second week of August, 2023
Second quarter and half-yearly	Third week of October 2023
Third quarter	Fourth week of January 2024
Fourth quarter and annual	Third week of May 2024

Stock Market Price Data

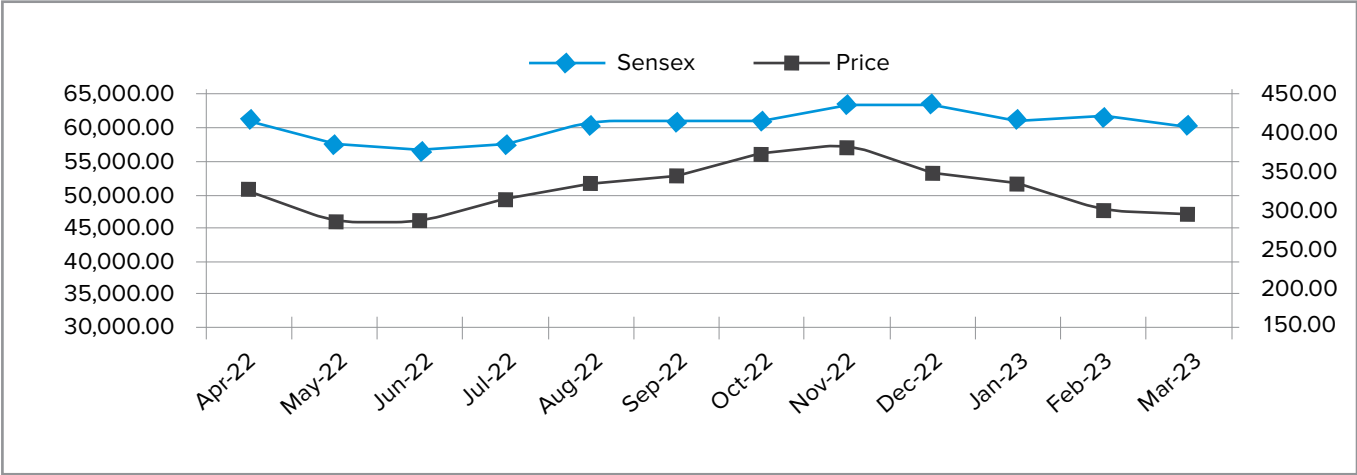
High, low (based on the closing prices) and the number of shares traded during each month in the last financial year on BSE and NSE were as follows:

BSE				NSE			
Month	High	Low	Volume	High	Low	Volume	
Apr-22	323.65	279.50	10,68,563	323.70	279.50	1,65,68,159	
May-22	285.00	232.15	16,14,256	285.00	232.10	2,74,10,598	
Jun-22	281.90	227.00	12,05,455	282.00	226.95	2,21,26,756	
Jul-22	313.25	269.05	15,99,082	313.30	268.90	3,26,84,362	

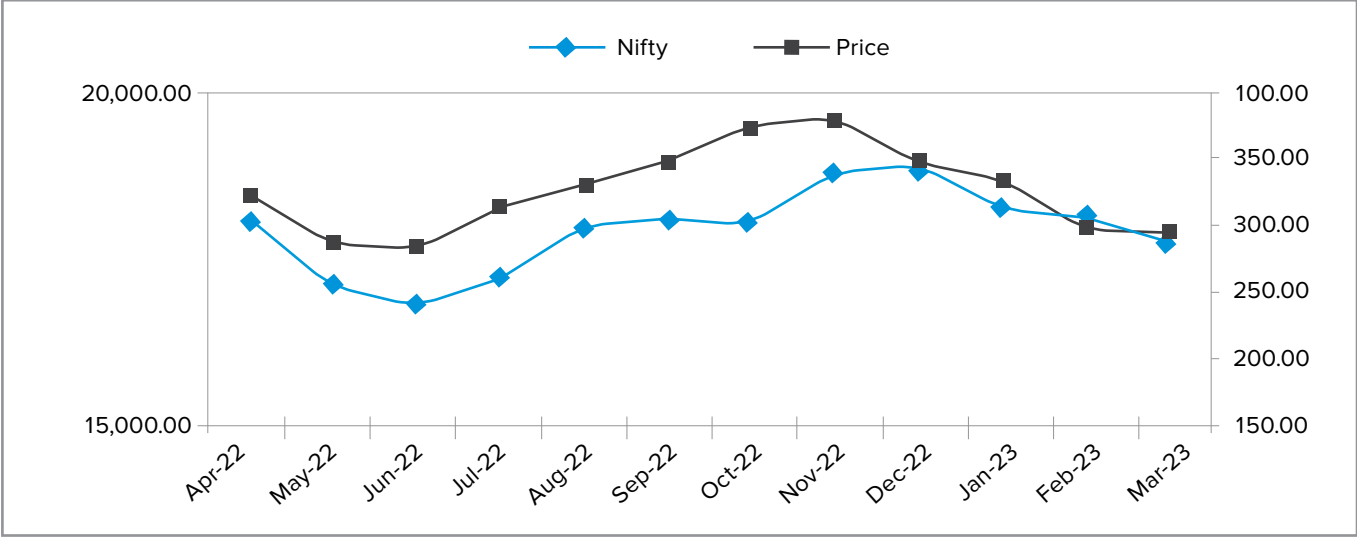
BSE				NSE			
Month	High	Low	Volume	High	Low	Volume	
Aug-22	330.50	295.50	25,45,415	330.70	295.35	3,86,66,507	
Sep-22	346.90	300.55	34,67,286	347.00	301.85	5,46,92,269	
Oct-22	373.60	338.80	31,66,132	373.85	339.10	3,90,96,115	
Nov-22	381.25	344.05	11,22,689	381.00	344.00	1,82,53,498	
Dec-22	348.00	317.05	10,49,865	348.00	317.05	2,19,95,538	
Jan-23	335.00	278.65	9,62,185	335.35	278.60	1,96,30,205	
Feb-23	299.70	277.75	6,95,089	299.40	277.50	1,21,33,462	
Mar-23	294.20	267.85	6,93,468	294.60	267.75	1,60,56,794	

Performance of Share Price

The graphical presentation on the performance of the share price of the Company in comparison to the BSE Sensex is provided herein



The graphical presentation of the performance of the share price of the Company in comparison to the NSE Nifty is provided herein under:



Registrar and Transfer Agent

M/s. KFin Technologies Limited is the Registrar & Transfer Agent of the Company. Any request pertaining to investor services may be addressed to the following address:

KFin Technologies Limited

Selenium Tower B, Plot 31-32, Gachibowli,
Financial District, Nanakramguda,
Hyderabad – 500 032
Tel: +91-40-67161500
Toll-Free No.: 1-800-309-4001
e-mail: einward.ris@kfintech.com
Website: www.kfintech.com

Share Transfer System

In terms of Regulation 40(1) of SEBI Listing Regulations, as amended, securities can be transferred only in dematerialized form except in case of request received for transmission or transposition of securities. Members holding shares in physical form are requested to consider converting their holdings to dematerialized form. Transfer of equity shares in electronic form is effected through the depositories with no involvement of the Company.

Secretarial Audit

M/s. Saurabh Poddar & Associates, Practicing Company Secretaries, has conducted a secretarial audit of the Company for the financial year 2022-23 in compliance with regulation

24A(1) of the Listing Regulations. Their audit report confirms that the Company has complied with the applicable provisions of the Act and the rules made thereunder, Listing Regulations and the applicable SEBI Acts & regulations. The secretarial audit report forms part of the Board’s Report.

In accordance with regulation 24A (2) of the Listing Regulations, the Company has obtained an Annual Secretarial Compliance Report from M/s. Saurabh Poddar & Associates, Practising Company Secretaries, confirming compliances with all applicable SEBI regulations, circulars and guidelines for the year ended March 31, 2023.

Pursuant to Regulation 40(9) of the SEBI Listing Regulations, the certificate has been issued, on a yearly basis, by a Company Secretary in practice, certifying due compliance with share transfer formalities by the Company.

M/s Saurabh Poddar & Associates, Practicing Company Secretary carried out an audit to reconcile the total admitted share capital with the National Securities Depository Limited (NSDL) and the Central Depository Services (India) Limited (CDSL) and the total issued and listed share capital. The secretarial audit report confirms that the total paid-up share capital was in agreement with the total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

Shareholding

a) Shareholding pattern by size as of March 31, 2023

Category (Shares)	No. of Shareholders	No. of Shares held	Percentage of Shareholding
1 - 5000	1,90,229	3,12,95,923	12.93
5001 - 10000	631	45,24,178	1.87
10001 - 20000	240	33,99,966	1.40
20001 - 30000	99	25,01,992	1.03
30001 - 40000	45	15,77,371	0.65
40001 - 50000	34	15,22,949	0.63
50001 - 100000	81	56,10,625	2.32
100001 & ABOVE	144	19,16,09,752	79.16
TOTAL	1,91,503	24,20,42,756	100.00

b) Shareholding pattern category-wise as of March 31, 2023

Category	No. of Shares held	Percentage of Shareholding
Promoter & Promoter Group	10,17,08,525	42.02
Foreign Portfolio Investors	5,78,46,003	23.90
Mutual Funds, Insurance Companies etc.	1,21,70,845	5.03
Bodies Corporate	90,11,216	3.72
HUF	12,90,522	0.53
Individual Shareholders	6,00,15,645	24.80
TOTAL	24,20,42,756	100.00

Dematerialization of shares and liquidity

The Company’s shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in India viz. the NSDL and CDSL. The Company’s equity shares, representing 99.95% of the Company’s share capital were dematerialized as of March 31, 2023.

The Company’s shares are regularly traded on the National Stock Exchange of India Limited and the BSE Limited in electronic form. Under the depository system, the International Securities Identification Number (ISIN) allotted to the Company’s shares is INE101D01020.

Outstanding Global Depository Receipts (GDRs) or American Depository Receipts (ADRs) or warrants or any other convertible instruments.

There are no outstanding GDRs/ADRs/warrants or any other convertible instruments as of March 31, 2023.

Sl. No	Particulars	Number of Shareholders	Number of equity shares
1	An aggregate number of shareholders and the outstanding shares in the Unclaimed Suspense account at the beginning of the year i.e., April 01, 2022.	09	26,000
2	No. of shareholders who approached the Company for the transfer of shares from the Unclaimed Suspense account during the year.	-	-
3	No. of shareholders to whom shares were transferred from the Unclaimed Suspense account during the year.	-	-
4	No. of shareholders and shares transferred to Investor Education and Protection Fund Authority pursuant to the provisions of section 124 of the Companies Act, 2013.	01	2,000
5	An aggregate number of shareholders and the outstanding shares lying in the Unclaimed Suspense account at the end of the year i.e., March 31, 2023.	08	24,000

The voting rights on the shares outstanding in the suspense account shall remain frozen till the rightful owner of such shares claims the shares.

Transfer of shares to Investor Education and Protection Fund

Pursuant to the provisions of section 124 of the Act read with the IEPF Rules, all the shares for which dividends remain unpaid or unclaimed for a period of seven consecutive years or \more shall be transferred to the Demat account of the IEPF Authority as notified by the Ministry of Corporate Affairs. Accordingly, the Company has transferred 15,571 (0.006%) equity shares to the IEPF Authority during the financial year 2022-23.

Plant locations

1.

Finished Dosage Unit:
Survery Nos:160/A, 161/E, 162 & 174/A, Gagillapur Village, Dundigal-Gandimaisamma Mandal, Medchal-Malkajgiri District, 500043, Telangana State, India.
2.

API Unit – I:
Sy.No.533, 535, 536, 537, 646 & 648, Temple Road, Bonthapally Village, Gummadidala Mandal, Sangareddy District-502313, Telangana State, India.

Employee Stock Options

The information on stock options granted by the Company and other particulars about employee’s stock options during the financial year 2022-23 are set out in the Director’s Report.

Disclosure concerning Demat suspense account/ unclaimed suspense account

Unclaimed equity shares are held in Granules India Limited- Unclaimed shares suspense account maintained with Stock Holding Corporation of India Limited, G-6 to G-10, East Block, Ground Floor, Swarna Jayanti Commercial Complex, Ameerpet, Hyderabad-500038 vide Client ID: 40451330 and DP ID: IN301220. In accordance with the requirement of Clause F of Schedule V of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Company reports the following details in respect of equity shares lying in the suspense account:

3.

API Unit – II:
Plot No 15A/1, Phase III, IDA Jeedimetla, Qutubullapur Mandal, Hyderabad- 500055, Medchal- Malkajgiri District, Telangana State, India.
4.

API Unit – III:
Sy.No.216, Bonthapally village, Gummadidala Mandal, Sangareddy District, 502313 Telangana State, India.
5.

API Unit – IV:
Plot No 8, J.N.Pharma City, Tadi Village, Parawada Mandal, Anakapally District - 531019, Andhra Pradesh, India.
6.

API Unit – V
Plot No.30, J.N.Pharma City, Parawada Mandal, Anakapally District- 531019, Andhra Pradesh, India.

R & D Centres

1.

Plot No. 56, Road No. 5, ALEAP Industrial Area, Pragathi Nagar, Gajularamaram village, Qutbullapur Mandal, Hyderabad - 500072, Medchal- Malkajgiri District, Telangana State, India.

2.

Survey Nos. 234 / 1 to 4 and 6 to 7, 235 /6 to 9 and 245 / 1 to 3, India Land Global Industrial Park, Hinjewadi Phase-1, Mulshi Taluka, Pune District, 411057, Maharashtra State, India.
3.

Survey Nos:160/A, 161/E, 162 & 174/A, Gagillapur Village, Dindigal-Gandimaisamma Mandal, Medchal-Malkajgiri District, 500043, Telangana State, India.
4.

H.No.5-33, Sy No.352, Plot No. 8, Road No. 2, ALEAP Industrial Area, Pragathi Nagar, Gajularamaram village, Qutbullapur Mandal, Hyderabad - 500072, Medchal-Malkajgiri District, Telangana State, India.
5.

Lab No: 11 & 13, Building No:1800, Sy No. 101,101/2 &340, M. N. Park, Genome Valley, Lalgadi Malakpet Village, Shameerpet Mandal, Medchal- Malkajgiri District, 500078, Telangana State, India.

Green Initiative

The Company welcomes and supports the ‘Green Initiative’ undertaken by the Ministry of Corporate Affairs, Government of India, enabling electronic delivery of documents including the Annual Report to the Members at their e-mail addresses registered with the Depository Participants (‘DPs’) and RTA. Members who have not registered their e-mail addresses so far are requested to do the same. Those holding shares in demat form can register their e-mail address with their concerned DPs. Members who hold shares in physical form are requested to register their e-mail address with the RTA by sending a letter duly signed by the first/sole holder quoting details of the folio number.

On behalf of the Board of Directors

Dr. Krishna Prasad Chigurupati

Chairman and Managing Director

DIN: 00020180

Hyderabad, May 16, 2023

Address for correspondence

Registered Office & Corporate Office

2nd Floor, 3rd Block, My Home Hub, Madhapur, Hyderabad (TS) – 500081, India

Tel: 91-40-69043500, Fax: 91-40-23115145

E-mail: investorrelations@granulesindia.com

Website: www.granulesindia.com

DECLARATION BY THE JOINT
MANAGING DIRECTOR & CEO

I, Kandiraju Venkata Sitaram Rao, Joint Managing Director & CEO hereby confirm that the Company has obtained from all the members of the Board and Senior Management Personnel, affirmation that they have complied with the ‘Code of Conduct in respect of the financial year 2022-23.

Place: Hyderabad

Date: May 16, 2023

Dr. Kandiraju Venkata Sitaram Rao

Joint Managing Director& CEO

DIN: 08874100

CEO AND CFO CERTIFICATE

(Pursuant to regulation 17(8) read with Part B of Schedule II of the Listing Regulations)

To,

The Board of Directors

Granules India Limited

We hereby certify that:

a.

We have reviewed financial statements (standalone & consolidated) including the cash flow statement for the financial year ended March 31, 2023 and to the best of our knowledge and belief:

i.

these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

ii.

these statements together present a true and fair view of the company’s affairs and comply with existing accounting standards, applicable laws and regulations.

b.

There are, to the best of our knowledge and belief, no transactions entered into by the company during the period, which is fraudulent, illegal or violates the company’s code of conduct.

c.

We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company for financial reporting and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps taken or propose to take to rectify these deficiencies.

d.

We have indicated to the auditors and the Audit Committee

i.

that there are no significant changes in internal control over financial reporting during the year;

ii.

that there are no significant changes in accounting policies during the year; and

iii.

That there are no instances of significant fraud of which we have become aware of and involvement therein of the management or an employee having a significant role in the Company’s internal control system over financial reporting.

Mukesh Surana

Chief Financial Officer

Dr. Kandiraju Venkata Sitaram Rao

Joint Managing Director & CEO

DIN: 08874100

Place: Hyderabad

Date: May 16, 2023

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members,
M/s. Granules India Limited

I, Saurabh Poddar, Company Secretary in Practise have examined the relevant registers, records, forms, returns and disclosures received from the Directors of M/s. Granules India Limited registered vide Corporate Identification Number (CIN) L24110TG1991PLC012471 and has its Registered Office at 2nd Floor, 03rd Block, My Home Hub, Madhapur, Hyderabad – 500 081, Telangana, India (the Company), produced before us by the Company to issue this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C sub-clause (10) (i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of our information and according to the verifications (including Director Identification Number (DIN) status at the portal www.mca.gov.in as considered necessary and explanations furnished to us by the Company and its officers, we hereby certify that none of the Directors on the Board of the Company as stated below for the financial year ending on March 31, 2023 have been debarred or disqualified from being appointed or continuing as Directors of Companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other Statutory Authority:

Sl. No.	NAME	DESIGNATION	DIN
1.	Dr. Krishna Prasad Chigurupati	Chairman & Managing Director	00020180
2.	Dr. Kandiraju Venkata Sitaram Rao	Joint Managing Director & CEO	08874100
3.	Mrs. Uma Devi Chigurupati	Executive Director	00737689
4.	Mr. Harsha Chigurupati	Executive Director	01606477
5.	Mr. Basava Sankar Rao Kolli	Non-Executive Director	05167550
6.	Mr. Arun Rao Akinepally	Independent Director	00876993
7.	Mr. Arun Sawhney	Independent Director	01929668
8.	Mr. Robert George Cunard *	Independent Director	08346308
9.	Dr. Saumen Chakraborty	Independent Director	06471520
10.	Mrs. Sucharita Rao Palepu	Independent Director	07807717

* Mr. Robert George Cunard resigned as Independent Director of the Company w.e.f. March 17, 2023.

Ensuring the eligibility for the appointment/continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For M/s. **Saurabh Poddar & Associates**
Company Secretaries
FIRM UIN: S2012AP177700

Name: **Saurabh Poddar**
Designation: Proprietor
Membership No: FCS 9190
COP No: 10787

PR: 785/2020 dated 30th June 2020
UDIN: F009190E000246284

Place: Hyderabad
Date: May 03, 2023

CERTIFICATE ON COMPLIANCE WITH THE CORPORATE GOVERNANCE REQUIREMENTS UNDER SEBI

(Listing Obligations and Disclosure Requirements) REGULATIONS, 2015

To,
The Members,
Granules India Limited

I, Saurabh Poddar, Company Secretary in practice, have been appointed as the Secretarial Auditor vide a resolution passed at its meeting held on May 18, 2022 by the Board of Directors of M/s. Granules India Limited (hereinafter referred to as ‘the Company’), having CIN:- L24110TG1991PLC012471 and having its registered office at Second Floor, Block III, My Home Hub, Madhapur, Cyberabad, Hyderabad -500081.

I, have examined the compliance of conditions of Corporate Governance by Granules India Limited (“the Company”), for the year ended March 31, 2023, as stipulated in regulations 17 to 27, clauses (b) to (i) of regulation 46(2) and paragraphs C, D and E of Schedule V of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended from time to time (“Listing Regulations”) pursuant to the Listing Agreement of the Company with Stock Exchanges.

Management’s Responsibility

The compliance of conditions of Corporate Governance as stipulated under the Listing Regulations is the responsibility of the Company’s Management including the preparation and maintenance of all the relevant records and documents. This responsibility includes the design, implementation and maintenance of internal control and procedures to ensure compliance with the conditions of Corporate Governance stipulated in the Listing Regulations.

Auditors’ Responsibility

- Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.
- Pursuant to the requirements of the Listing Regulations, it is our responsibility to provide a reasonable assurance that the Company has complied with the conditions of Corporate Governance as stipulated in the Listing Regulations for the year ended March 31, 2023.
- We conducted our examination of the above corporate governance compliance by the Company in accordance with the Guidance Note on Reports and Guidance Note on Certification of Corporate Governance both issued by the Institute of the Company Secretaries of India (the “ICSI”), in so far as applicable for the purpose of this certificate. The

Guidance Note requires that we comply with the ethical requirements of the Code of Ethics issued by the ICSI.

Certification:

- In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of the Corporate Governance as stipulated in the above-mentioned Listing Regulations.

Assumption & Limitation of Scope and Review:

- Ensuring the authenticity of documents and information furnished is the responsibility of the management of the Company.
- Our responsibility is to give a certificate based on our examination of relevant documents and information. It is neither an audit nor an investigation.
- This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.
- The certificate is addressed and provided to the Members of the Company solely for the purpose of enabling the Company to comply with the requirement of the Listing Regulations and should not be used by any other person or for any other purpose. Accordingly, we do not accept or assume any liability or any duty of care for any other purpose or to any other person to whom this certificate is shown or into whose hands it may come without our prior consent in writing.

For M/s. **Saurabh Poddar & Associates**
Company Secretaries
FIRM UIN: S2012AP177700

Name: **Saurabh Poddar**
Membership No: FCS 9190
COP No: 10787

PR: 785/2020 dated 30th June 2020
UDIN: F009190E000246900

Place: Hyderabad
Date: May 03, 2023